

July 16, 2026 02:18 AM GMT

US Tech | North America

2Q26 CIO Survey – Budget Support Improves, But Winners Remain Selective

2026 IT budget growth expectations ticked higher Q/Q to +3.8%, coupled with strong inflection in 1-year up-to-down ratio, pointing to a healthier budget environment. However, winners remain selective as CIOs are more discerning about where dollars flow: MSFT and Security screen clearest.

AlphaWise 

Is IT Budget Air Cover Finally Arriving?

Our latest CIO Survey, fielded between May 8th and June 8th, points to a more **constructive budget backdrop for 2026, with CIOs expecting IT budget growth to accelerate modestly to +3.8% in 2026 from +3.7% in 2025, a +14 bps YoY improvement** and modest uptick versus the +3.7% growth expectation in our 1Q26 survey, though still below the +4.1% 2010-2019 average ([Exhibit 3](#)).

- **Software remains the fastest-growing industry in the Technology sector and the only major one expected to accelerate YoY, with CIOs expecting +4.1% growth in 2026, up +29 bps from 2025, while Communications (+2.6%, -12 bps YoY), Hardware (+1.6%, -4 bps), and Services (+1.8%, -34 bps) are expected to decelerate ([Exhibit 12](#)).** Sequentially, 2026 budget growth expectations were revised higher across all IT industries except Services, led by Communications (+35 bps QoQ) and Hardware (+12 bps QoQ), while Software was effectively flat (+3 bps QoQ) and Services deteriorated (-23 bps QoQ) ([Exhibit 13](#)).
- Turning to expectations for near-term IT Budget revisions, **the 1-year up-to-down ratio for potential IT budget revisions improved to 1.2x from 0.8x in 1Q26, with 30% of CIOs expecting upward revisions versus 25% expecting downward revisions, marking the first reading above 1.0x since 1Q24 ([Exhibit 5](#)).**
- Long-term secular trends also improved modestly, with the **3-year up-to-down ratio ticking up to 2.8x from 2.7x in 1Q26**, as 42% of CIOs expect IT spending to increase as a percentage of revenue over the next three years relative to 15% expecting declines, though the ratio remains below the trailing survey average of 3.7x ([Exhibit 19](#)).
- Looking under the hood at CIO priorities, **AI/ML remains the #1 priority at 18.0%, followed by Security Software at 11.3% and Digital Transformation at 10.0% ([Exhibit 20](#)).** While encouraging to see another increase in AI/ML prioritization, its net defensibility fell to +4% from +10% QoQ, suggesting CIOs are becoming more discerning around which AI initiatives are truly protected ([Exhibit 23](#)).

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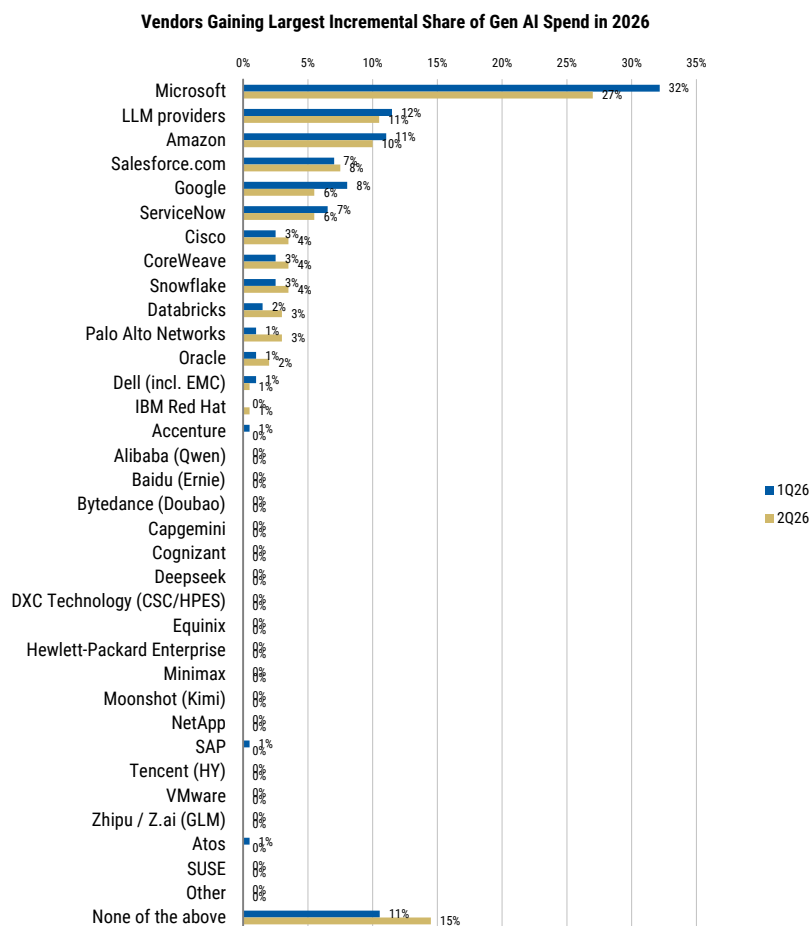
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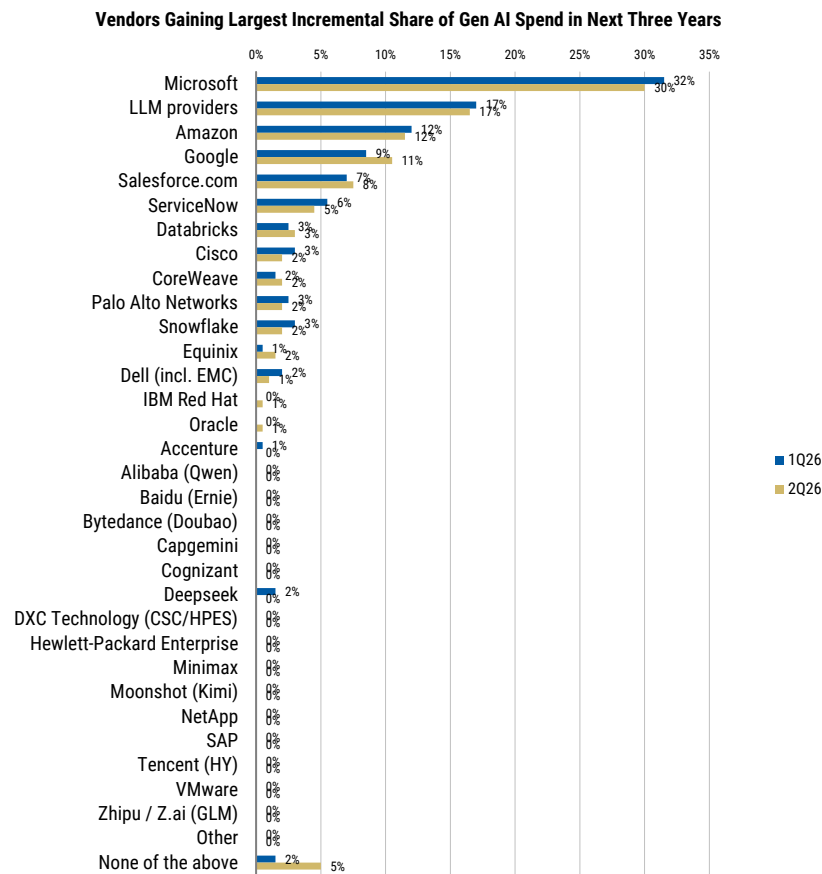
- Taken together, **the improving headline data provides more support for optimism in certain areas of IT budgets, though we still lack sufficient ammunition to become structurally more positive on application software broadly**, as Software's 2026 growth expectations were effectively unchanged sequentially and vendor-level software spending intentions remain dispersed.
- As such, **the range of winners likely remains relatively narrow, with Microsoft again screening as the clearest public beneficiary** across incremental GenAI spend, agentic automation, custom AI application preferences, and enterprise distribution, while **LLM Providers are gaining direct CIO relevance as a secondary source of share gain across AI-related spend and custom AI application development**.
- Lastly, **Security screens as the cleanest category-level winner given its priority, defensibility, and accelerating spend outlook**.

Exhibit 1: CIOs Indicate Expectations for Microsoft, LLM Providers, Amazon, and Salesforce to Gain the Largest Incremental Share of GenAI Spend in 2026...



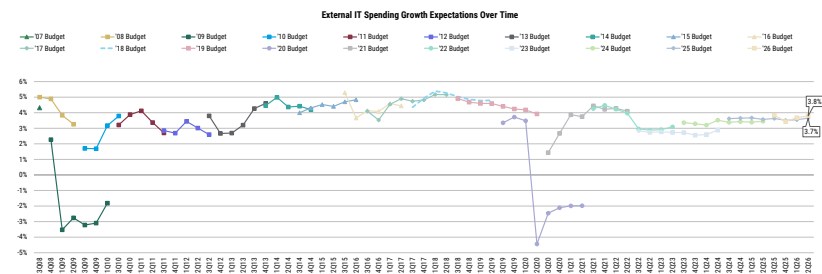
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 2: ...With Google and Salesforce Taking More Share Over The Next Three Years



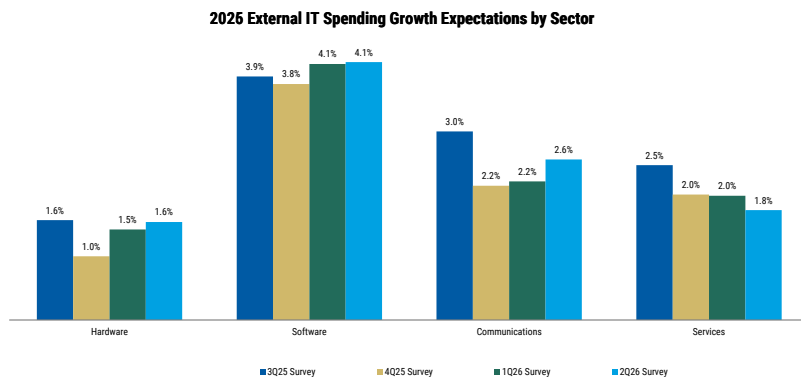
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 3: At 3.8%, CIOs Continue to Expect Modest Budget Growth Acceleration YoY (+14 bps from 3.7% in 2025)



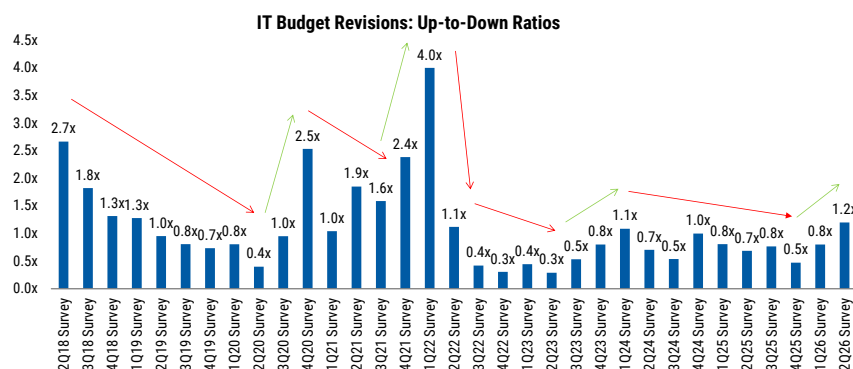
Source: AlphaWise, Morgan Stanley Research. N=100 (US and EU data)

Exhibit 4: Sequentially, Budget Growth Expectations Were Revised Up Across All Industries (Except Services)



Source: AlphaWise, Morgan Stanley Research. N=100 (US and EU data)

Exhibit 5: Up-to-Down Ratio Increased Significantly to 1.2x from 0.8x, Indicating that Upward Revisions to IT Budgets Are More Likely Near Term



Source: AlphaWise, Morgan Stanley Research. N=100 (US and EU data)

How the Industries are Positioned

- Software: Better Budget Air Cover, Though Application Software Still Need More Evidence.** With the broader IT budget backdrop improving and the 1-year up-to-down ratio moving above 1.0x for the first time since 1Q24, Software investor focus has shifted back toward whether improving AI momentum can drive a more durable inflection in Software budgets. At the industry level, Software remains the fastest-growing, with CIOs expecting +4.1% growth in 2026, up +29 bps from 2025 ([Exhibit 12](#)). **With that said, we still do not find sufficient ammunition this quarter to become structurally more positive on application software broadly.** Sequentially, Software spending expectations were effectively unchanged, up just +3 bps QoQ ([Exhibit 45](#)), and vendor-level spending intentions remain highly dispersed, with Microsoft and ServiceNow the only tracked vendors expected to accelerate versus our 4Q25 survey ([Exhibit 46](#)). **Funding data also argues for selectivity:** while AI spend still appears more additive than cannibalistic, combined net-new funding sources declined to 54% in 2Q26 from 61% in 4Q25, while reallocations within existing IT budgets increased to 32% from 23%, including 15% from existing Software budgets (up from 13% in 4Q25), [Exhibit 32](#). **Net, the survey supports a more constructive**

Software backdrop than prior reads, but not a broad application software inflection. Below we highlight three key Software-specific takeaways from our 2Q26 CIO Survey:

- **Application Software Results Remain Mixed.** Looking across our Application Software coverage, 2Q26 survey data still does not provide enough evidence to become structurally more positive on the group. Vendor-level spending intentions remain dispersed, with Microsoft and ServiceNow the only tracked software vendors where forward-year growth expectations accelerated versus our 4Q25 survey, while Salesforce, Adobe, Workday, and SAP all decelerated ([Exhibit 46](#)). Looking under the hood at CIO expectations for vendors gaining the largest incremental share of GenAI spend on one- and three-year views, the results remain mixed ([Exhibit 1](#), [Exhibit 2](#)). Salesforce improved modestly QoQ, as 8% of CIOs expect Salesforce to gain incremental GenAI spend share in 2026 (up from 7% in 1Q26), and 8% expect Salesforce to gain share over the next three years (up from 7% in 1Q26). Conversely, ServiceNow downticked on both time horizons, down to 6% of CIOs on a one-year view (down from 7% in 1Q26), and down to 5% of CIOs over the next three years (down from 6% in 1Q26). Further, LLM Providers continue to screen as the second-largest expected GenAI share gainer behind Microsoft, with 11% of CIOs expecting LLM Providers to gain incremental share in 2026, modestly down from 12% in 1Q26, and 17% of CIOs expecting incremental share gains over the next three years (unchanged QoQ). While LLM Provider share gains did not inflect materially higher sequentially, their positioning does suggest continued wallet-share risk for incumbent application vendors not well positioned to participate in GenAI spend. **Net, while the survey points to pockets of application vendor participation in the AI investment cycle, the broader results still point to mixed vendor-level spend intentions and uneven capture of GenAI wallet share.**
- **Microsoft Remains the Clearest Winner, Albeit with a Modest Downtick from 1Q26.** CIO Survey data continues to underpin Microsoft's leadership position in AI, though several AI-specific datapoints moderated from elevated 1Q26 levels: Microsoft remains the clear #1 vendor expected to gain incremental share of GenAI spending in both 2026 (27% of CIOs, down from 32% in 1Q26) and over the next three years (30%, down from 32% in 1Q26) ([Exhibit 1](#), [Exhibit 2](#)). Related, amidst a broad suite of agentic vendors, 36% of CIOs expect Microsoft to be leveraged for agentic automation initiatives (down from 42% in 1Q26), but still well ahead of the next closest vendor at 8% ([Exhibit 10](#)). New survey work around custom AI application development similarly reinforces Microsoft's positioning, with Microsoft screening as the preferred vendor today (47%, roughly stable versus 48% in 1Q26) and over the next three years (34%, up from 32% in 1Q26), [Exhibit 11](#). Importantly, this modest downtick across select AI share indicators pairs against still-accelerating Microsoft spending intentions ([Exhibit 46](#)). Looking across a broad suite of software vendors, CIOs

expect the highest forward-year growth for Microsoft from an absolute growth expectations perspective at +7.6%, up from +7.3% in our 4Q25 survey. Further, CIOs note the top AI / LLM initiative remains broader internal employee productivity (30% of responses) ([Exhibit 34](#)), highlighting the opportunity for products like Microsoft 365 Copilot as well as potential upsell opportunities for E5 / E7 SKUs. Specifically, 88% of CIOs note expectations to utilize Microsoft 365 Copilot over the next 12 months, up from 80% in 4Q25 ([Exhibit 61](#)). Lastly, the 2Q26 Survey also highlights continued premium M365 monetization potential, with E7 newly broken out and CIOs expecting combined E5 / E7 mix to reach 71% next year ([Exhibit 58](#), [Exhibit 58](#), [Exhibit 60](#)). **Even as LLM Providers gain direct CIO relevance, Microsoft remains well-positioned to consolidate software spend while effectively monetizing GenAI across M365, Copilot, Azure, GitHub, Fabric, and broader enterprise distribution over a multi-year timeframe.** See [Microsoft: 2Q26 CIO Survey Takeaways — GenAI Leadership Position Remains Clear](#) for Microsoft-specific takeaways from our 2Q26 Survey.

- **Security Software Spending Expectations Accelerate Meaningfully.**

CIOs note expectations for spending on Security to accelerate meaningfully in 2026, with expected growth of +12.4% vs +8.9% in 2025 ([Exhibit 49](#)), and up +306 bps from +9.4% in our 4Q25 survey ([Exhibit 49](#)). The magnitude of the step-up is notable and likely driven by three key factors: **1) replacement of technical debt**, as legacy / off-maintenance infrastructure represents an immediate vulnerability and supports firewall refresh activity, with higher memory costs also increasing the price of newer firewall appliances; **2) automated SOC / SIEM investment**, as security analysts face increasing alert volumes and a rising mix of AI-enabled attacks, driving demand for automation and more data flowing through SIEM platforms; and **3) AI security**, particularly enhanced identity and data security as enterprises begin to deploy GenAI-enabled applications more broadly. The survey also continues to point to Security as one of the cleanest areas of durability in the survey (ranking as the #2 CIO priority at 11.3% of responses, up from 10.7% in 1Q26) ([Exhibit 20](#)) and the most defensible IT project with a +15% net defensibility score (up from +12% in 1Q26) ([Exhibit 23](#)).

Net, the combination of accelerating spend expectations, high CIO prioritization, and leading defensibility continues to support a positive outlook for Security Software within the broader software cohort, particularly as CIOs appear willing to protect security budgets even as other areas of software remain more mixed.

- **2026 IT Hardware budget growth is broadly stable relative to 2025 growth, and modestly better vs. 1Q26 (+1.6% vs. +1.5% in 1Q), but with some mixed details.** Our 2Q26 CIO Survey shows that CIOs expect 2026 Hardware spend to grow 1.6% Y/Y, slightly better than 1Q26 CIO Survey by

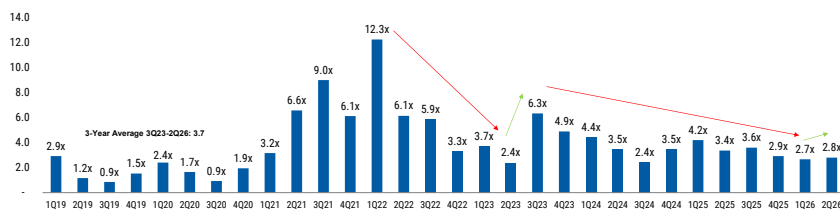
10bps, and is in-line with Y/Y hardware budget growth in 2025. Hardware remains the slowest growing sector amongst all tech sectors in our survey. We think the slight revision higher to 2026 Hardware budget growth makes sense, as CIOs likely have had to factor in pull-forward and higher priced hardware, driven by industry-wide component cost inflation. However, we are surprised spending intentions from this survey are not stronger given clear real-world examples of strong infrastructure demand (i.e. IBM negative pre-announcement). For context, Hardware budget growth of 1.6% is in-line to the trailing 10-year average. Digging a level deeper, macro takeaways from this survey were mixed – (1) 2026 SMB hardware spending expectations downticked this quarter (from +0.4% to -0.8%), in addition to a slight downtick from large enterprises (from +1.7% to +1.6%), while (2) CIOs still broadly are not prioritizing hardware-related projects, with only AI/ML, infrastructure hardware, and data center build out projects upticking Q/Q. Additionally, defensibility of hardware projects remains mixed, with desktop/laptop equipment and data center build out among the least defensible IT projects if the macro deteriorates. Net, this leaves our views on the group largely neutral. Hardware stocks have appreciated 45% on average, and now trade at 26.8x P/E (18.2x median) and a 32% premium to the S&P, 5 standard deviations above the historical average.

- Networking spend accelerating despite elevated memory cost. 2Q26**
 Networking budget expectations improved to +2.6% y/y, a +35bp sequential acceleration and the second-highest industry growth rate behind Software at +4.1%, though Communications remains modestly below 2025 expectations of +2.7%. Upward budget revisions are directionally higher, with the up-to-down ratio improving to 1.2x from 0.8x, driven by 30% of CIOs expecting upward revisions and 25% expecting downward revisions. Networking Equipment screened as the fourth-most defensible CIO priority, while Security Software remains the most defensive. Security budgets are shifting toward SOC automation and AI for security, with signs of vendor consolidation. Memory pricing is a watch item, with VARs expecting an average 15% memory-related customer price increase, while spend intention increases indicate ability to absorb for now. 2Q VAR results show dramatic acceleration in spend intentions for **CSCO/ANET/HPE**, pointing to spend on AI/DC modernization. **Results most positive for CSCO; most cautious for FFIV.**
- 2026 IT Services spending intentions show modest deceleration despite improvement in broader IT budget growth.** Our 2Q26 CIO Survey points to +1.8% y/y Services growth for 2026, down from +2.0% in our 1Q26 survey and below the +2.1% growth seen in 2025, with Services the only major IT category to weaken sequentially. We believe AI investment continues to crowd out discretionary Services programs, as the rapid pace of model advancement is prompting leadership teams and boards to prioritize ongoing AI development over broader transformation work. Notably, 59% of respondents expect Gen AI to increase traditional IT outsourcing spend versus 19% that expect a reduction, suggesting demand could eventually improve as AI initiatives move from experimentation into scaled production.

Within our coverage, ACN (EW) appears best positioned to benefit from an eventual recovery given its scale, enterprise relationships, exposure to large transformation programs, and leading position in vendor consolidation; however, we believe the stock requires clearer evidence of accelerating discretionary Services demand. We also favor the investment-forward AI strategies at ACN and CTSI (EW), including their significant use of M&A to expand AI capabilities, technical expertise, and proprietary offerings, though monetization remains early and we await stronger evidence of broad-based production adoption.

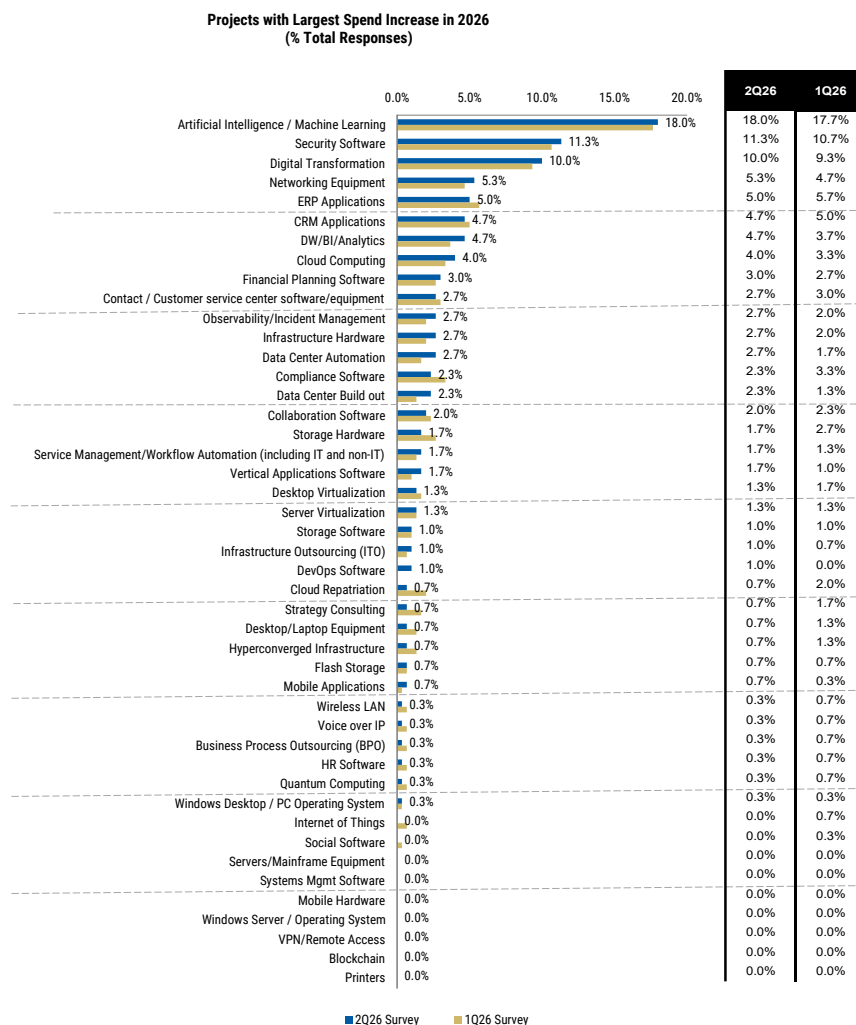
Exhibit 6: Long-Term Up-to-Down Ratio Also Ticked Up QoQ, With 42% of CIOs Expecting IT Spending to Increase as a % of Total Revenue over the Next 3 Years, Relative to Just 15% Expecting Declines

CIO Expectations on IT Spending as % of Revenue in Next 3 Years (Increase / Decrease Ratio)



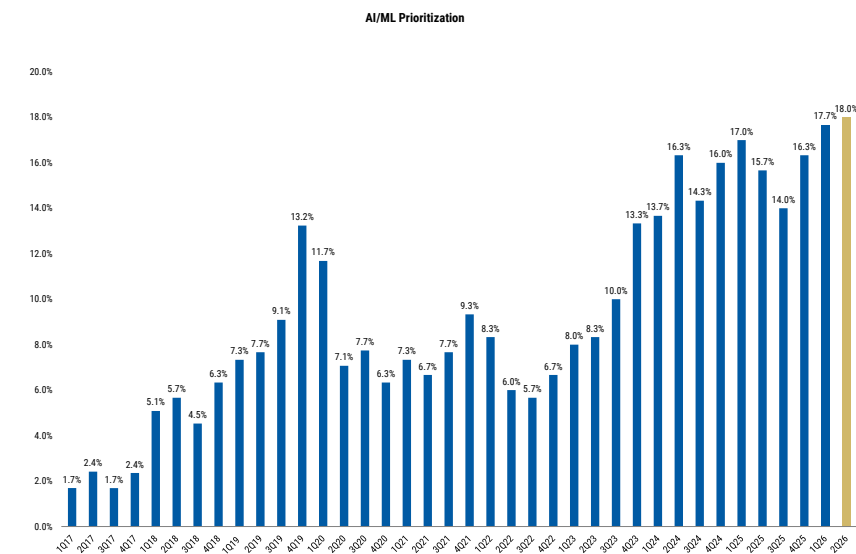
Source: AlphaWise, Morgan Stanley Research. N=100 (US and EU data)

Exhibit 7: AI/ML Sustains Positioning at the Top of the CIO Priority List, Followed by Security Software and Digital Transformation



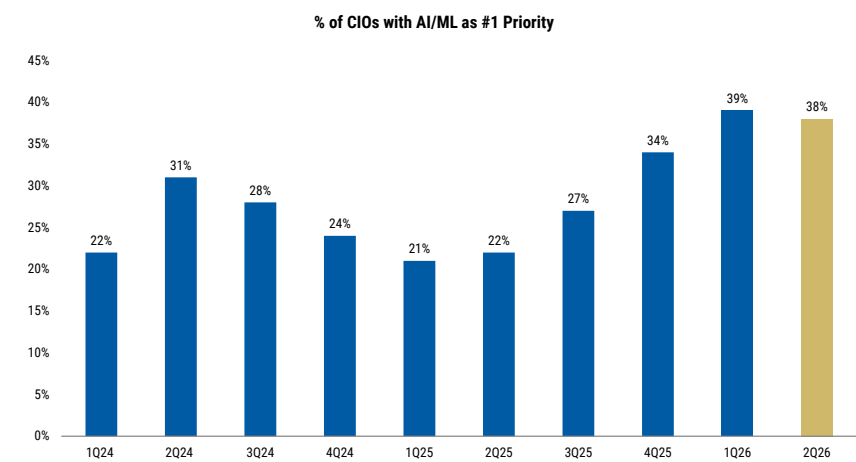
Source: AlphaWise, Morgan Stanley Research. N=100 (US and EU data)

Exhibit 8: AI/ML Prioritization Reaches Survey High at 18% in 2Q26, Up From 17.7% in 1Q26



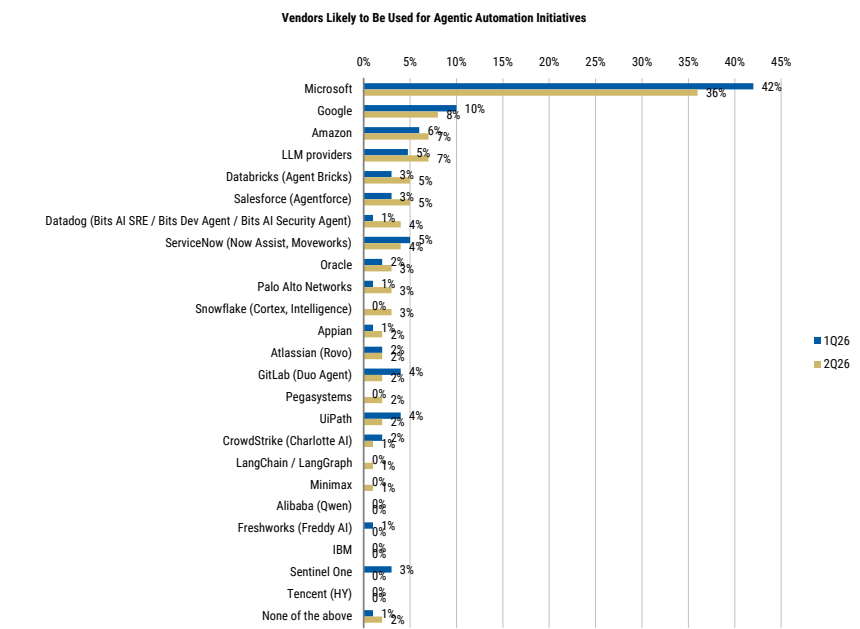
Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

Exhibit 9: AI/ML's Position as CIO's Top Priority Remains Strong in 2Q26 Despite Modest Downtick



Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

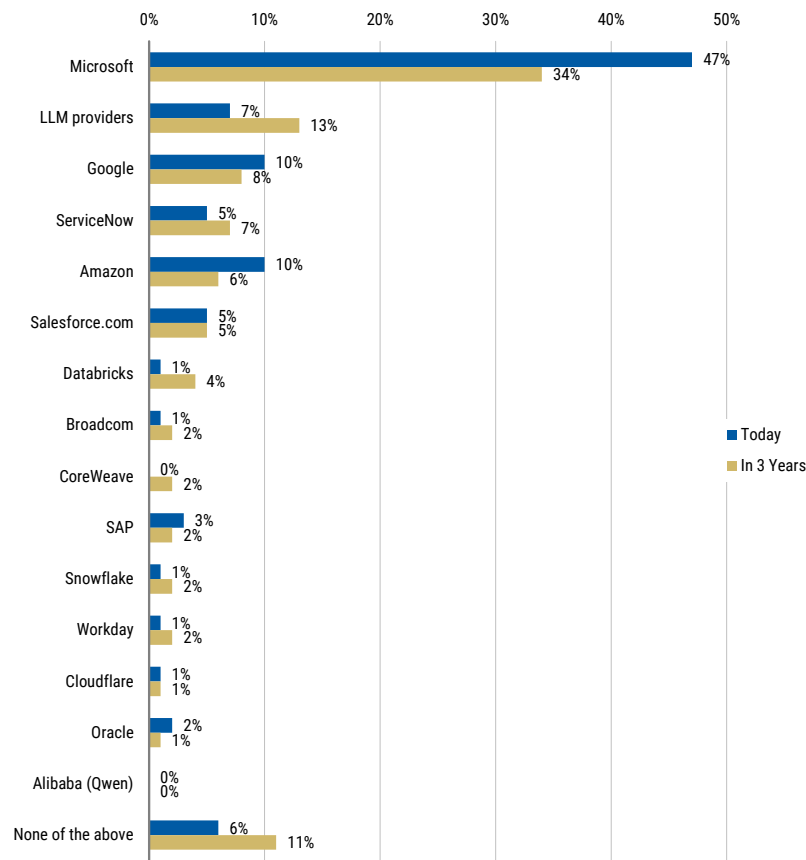
Exhibit 10: Microsoft, Google, Amazon, and the LLM Providers Screen as Vendors Most Likely Used for Agentic Automation Initiatives



Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

Exhibit 11: CIOs Point to Microsoft, LLM Providers, Google, and ServiceNow as Preferred Vendors for Building Custom AI Applications Today and 3 Years Out

2Q26: Preferred Vendors for Building Custom AI Applications: Today vs. 3 Years Out



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Macro – Key Takeaways

We surveyed 76 US and 24 European CIOs regarding their external IT budgets and the current spending environment. Key macro takeaways from our 2Q26 survey include:

- **CIO expectations for 2026 IT budgets accelerated for a second consecutive quarter to +3.8% growth in 2Q26, vs +3.7% as indicated in our 1Q26 reading and up from +3.7% growth expectations for 2025, Exhibit 3.** While growth expectations remain below the 4.1% 2010-2019 average, the data points to a stable-to-improving spending backdrop, with budget optimism constructively inflecting toward trailing survey averages.
- **CIOs continue to expect Software to remain the fastest growing IT industry in 2026, though sequential improvement was muted. CIOs expect Software spending to grow +4.1% in 2026, up +29 bps YoY from 2025, followed by Communications (+2.6%), IT Services (+1.8%), and Hardware (+1.6%), Exhibit 4.** Sequentially, expectations for 2026 budget growth were revised higher across all industries except Services, most notably Communications (+35 bps QoQ) and Hardware (+12 bps QoQ), while Software was effectively flat (+3 bps QoQ) and IT Services deteriorated (-23 bps QoQ). **Net, Software remains the best industry-level read, though we still lack evidence of a material sequential inflection in Software budgets.**
- **The 1-year up-to-down ratio for CIOs' expectations of potential IT budget revisions inflected positively, representing the clearest constructive macro datapoint in the survey.** Our 2Q26 read for **potential IT budget revisions came in at 1.2x, up from 0.8x in 1Q26**, with 30% of CIOs expecting upward revisions versus 25% expecting downward revisions, [Exhibit 5](#). This marks the first reading above 1.0x since 1Q24, suggesting upward revisions to IT budgets are now more likely near term.
- **Long-term secular trends improved modestly, though remain below recent averages. The 3-year up-to-down ratio ticked up to 2.8x from 2.7x in 1Q26**, as 42% of CIOs expect IT spending to increase as a percentage of revenue over the next three years versus 15% expecting declines, [Exhibit 6](#). While still constructive, the ratio remains below the trailing survey average of 3.7x, suggesting CIOs remain optimistic on medium-term IT spending growth, but not euphoric.
- **AI/ML sustains positioning on the top of the CIO priority list, reaching another survey high in net prioritization, Exhibit 20.** AI / ML ranks as the top CIO priority at 18.0% of responses, up modestly from 17.7% in 1Q26, followed by Security Software (11.3%, +60 bps QoQ), Digital Transformation (10.0%, +70 bps QoQ), Networking Equipment (5.3%, +60 bps QoQ), and ERP Applications (5.0%, -70 bps QoQ). **While AI / ML remains the clear top priority, the percentage of CIOs naming AI / ML as their #1 priority ticked down slightly to 38% from 39% in 1Q26, Exhibit 9.**
- **Security Software (net score of 15%) remains the most defensible area of spending, while AI/ML screens less defensible QoQ despite remaining the top priority, Exhibit 23.** Security Software posted the highest net defensibility score at +15%, up from +12% in 1Q26, followed by Digital Transformation (net score of 9%), ERP Applications (net score of 7%), Networking Equipment (net score of 6%),

and AI/ML (net score of 4%). Importantly, **AI/ML defensibility declined by 600 bps QoQ**, suggesting CIOs remain highly focused on AI, but are becoming more discerning around which AI initiatives are truly protected. **Digital Transformation saw the largest increase in defensibility, improving +500 bps QoQ**. The least defensible areas include Strategy Consulting, Data Center Buildout, Desktop / Laptop Equipment, Cloud Repatriation, and CRM Applications.

- **As workloads shift to the cloud, Microsoft and Amazon remain the clear beneficiaries, though LLM Providers are emerging as a secondary share gainer** ([Exhibit 24](#), [Exhibit 25](#)). Microsoft remains the top expected share gainer from cloud migration in both 2026 and over the next three years (42% and 37% net scores, respectively), followed by Amazon (17% and 13% net scores, respectively). That said, results also point to some budget share shifting toward LLM Providers, which screen as an emerging beneficiary in both one-year and three-year views with 2% and 7% net scores, respectively. Conversely, Dell, Oracle, HPE, Cisco, and VMware continue to screen as likely share donors as workloads move from on-premise to cloud ([Exhibit 26](#), [Exhibit 27](#)).
- **CIOs continue to expect momentum in the shift to public cloud, with current workload mix still tracking ahead of historical migration trends; co-location / managed hosting now screens as a small but stable workload location**, [Exhibit 28](#). 2Q26 survey data suggests 48% of application workloads are running in the public cloud today, up from 47% in 4Q25 and 44% in 2Q25. CIOs now expect 52% of application workloads to run in the public cloud by the end of 2026 and 66% by the end of 2028, modestly below the 67% / 68% three-year expectations in 4Q25 / 2Q25, respectively, but still implying continued migration from on-premise environments. **New to the survey, CIOs estimate 8% of workloads reside in co-location / managed hosting today, with that share expected to remain largely stable at 7% by the end of 2026 and 2028. We see this as incrementally positive for scaled operators Equinix and Digital Realty, as colocation remains a durable component of enterprise IT architecture**, [Exhibit 29](#).
- **AI initiative funding remains meaningful, but less cleanly additive as reallocation rises**, [Exhibit 32](#). In 2Q26, 33% of CIOs indicate funding AI / LLM initiatives through net new IT budget dollars, down from 37% in 4Q25 and 39% in 2Q25, while 21% cite net new budget from outside IT, down from 24% in 4Q25 but up from 17% in 2Q25. Combined, net-new funding sources account for 54% of responses, down from 61% in 4Q25 and modestly below 56% in 2Q25. At the same time, CIOs are increasingly funding AI through budget trade-offs: IT-budget reallocations total 32% in 2Q26, up from 23% in 4Q25, including 15% from existing Software budgets, 6% from Professional Services, 6% from another area of IT budget, 3% from Hardware, and 2% from Communications / Data Networking. Reallocation from non-IT business unit budgets declined to 8% from 13% in 4Q25. **Net, AI spend still appears more additive than cannibalistic, but the funding story is less clean than 4Q25 and increasingly includes trade-offs within existing IT budgets**.
- **Initial indications of business units where Generative AI is most widely deployed across organizations suggests IT Operations (47%), Software Development (44%), Customer Service (33%), and Supply Chain and Inventory Management (15%) are most widely adopting GenAI today**, [Exhibit 35](#). Drilling

into the impact to the cost profiles of these different businesses units, CIOs usage of Generative AI is driving cost reductions in Customer Service (-1.8%), HR & Payroll (-1.5%), and Corporate Finance & Strategy (-0.8%), while ROI in areas like Supply Chain and Inventory Management (+1.2%) and Software Development (+0.8%) is driving budget increases, [Exhibit 36](#).

- **CIOs continue to note expectations for Microsoft, LLM Providers, and Amazon to gain the largest incremental share of GenAI spend ([Exhibit 37](#), [Exhibit 38](#)).** In 2026, Microsoft remains the clear leader at 27% (down from 32% in 1Q26), followed by LLM Providers at 11% (down from 12% in 1Q26), Amazon at 10% (down from 11% in 1Q26), Salesforce at 8% (up from 7% in 1Q26), and Google / ServiceNow at 6% each (down from 8% / 7% in 1Q26, respectively). On a three-year view, Microsoft remains the largest gainer at 30% (down from 32% in 1Q26), followed by LLM Providers at 17% (unchanged QoQ), Amazon at 12% (unchanged QoQ), Google at 11% (up from 9% in 1Q26), Salesforce at 8% (up from 7% 1Q26), and ServiceNow at 5% (down from 6% in 1Q26). **Net, Microsoft remains the clearest public AI beneficiary, while LLM Providers continue to screen as the #2 expected GenAI share gainer on a three-year view, [Exhibit 39](#).**
- **As it relates to Agentic Automation initiatives, CIOs point to Microsoft (36%), Google (8%), Amazon (7%), and LLM Providers (7%) as the top four vendor preferences, [Exhibit 40](#).**
- **For those building custom AI Applications, CIOs point to Microsoft (47%), Amazon (10%), Google (10%), LLM Providers (7%), ServiceNow (5%), and Salesforce (5%) as their preferred vendors today. On a three year view, they indicate Microsoft (34%), LLM Providers (13%), Google (8%), and ServiceNow (7%) as their top choices for building out custom AI Applications, [Exhibit 41](#).**
- **Vendor discounting appears broadly stable, with mixed signals on pricing behavior, [Exhibit 31](#).** In 2Q26, 35% of CIOs perceive vendors as more aggressive in discounting, modestly above 31% / 32% in 3Q25 / 2Q25, while 27% report vendors have become less aggressive and 38% report no change. Net, the pricing environment does not appear to be deteriorating meaningfully, though vendors remain willing to discount in select areas.

Note on Vendor Changes

- Historical October 2015 (3Q15) Macro survey data reflects a different survey vendor, representing a higher mix of small businesses,

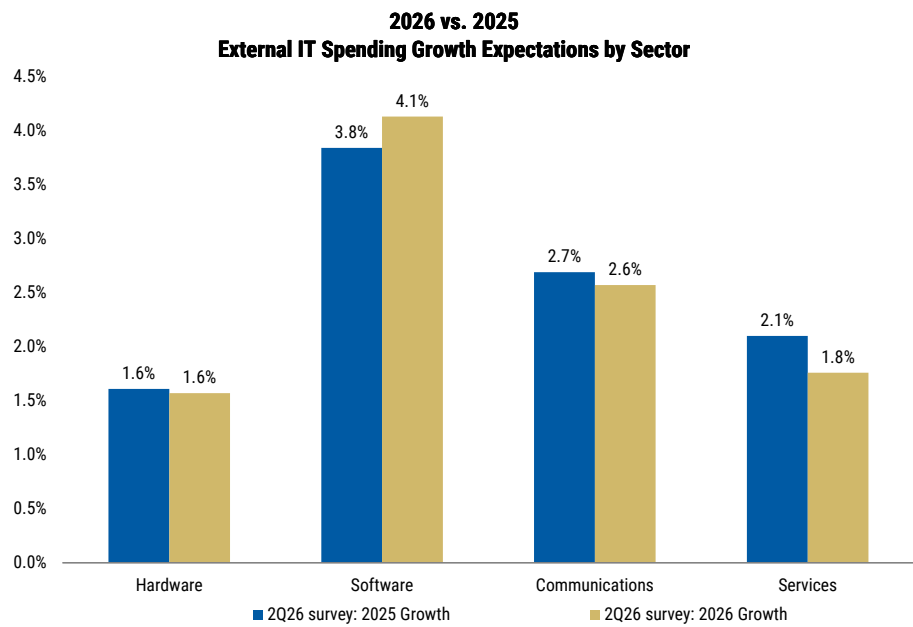
and a change in business verticals represented. This may affect historical comparisons.

- In the first half of 2024, Domain and VARs surveys underwent a transition to a new vendor. Hence, comparisons with prior surveys conducted by legacy vendor could face possible comparability issues.

2Q Results Indicate CIOs Expect 2026 Budget Growth of 3.8%, A Modest Uptick Relative to Prior Readings

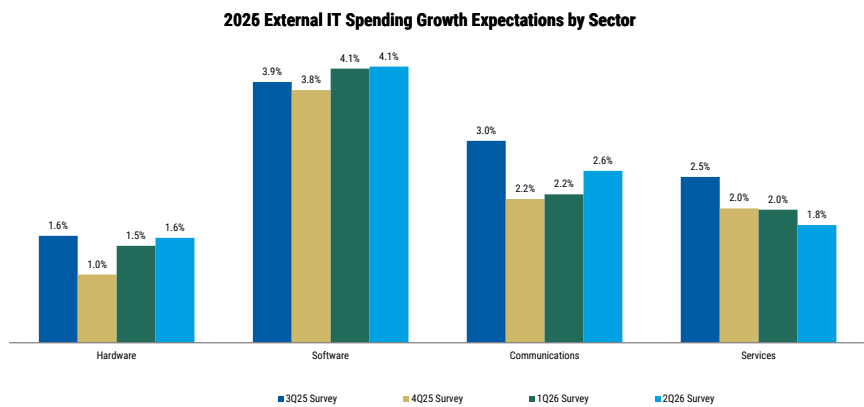
What is your estimated percentage (%) growth for the External IT Spending portion of your IT Budget for the full year 2025 vs. 2024? What is your estimated percentage (%) growth for the External IT Spending portion of your IT Budget for the full year 2026 vs. 2025?

Exhibit 12: CIOs Continue to Expect Software to Be the Fastest Growing IT Industry into 2026



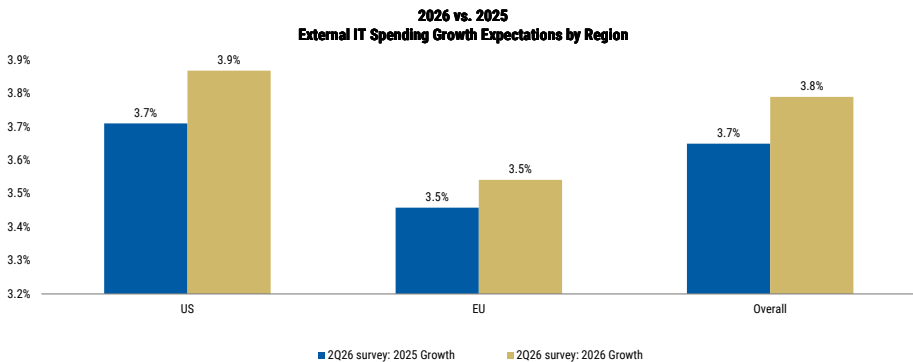
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 13: Sequentially, All IT Industries Saw Positive Revisions to 2026 IT Budget Growth Expectations QoQ (Except Services)



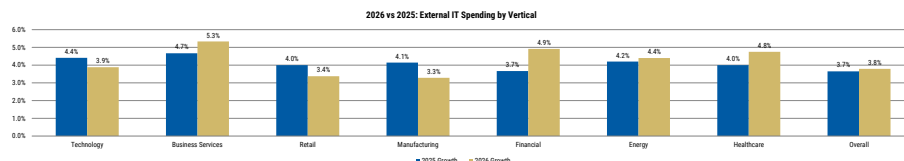
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 14: US IT Budget Growth Continues to Track Higher vs. EU Budget Growth,



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 15: CIOs in the Business Services, Financials, and Healthcare Industries Expect the Highest IT Budget Growth in '26



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

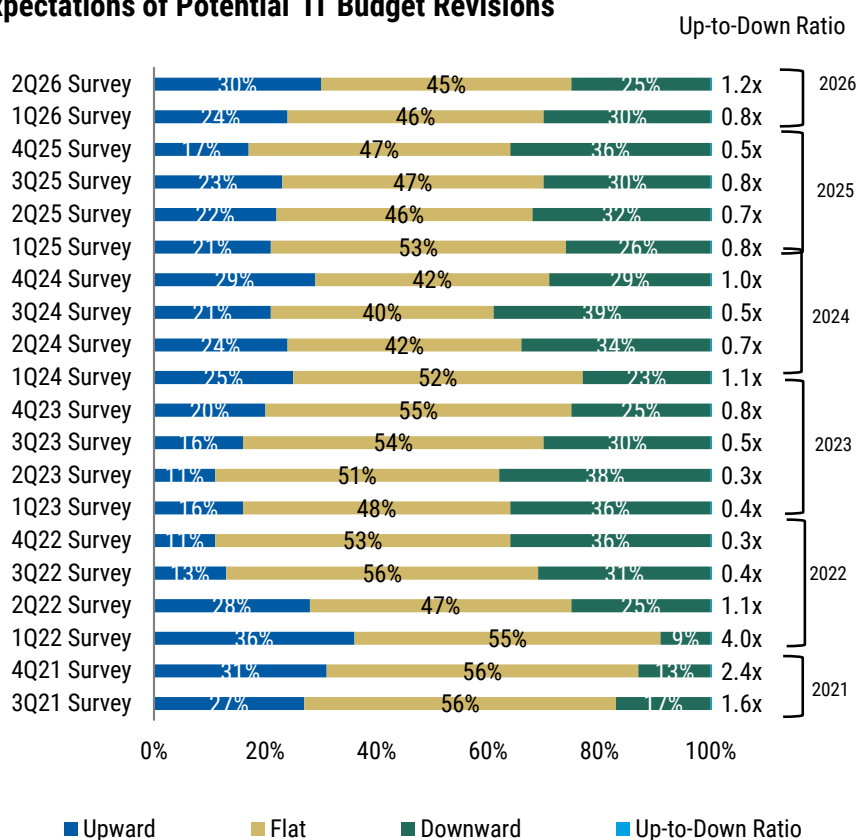
- CIOs continue to expect Software to remain the fastest growing IT industry in 2026, though sequential improvement was muted. CIOs expect Software spending to grow +4.1% in 2026, up +29 bps YoY from 2025, followed by Communications (+2.6%), IT Services (+1.8%), and Hardware (+1.6%), Exhibit 4.** Sequentially, expectations for 2026 budget growth were revised higher across all industries except Services, most notably Communications (+35 bps QoQ) and Hardware (+12 bps QoQ), while Software was effectively flat (+3 bps QoQ) and IT Services deteriorated (-23 bps QoQ). **Net, Software remains the best industry-level read, though we still lack evidence of a material sequential inflection in Software budgets.**
- Regionally, US-based CIOs continue to have more robust IT budget growth expectations relative to their European counterparts, Exhibit 14. **US CIOs expect +3.9% IT budget growth in 2026, compared to +3.5% growth expectations from EU-based CIOs.** This compares to 2025 growth expectations of +3.7% in the US and +3.5% in Europe, implying modest YoY acceleration in the US and a relatively stable EU spending backdrop.
- CIOs in the Business Services, Financials, and Healthcare industries lead all other verticals in terms of absolute IT spending growth expectations for 2026, Exhibit 15.** Business Services screens highest at +5.3%, followed by Financials (+4.9%) and Healthcare (+4.8%). Notably, 2Q26 survey results point to the largest magnitude of YoY acceleration in Financials (+120 bps vs. 2025), Healthcare (+80 bps), and Business Services (+60 bps). In contrast, CIOs in Manufacturing, Retail, and Technology indicate expectations for IT spending growth to decelerate from 2025 to 2026, with Manufacturing seeing the largest decline (-80 bps YoY).

2026 Budget Revision Ratio Rising Above 1.0x Points To Constructive Near Term Outlook; Long-Term Trend Remains Durable

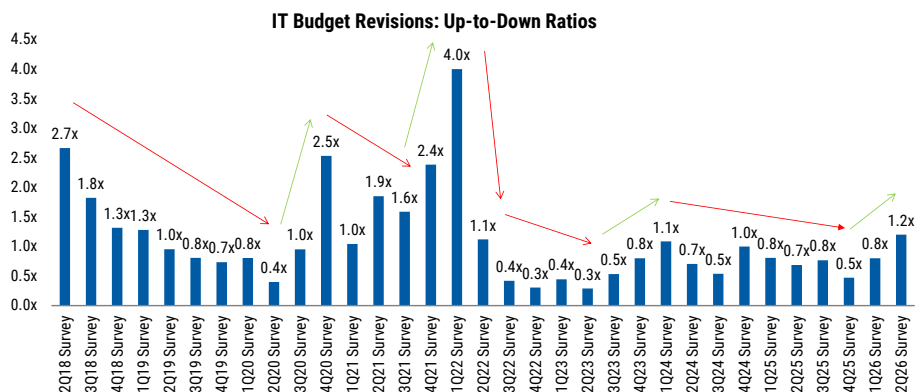
What are your expectations regarding potential future revisions to your current 2026 IT budget plans?

Exhibit 16: Up-to-Down Ratio Increased to 1.2x from 0.8x in 1Q26, Indicating that Upward Revisions to IT Budgets Are More Likely Near-Term; 30% of CIOs Expect Upward Revisions to IT Budgets as More Likely vs. 25% of CIOs Expecting Downward Revisions

Expectations of Potential IT Budget Revisions

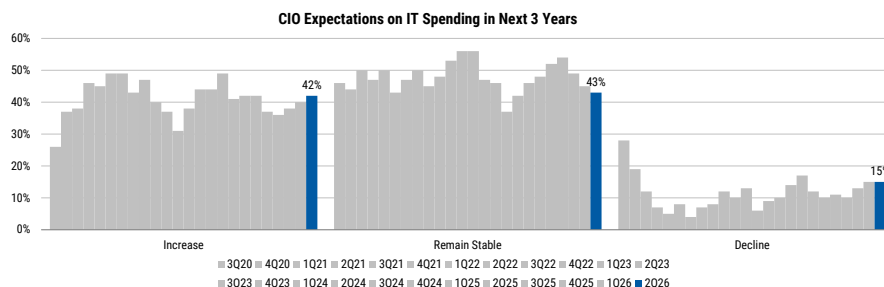


Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

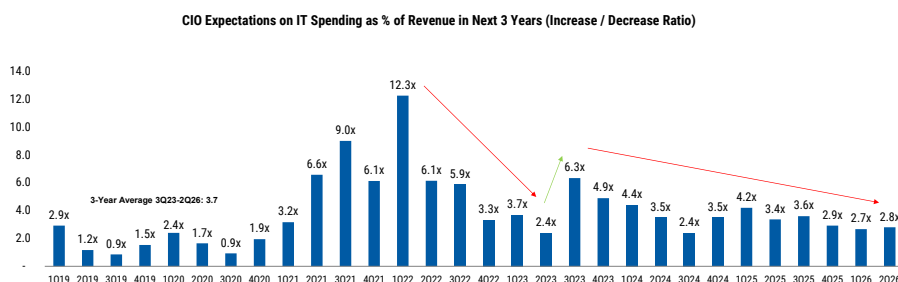
Exhibit 17: 1-Yr Up-to-Down Ratio Ticked Up Above 1.0x For The First Time Since 1Q24

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Over the next three years, how do you expect IT spending as a % of total revenues to change within your organization?

Exhibit 18: 42% of CIOs Expect IT Spending to Increase as a % of Total Revenue over the Next 3 Years...

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 19: ...Translating to a 2.8x Up-to-Down Ratio

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

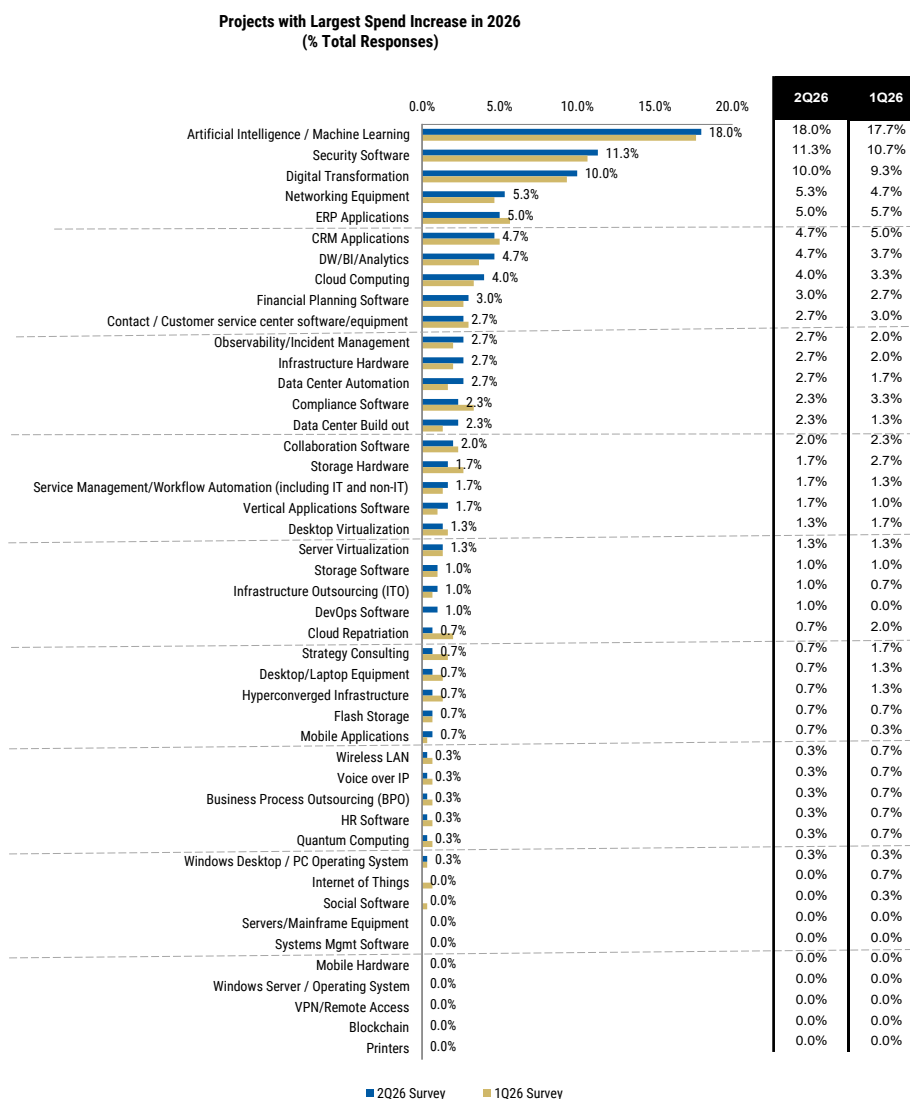
- **The 1-year up-to-down ratio for CIOs' expectations of potential IT budget revisions inflected positively, representing the clearest constructive macro datapoint in the survey.** Our 2Q26 read for **potential IT budget revisions** came in at **1.2x**, up from **0.8x** in 1Q26, with 30% of CIOs expecting upward revisions versus 25% expecting downward revisions, [Exhibit 5](#). This marks the first reading above 1.0x since 1Q24, suggesting upward revisions to IT budgets are now more likely near term.
- **Long-term secular trends improved modestly, though remain below recent averages.** The **3-year up-to-down ratio** ticked up to **2.8x** from **2.7x** in 1Q26, as 42% of CIOs expect IT spending to increase as a percentage of revenue over the

next three years versus 15% expecting declines, [Exhibit 6](#). While still constructive, the ratio remains below the trailing survey average of 3.7x, suggesting CIOs remain optimistic on medium-term IT spending growth, but not euphoric.

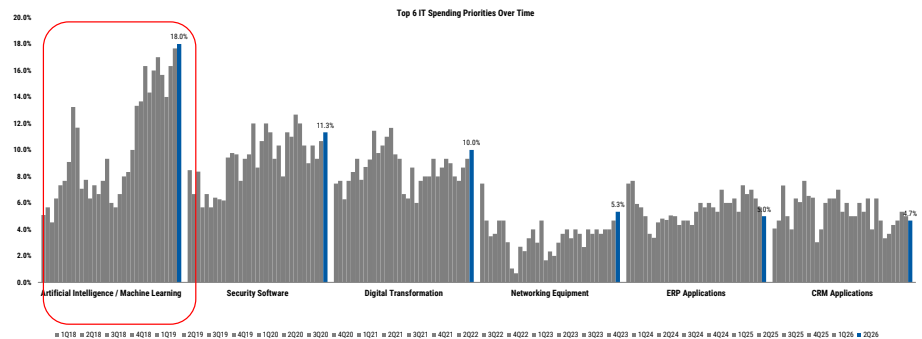
Artificial Intelligence/Machine Learning Remains Atop the CIO Priority List; Security Software and Digital Transformation Round Out the Top 3

Which three External IT Spending projects will see the largest percentage increase in spending in 2026?

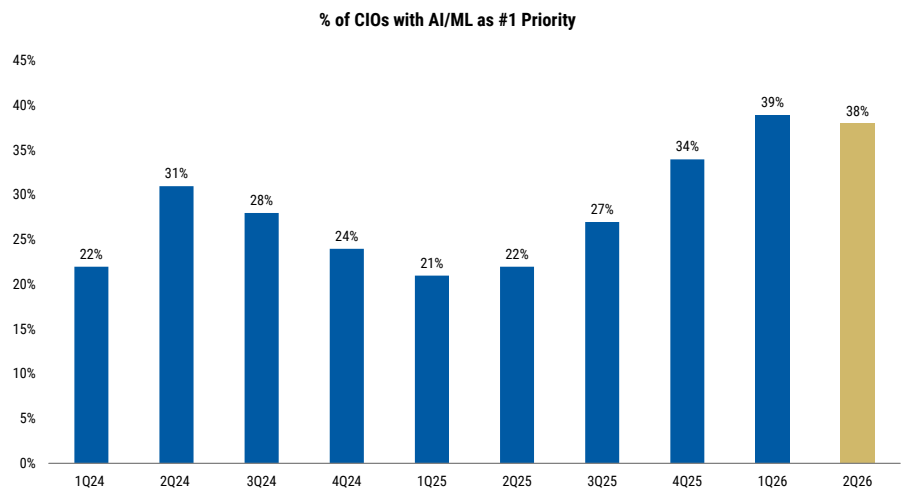
Exhibit 20: Top CIO Priorities Remain Unchanged in 2Q26: AI/ML, Followed By Security Software and Digital Transformation



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 21: AI/ML Net Prioritization Hits Another All Time Survey High in 2Q26

Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 22: AI/ML's Position as CIO's Top Priority Remains Strong in 2Q26 Despite Modest Downtick

Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

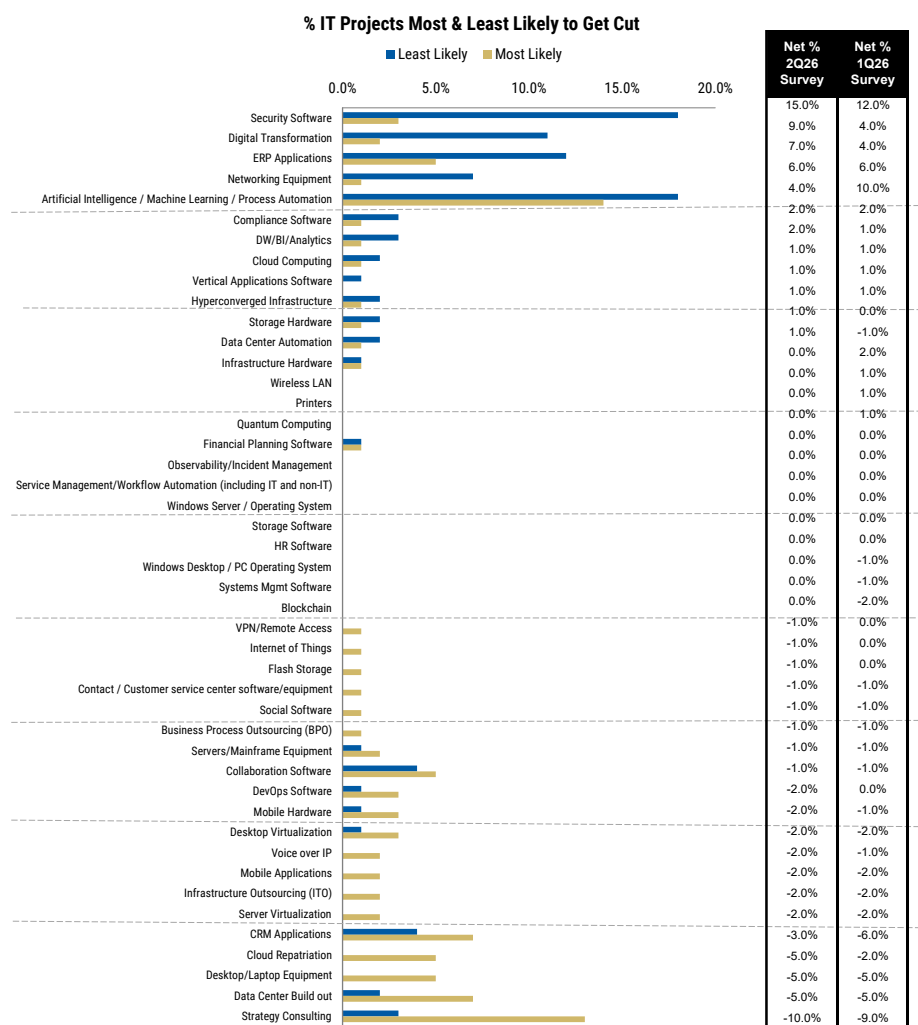
- Artificial Intelligence / Machine Learning sustains positioning as #1 on the CIO priority list, reaching another survey high in net prioritization, Exhibit 20.** AI / ML ranked as the top CIO priority at 18.0% of responses in 2Q26, up modestly from 17.7% in 1Q26. Security Software moved to #2 at 11.3%, up +60 bps QoQ, followed by Digital Transformation at 10.0%, up +70 bps QoQ. Networking Equipment (5.3%, +60 bps QoQ) and ERP Applications (5.0%, -70 bps QoQ) round out the top 5.
 - While AI / ML remains clearly prioritized, the broader priority stack shifted modestly toward Security, Digital Transformation, Networking, and Analytics. DW / BI / Analytics increased to 4.7% in 2Q26 from 3.7% in 1Q26, while Cloud Computing increased to 4.0% from 3.3%. CRM Applications declined modestly to 4.7% from 5.0%, while ERP Applications ticked down to 5.0% from 5.7%.
- Among the largest QoQ moves in prioritization, DW / BI / Analytics, Data Center Automation, Data Center Buildout, and DevOps each increased +100 bps QoQ, while Cloud Repatriation saw the largest decline (-130 bps QoQ).** Compliance Software, Storage Hardware, and Strategy Consulting also declined -100 bps QoQ, though the major software-related priority categories of AI / ML, Security, Digital Transformation, and Analytics all remained durable or improved.

- **The percentage of CIOs naming AI / ML as their #1 priority remains elevated, though ticked down slightly QoQ. 38% of CIOs cited AI / ML as their #1 priority in 2Q26, down from 39% in 1Q26**, but still well above 22% in 2Q25 and near the highest levels in the survey history

Security Software Remains the Most Defensive IT Project by a Wide Margin; AI/ML Screens Relatively Less Defensible

If the economy worsens significantly in 2026, what spending project is most likely to get cut? What spending project is least likely to get cut?

Exhibit 23: Security Software Remains The Most Defensive Area Of IT Spend By A Wide Margin, Followed by Digital Transformation and ERP Applications



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- **Security Software remains the most defensible area of spending by a wide margin.** Security posted a +15% net defensibility score in 2Q26, up from +12% in 1Q26, and continues to benefit from several secular drivers of growing budget share: 1) growth of the attack surface area, 2) severity of the threat environment, and 3) expanding regulatory requirements. Generative AI further expands the surface area to be protected, while security for AI remains early from both a product and regulatory perspective.
- **Digital Transformation, ERP Applications, Networking Equipment, and AI / ML / Process Automation round out the most defensible IT projects, though AI defensibility fell materially QoQ.** Digital Transformation screens at a +9% net

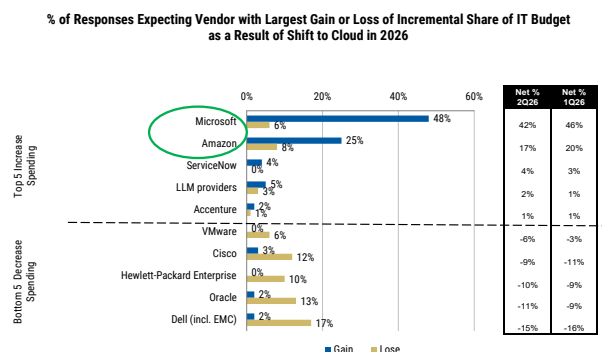
defensibility score in 2Q26, up from +4% in 1Q26, followed by ERP Applications at +7%, up from +4%, Networking Equipment at +6%, unchanged QoQ, and AI / ML / Process Automation at +4%, down from +10%.

- **The decline in AI / ML / Process Automation defensibility is one of the more notable data points in the survey.** While AI / ML remains the #1 CIO priority, its net defensibility fell 600 bps QoQ to +4%, suggesting CIOs remain highly focused on AI but are becoming more discerning around which AI initiatives are truly protected if the macro backdrop deteriorates.
- Digital Transformation saw the largest improvement in defensibility QoQ. Digital Transformation increased +500 bps QoQ to +9%, while Security Software and ERP Applications each improved +300 bps QoQ, reinforcing that CIOs continue to protect spend tied to transformation, core systems, and cyber resilience.
- **If the economy were to worsen significantly, Strategy Consulting, Data Center Buildout, Desktop / Laptop Equipment, Cloud Repatriation, and CRM Applications screen as relatively more exposed to budget cuts.** Strategy Consulting posted the lowest net defensibility score at -10%, followed by Data Center Buildout, Desktop / Laptop Equipment, and Cloud Repatriation at -5% each, and CRM Applications at -3%.

Microsoft Remains Best Positioned, Amazon #2, as Workloads Shift to the Cloud

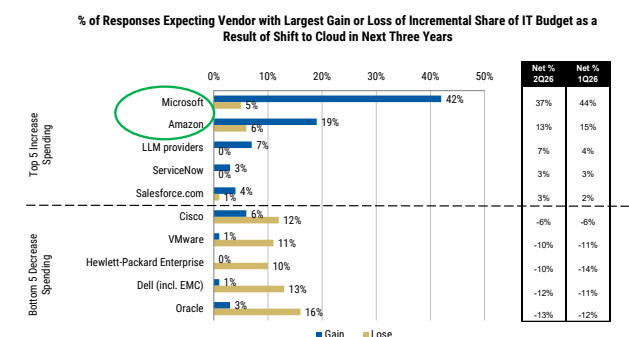
As you shift workloads from on-premise to the cloud, which of these vendors do you expect to gain the largest incremental percentage of your IT budget in 2026? Which do you expect to be the largest gainer over the next three years?

Exhibit 24: Microsoft and Amazon Continue to Lead as the Top Incremental Share Gainers due to Cloud Shift in 2026...



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

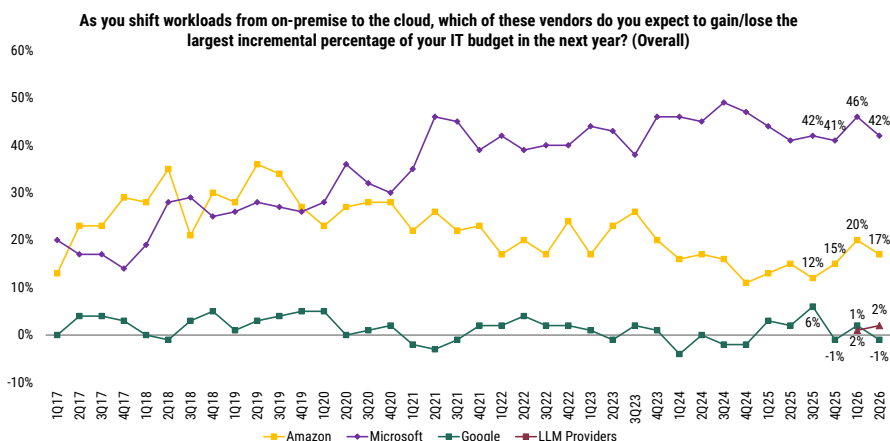
Exhibit 25: ... And in the Next Three Years



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

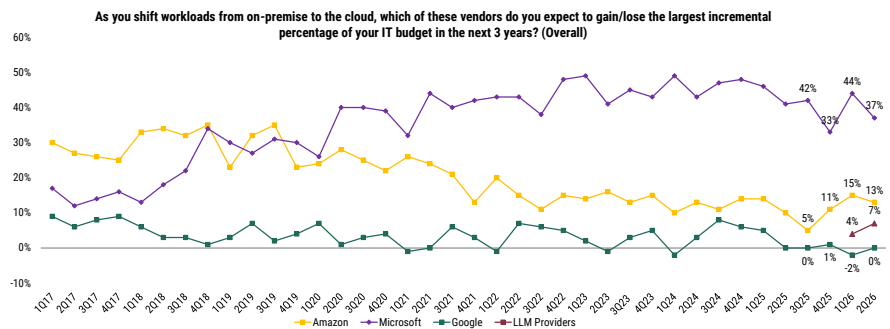
Exhibit 26:

While Microsoft's Lead Over Amazon Remains Substantial on an Absolute Basis, Both MSFT and AMZN Ceded Budget Share to LLM Providers in our 2Q26 Survey on a 1-Year View...



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 27: ...while on a Medium-Term View, MSFT's Lead Over Other Vendors Remains Sizeable, Yet Results Point to Budget Share Loss to LLM Providers



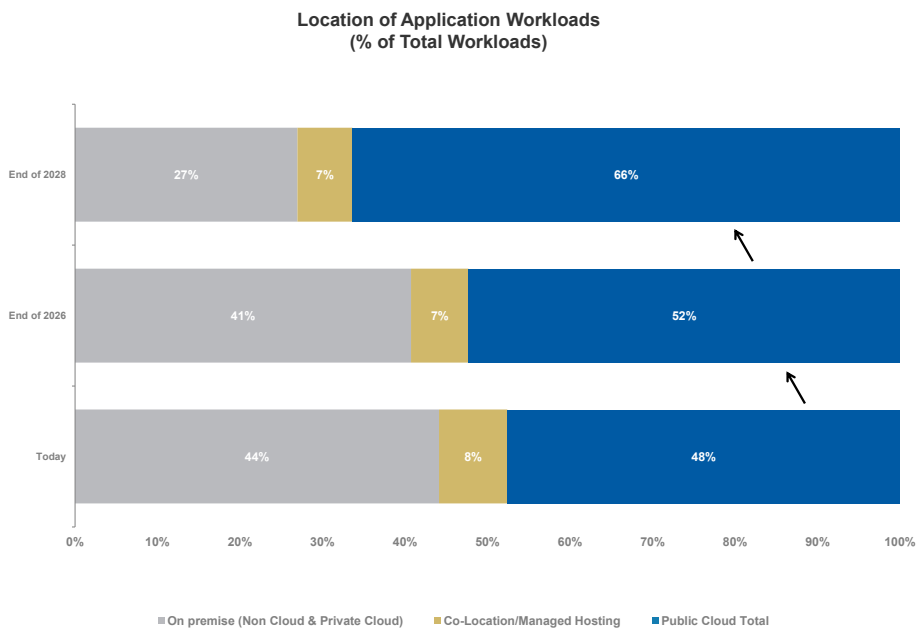
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- As workloads shift to the cloud, Microsoft and Amazon remain the clear beneficiaries, though LLM Providers are emerging as a secondary share gainer (Exhibit 24, Exhibit 25). Similar to previous surveys, Microsoft and Amazon remain best positioned to gain incremental percentage of IT budgets in 2026 and over the next three years. Microsoft's lead over Amazon remains sizeable on an absolute basis, from a 2026 view (+42% vs. +17% net score) and on a three-year view (+37% vs. +13%). Sequentially, however, both Microsoft and Amazon saw net share-gain expectations moderate versus 1Q26, with Microsoft down from +46% to +42% on a one-year view and from +44% to +37% on a three-year view, while Amazon declined from +20% to +17% and from +15% to +13%, respectively (Exhibit 26, Exhibit 27).
- LLM Providers screen as an emerging, though still distant, beneficiary from the shift to cloud. LLM Providers posted a +2% net score as expected cloud-shift share gainers in 2026, up from +1% in 1Q26, and a +7% net score over the next three years, up from +4% in 1Q26. ServiceNow also screens as a modest share gainer, with a +4% net score in 2026 and +3% over the next three years, while Salesforce screens as a three-year share gainer at +3%.
- Conversely, survey data suggests Dell, Oracle, HPE, Cisco, and VMware remain most exposed to losing incremental budget share as workloads shift to cloud. On a 2026 view, Dell screens as the largest share donor at -15%, followed by Oracle (-11%), HPE (-10%), Cisco (-9%), and VMware (-6%). On a three-year view, Oracle screens as the largest donor at -13%, followed by Dell (-12%), HPE / VMware (-10% each), and Cisco (-6%).

Public Cloud Migration Continues, with Co-Location / Managed Hosting Newly Broken Out as a Stable Workload Location

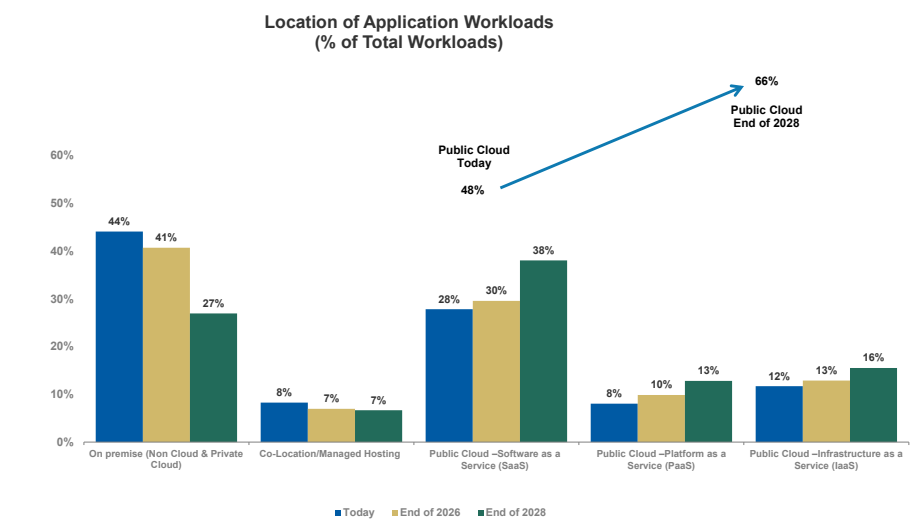
What percentage of your application workloads reside in each of the following four areas today? What percentage do you expect to reside in each of these four areas by the end of 2026 and 2028?

Exhibit 28: CIOs Estimate 48% of Application Workloads to Reside in the Public Cloud at the Time of the 2Q26 Survey



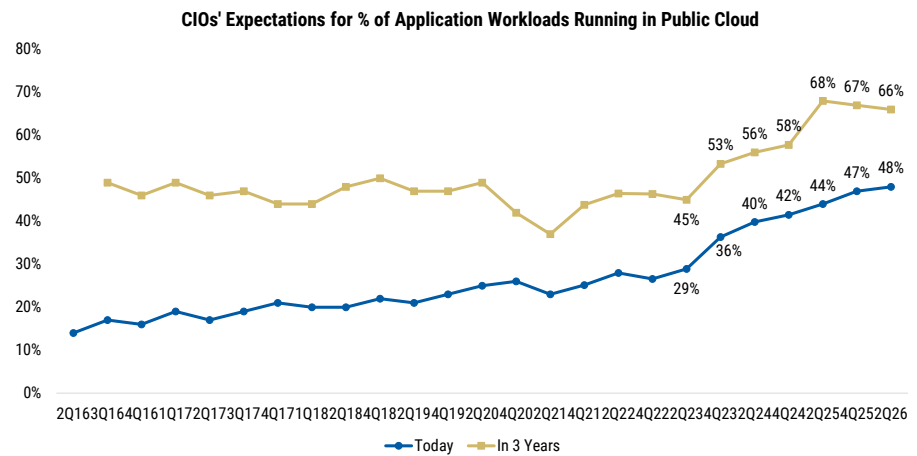
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 29: CIOs Estimate 66% of Application Workloads to Reside in the Public Cloud by the End of 2028



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 30: CIOs See 48% of Application Workloads Running in Public Cloud Today, +4 Points YoY; Current Migration Pace Remains Ahead of Historical Trends, Though 3-Year Expectations Edge Lower



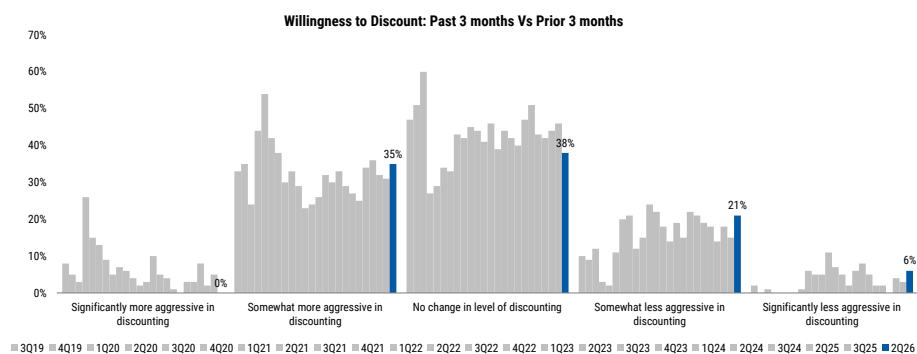
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- **CIOs estimate 48% of application workloads are running in the public cloud today, up from 44% in 2Q25 and 47% in 4Q25, Exhibit 28**. While CIOs' estimations for the percent of workloads running in the public cloud have trended with some volatility over time, in aggregate, historical data suggests workloads shift to the cloud at a pace of roughly 2 points per year. **The +4 point YoY increase from 2Q25 to 2Q26 suggests current cloud migration continues to track ahead of historical trends (Exhibit 30).**
- **CIOs expect 66% of workloads to be in the public cloud by the end of 2028, implying continued migration from on-premise environments**, though long-term expectations edged lower versus recent surveys (Exhibit 29). CIOs now expect public cloud workload share to rise from 48% today to 52% by the end of 2026 and 66% by the end of 2028. This compares to prior three-year expectations of 68% in 2Q25 and 67% in 4Q25, suggesting the direction of travel remains firmly toward public cloud, even as the long-term expectation has moderated slightly.
- **Newly broken out in the survey, co-location / managed hosting screens as a small but stable workload location, Exhibit 29**. CIOs estimate 8% of application workloads reside in co-location / managed hosting today, with that share expected to remain largely stable at 7% by the end of 2026 and 7% by the end of 2028. By contrast, on-premise workloads are expected to decline from 44% today to 41% by the end of 2026 and 27% by the end of 2028.

Vendor Willingness to Discount Moderates

How do you perceive technology vendors' willingness to discount in the past three months versus prior three months (i.e. in 2Q26 versus 1Q26)?

Exhibit 31: 35% of CIOs Perceive Vendors as More Aggressive in Discounting in 2Q26 (Compared to 31%/32% in 3Q25/2Q25)



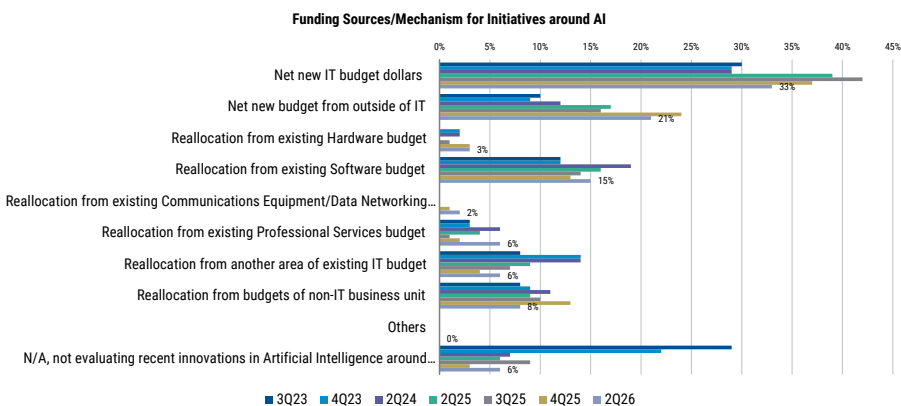
Source: AlphaWise, Morgan Stanley Research, n=100 (US and EU data)

- Vendor discounting appears broadly stable, with mixed signals on pricing behavior.** In 2Q26, 35% of CIOs perceive vendors as more aggressive in discounting, modestly above 31% / 32% in 1Q26 / 4Q25, while 27% report vendors have become less aggressive and 38% report no change. Net, the pricing environment does not appear to be deteriorating meaningfully, though vendors remain willing to discount in select areas.

Artificial Intelligence/Machine Learning

If evaluating or using recent innovations in Artificial Intelligence around Large Language Models (e.g., GPT-5) or Generative Design (e.g., Dall-e), which of the following best describes how these initiatives are funded?

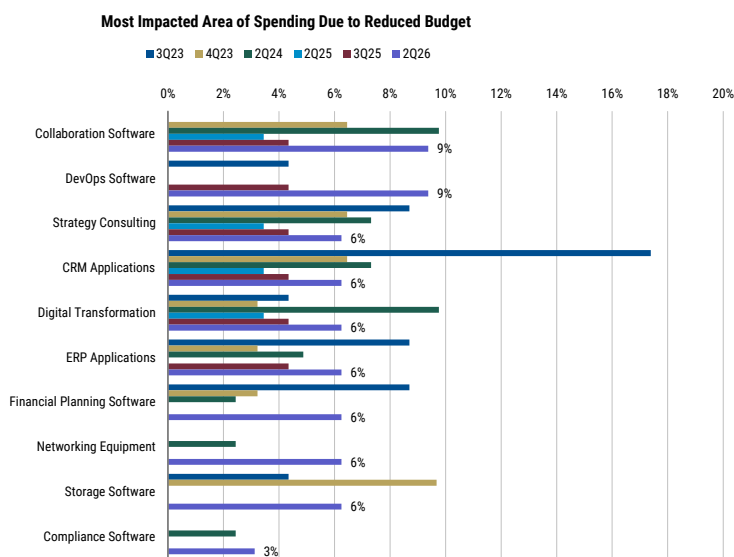
Exhibit 32: 33% of CIOs Indicate Funding AI Ventures Through Net New IT Budget Dollars, a Downtick vs 39% in 2Q25; 21% Cite Usage of Net New Budget Outside of IT, Followed by Reallocation from Existing Software Budget...



Source: AlphaWise, Morgan Stanley Research, n=100 (US and EU data)

You mentioned reallocating budget dollars from other areas of your IT budget to fund new projects around innovations in artificial Intelligence around Large Language models (e.g., GPT-5) or generative Design (e.g., Dall-e). What project is being cut?

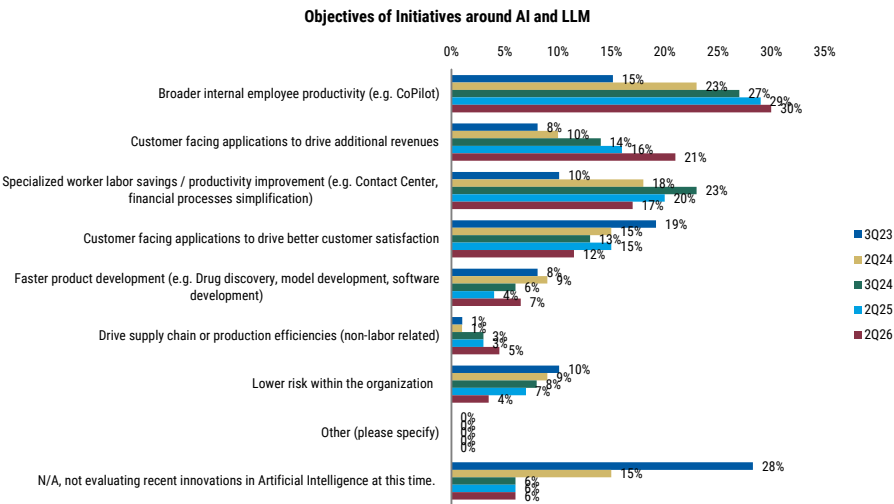
Exhibit 33: ...Leading to Collaboration Software, DevOps Software, Strategy Consulting, and CRM Applications Projects Being Most Impacted



Source: AlphaWise, Morgan Stanley Research, n=32 (US and EU data)

What are the objectives of your initiatives around recent innovations in Artificial Intelligence and Large Language models?

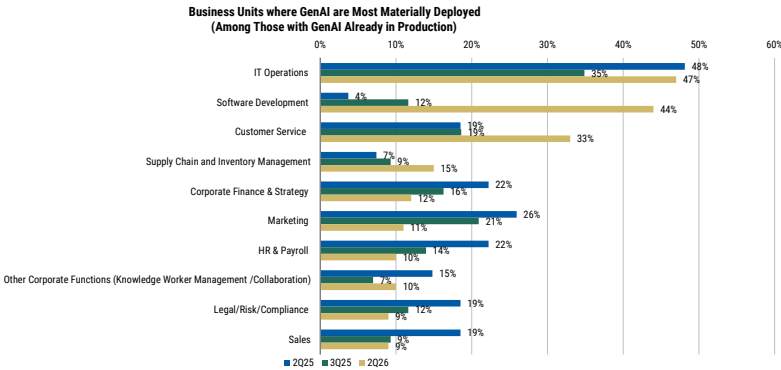
Exhibit 34: CIOs Indicate that Top Objectives of AI/LLM Initiatives Include Internal Employee Productivity, Customer Facing Applications (Through Driving Additional Revenues & Customer Satisfaction), and Worker Labor Savings.



Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

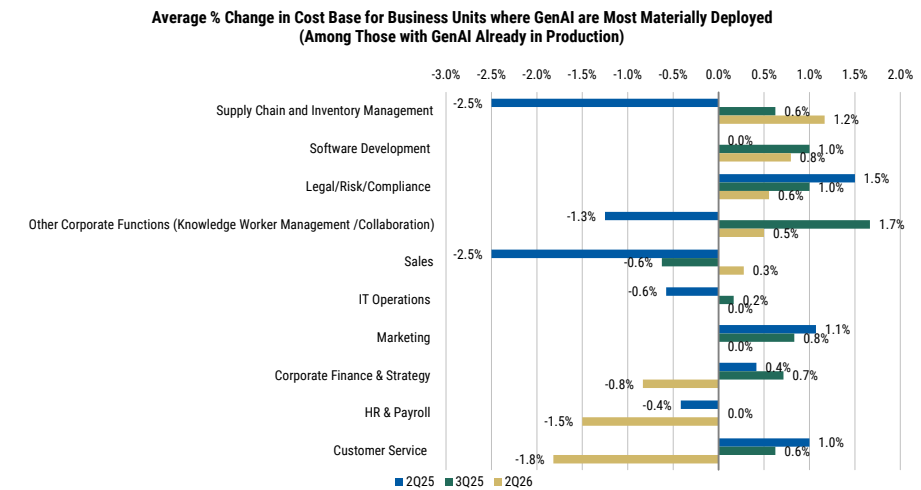
What change in the respective cost base have you seen from Generative AI/LLM usage over the last 12 months within the two business units where Generative AI/LLMs are deployed most materially across your organization?

Exhibit 35: From a Business Unit Perspective, CIOs Note GenAI Is Most Widely Deployed Across IT Operations, Software Development, & Customer Service



Source: AlphaWise, Morgan Stanley Research. n= 9 to 47, depending on the category (US and EU data)

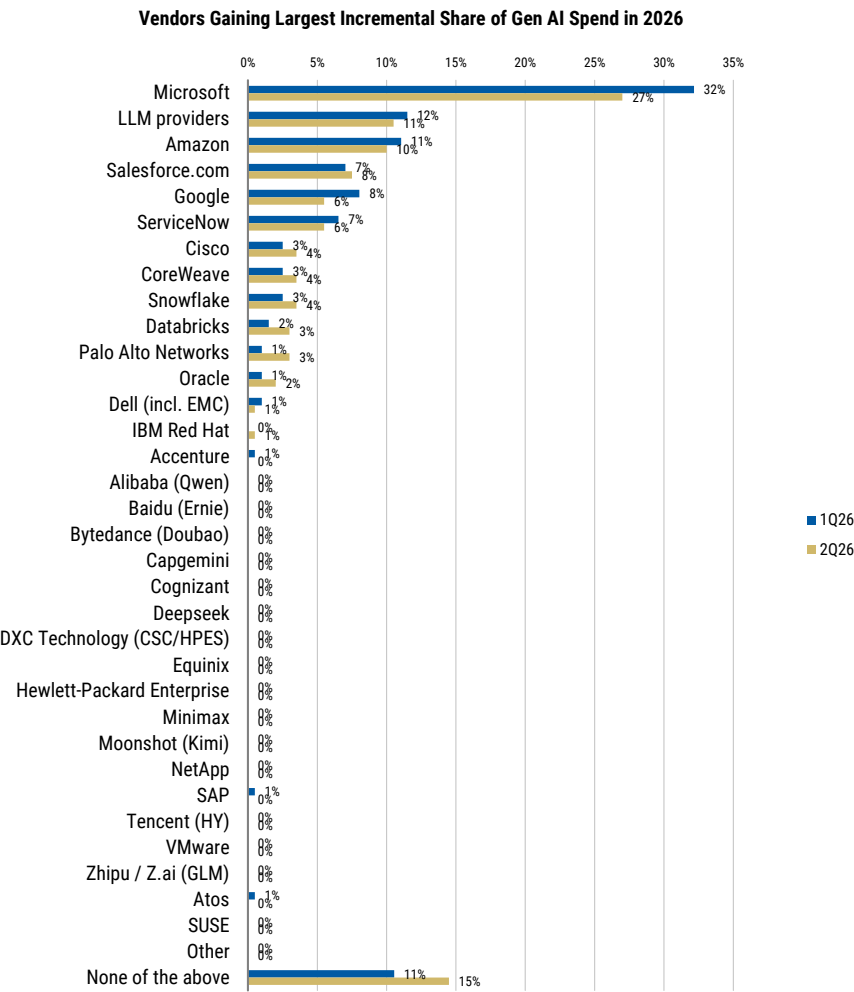
Exhibit 36: Usage of Generative AI is Driving Efficiency in Customer Service (-1.8%), HR & Payroll (-1.5%), and Corporate Finance & Strategy (-0.8%). Higher AI ROI Potentially Driving Increased Investment in Supply Chain & Inventory Management (+1.2%) and Software Development (+0.8%)



Source: AlphaWise, Morgan Stanley Research. n= 9 to 47, depending on the category (US and EU data)

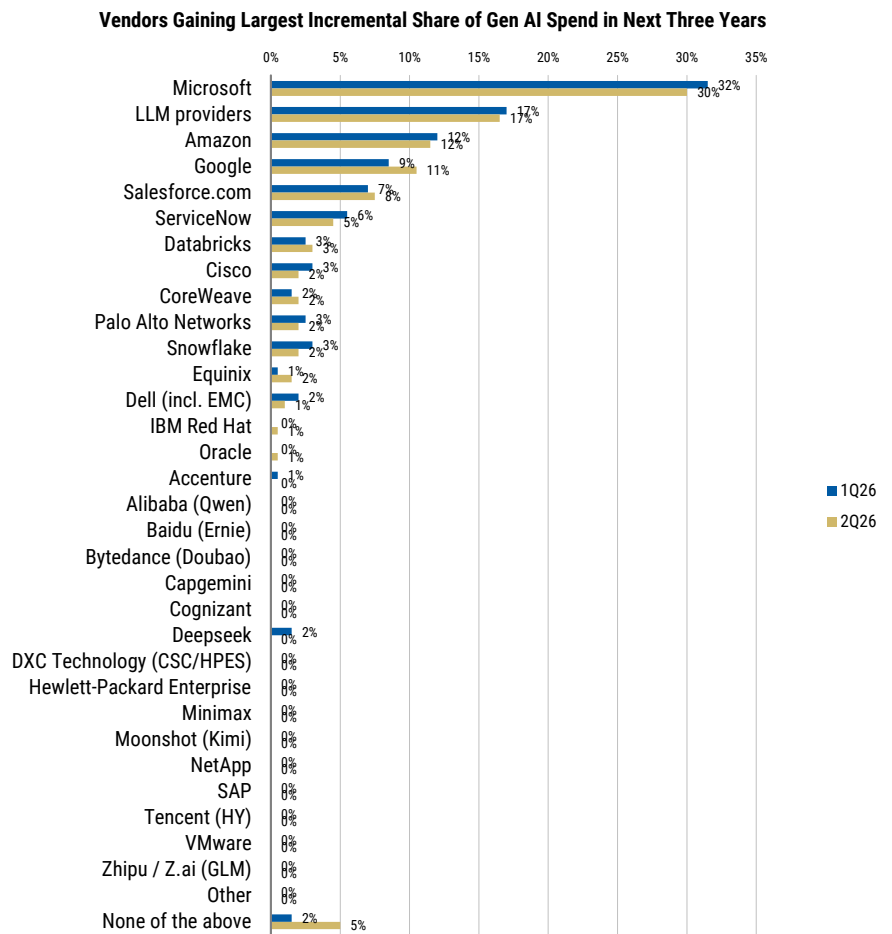
Which two vendors do you expect to gain the largest incremental share of Gen AI Spend at your company in 2026? Please choose three of the vendors below, and specify the expected change in spend on each respective vendor in 2026 vs. 2025?

Exhibit 37: CIOs Note Expectations for Microsoft, LLM Providers, and Amazon to Gain Share of GenAI Spend in 2026...



Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data).

Exhibit 38: ...And Microsoft, LLM Providers, and Amazon Taking Most Share Over The Next Three Years

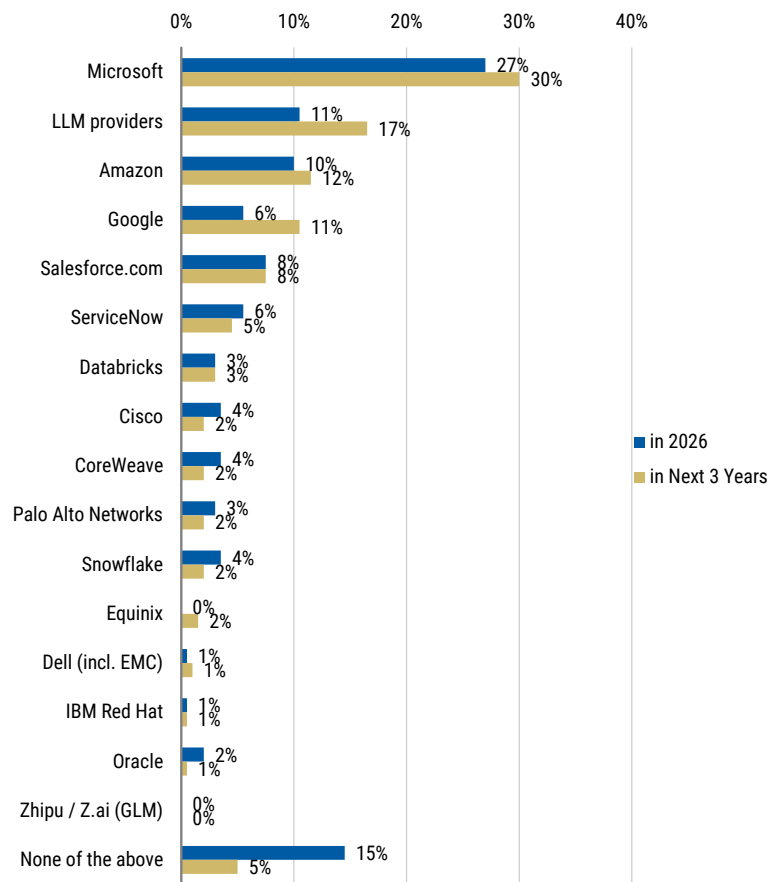


Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data).

Which two vendors do you expect to gain the largest incremental share of Gen AI Spend at your company over the next three years? Please choose three of the below.

Exhibit 39: While Microsoft Retains Its Lead as Largest Increment Share Gainer of GenAI Spend Both Near-Term and Long-Term, LLM Providers Continue to Take Share in 2Q26

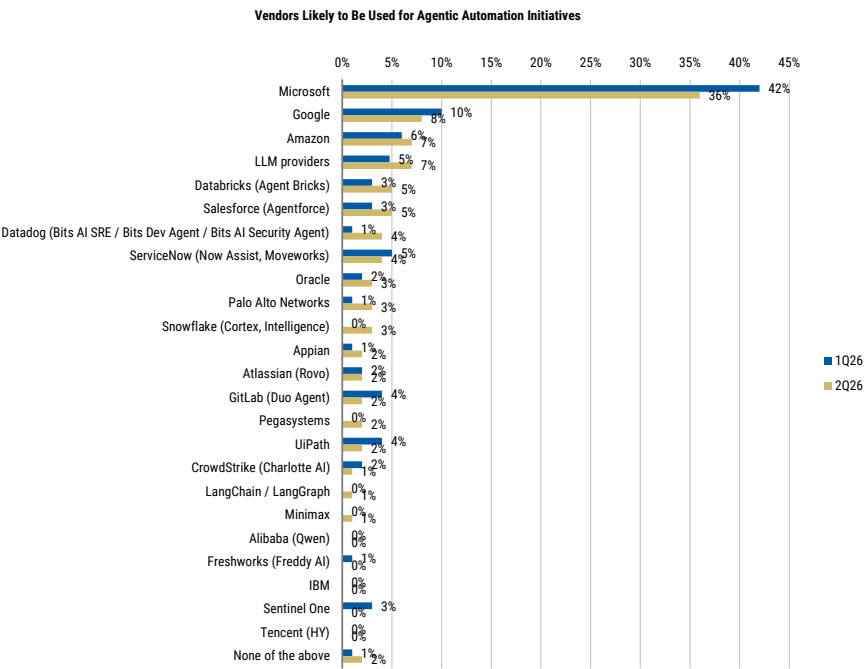
2Q26 Survey: Vendors Gaining Largest Incremental Share of Gen AI Spend in 2026 vs. Next 3 Years



Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

Which of the below vendors are you most likely to use to fulfill your agentic automation initiatives?

Exhibit 40: Microsoft, Google, Amazon, and the LLM Providers Screen as Vendors Most Likely Used for Agentic Automation Initiatives

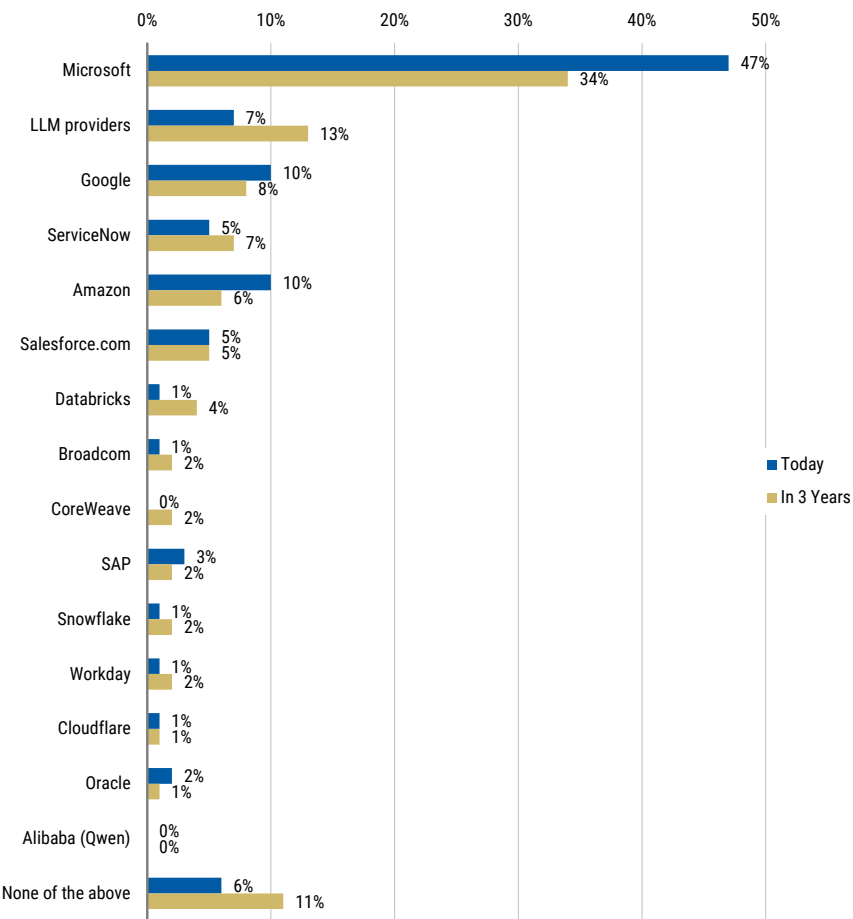


Source: AlphaWise, Morgan Stanley Research. n= 100 (US and EU data)

What is your preferred vendor for building custom AI applications today? Which vendor do you expect to use for building custom AI applications 3 years from now?

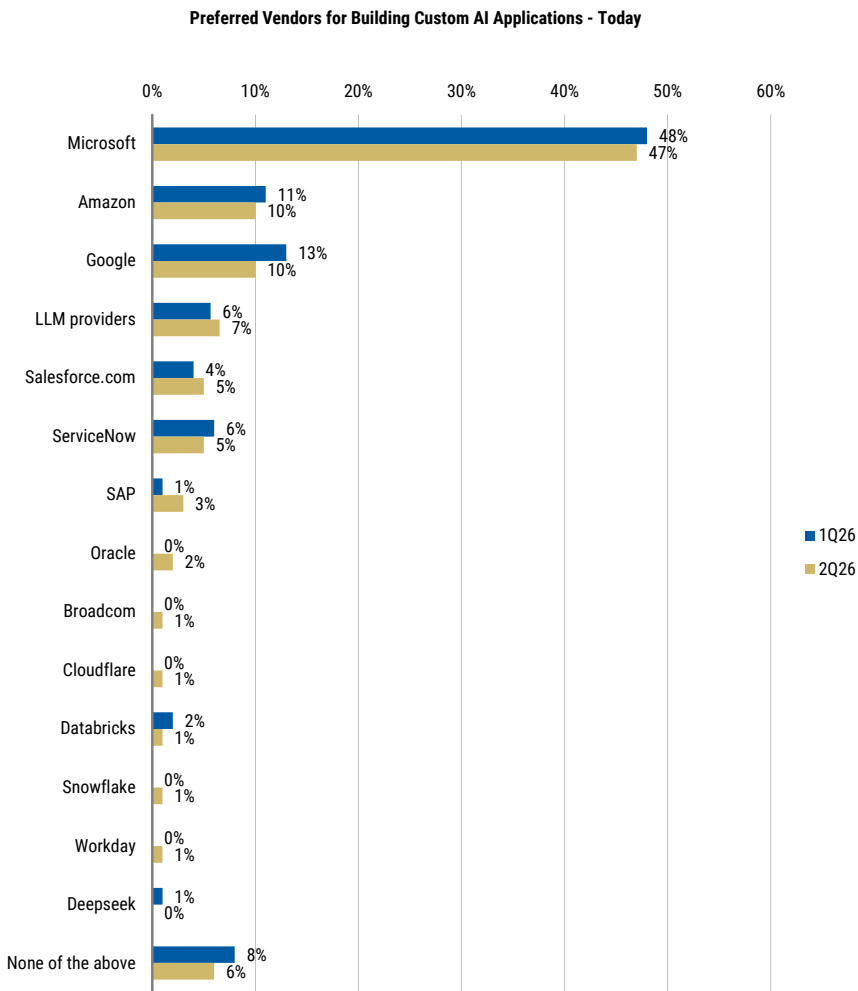
Exhibit 41: CIOs Point to Microsoft, LLM Providers, Google, and ServiceNow as Preferred Vendors for Building Custom AI Applications Today and 3 Years Out

2Q26: Preferred Vendors for Building Custom AI Applications: Today vs. 3 Years Out



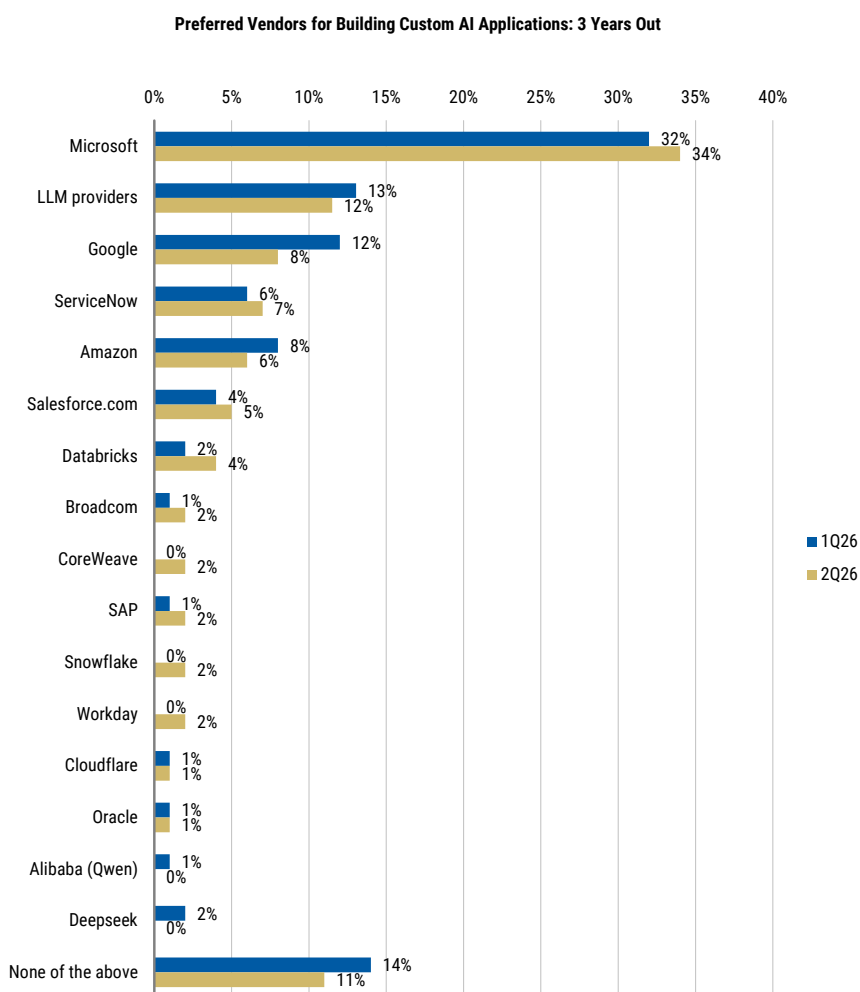
Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 42: While CIOs Highlight Microsoft, Amazon, and Google as the Preferred Vendors To Build Custom AI Applications Today, They Point to Modest Share Loss From The Top Three Toward the LLM Providers on a One Year View



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

Exhibit 43: On a Three Year View, CIOs Re-Highlight Microsoft, the LLM Providers, Google, and ServiceNow as Preferred Vendors for Building Custom AI Applications



Source: AlphaWise, Morgan Stanley Research. n=100 (US and EU data)

- AI initiative funding remains meaningful, but less cleanly additive as reallocation rises, Exhibit 32.** In 2Q26, 33% of CIOs indicate funding AI / LLM initiatives through net new IT budget dollars, down from 37% in 4Q25 and 39% in 2Q25, while 21% cite net new budget from outside IT, down from 24% in 4Q25 but up from 17% in 2Q25. Combined, net-new funding sources account for 54% of responses, down from 61% in 4Q25 and modestly below 56% in 2Q25. At the same time, CIOs are increasingly funding AI through budget trade-offs: IT-budget reallocations total 32% in 2Q26, up from 23% in 4Q25, including 15% from existing Software budgets, 6% from Professional Services, 6% from another area of IT budget, 3% from Hardware, and 2% from Communications / Data Networking. Reallocation from non-IT business unit budgets declined to 8% from 13% in 4Q25. **Net, AI spend still appears more additive than cannibalistic, but the funding story is less clean than 4Q25 and increasingly includes trade-offs within existing IT budgets.**
- Initial indications of business units where Generative AI is most widely**

deployed across organizations suggests IT Operations (47%), Software Development (44%), Customer Service (33%), and Supply Chain and Inventory Management (15%) are most widely adopting GenAI today (Exhibit 33). Drilling into the impact to the cost profiles of these different businesses units, CIOs usage of Generative AI is driving cost reductions in Customer Service (-1.8%), HR & Payroll (-1.5%), and Corporate Finance & Strategy (-0.8%), while ROI in areas like Supply Chain and Inventory Management (+1.2%) and Software Development (+0.8%) is driving budget increases.

- **CIOs continue to note expectations for Microsoft, LLM Providers, and Amazon to gain the largest incremental share of GenAI spend.** In 2026, Microsoft remains the clear leader at 27% (down from 32% in 1Q26), followed by LLM Providers at 11% (down from 12% in 1Q26), Amazon at 10% (down from 11% in 1Q26), Salesforce at 8% (up from 7% in 1Q26), and Google / ServiceNow at 6% each (down from 8% / 7% in 1Q26, respectively), Exhibit 37. On a three-year view, Microsoft remains the largest gainer at 30% (down from 32% in 1Q26), followed by LLM Providers at 17% (unchanged QoQ), Amazon at 12% (unchanged QoQ), Google at 11% (up from 9% in 1Q26), Salesforce at 8% (up from 7% 1Q26), and ServiceNow at 5% (down from 6% in 1Q26), Exhibit 38. **Net, Microsoft remains the clearest public AI beneficiary, while LLM Providers continue to screen as the #2 expected GenAI share gainer on a three-year view.**
- **As it relates to Agentic Automation initiatives, CIOs point to Microsoft (36%), Google (8%), Amazon (7%), and LLM Providers (7%) as the top four vendor preferences, Exhibit 40.**
- **For those building custom AI Applications, CIOs point to Microsoft (47%), Amazon (10%), Google (10%), LLM Providers (7%), ServiceNow (5%), and Salesforce (5%) as their preferred vendors today. On a three year view, they indicate Microsoft (34%), LLM Providers (13%), Google (8%), and ServiceNow (7%) as their top choices for building out custom AI Applications, Exhibit 41.**

Enterprise Software – Macro Takeaways

Software: Better Budget Air Cover, Though Application Software Still Need More

Evidence. With the broader IT budget backdrop improving and the 1-year up-to-down ratio moving above 1.0x for the first time since 1Q24, Software investor focus has shifted back toward whether improving AI momentum can drive a more durable inflection in Software budgets. Software remains the fastest-growing IT industry, with CIOs expecting +4.1% growth in 2026, up +29 bps from 2025 ([Exhibit 12](#)). **With that said, we still do not find sufficient ammunition this quarter to become structurally more positive on application software broadly.** Sequentially, Software spending expectations were effectively unchanged, up just +3 bps QoQ ([Exhibit 45](#)), and vendor-level spending intentions remain highly dispersed, with Microsoft and ServiceNow the only tracked vendors expected to accelerate versus our 4Q25 survey ([Exhibit 46](#)). **Funding data also argues for selectivity:** while AI spend still appears more additive than cannibalistic, combined net-new funding sources declined to 54% in 2Q26 from 61% in 4Q25, while reallocations within existing IT budgets increased to 32% from 23%, including 15% from existing Software budgets (up from 13% in 4Q25), [Exhibit 32](#). **Net, the survey supports a more constructive Software backdrop than prior reads, but not a broad application software inflection.** Below we highlight three key Software-specific takeaways from our 2Q26 CIO Survey:

- **Application Software Results Remain Mixed.** Looking across our Application Software coverage, 2Q26 survey data still does not provide enough evidence to become structurally more positive on the group. Vendor-level spending intentions remain dispersed, with Microsoft and ServiceNow the only tracked software vendors where forward-year growth expectations accelerated versus our 4Q25 survey, while Salesforce, Adobe, Workday, and SAP all decelerated ([Exhibit 46](#)). Looking under the hood at CIO expectations for vendors gaining the largest incremental share of GenAI spend on one- and three-year views, the results remain mixed ([Exhibit 1](#), [Exhibit 2](#)). Salesforce improved modestly QoQ, as 8% of CIOs expect Salesforce to gain incremental GenAI spend share in 2026 (up from 7% in 1Q26), and 8% expect Salesforce to gain share over the next three years (up from 7% in 1Q26). Conversely, ServiceNow downticked on both time horizons, down to 6% of CIOs on a one-year view (down from 7% in 1Q26), and down to 5% of CIOs over the next three years (down from 6% in 1Q26). Further, LLM Providers continue to screen as the second-largest expected GenAI share gainer behind Microsoft, with 11% of CIOs expecting LLM Providers to gain incremental share in 2026, modestly down from 12% in 1Q26, and 17% of CIOs expecting incremental share gains over the next three years (unchanged QoQ). While LLM Provider share gains did not inflect materially higher sequentially, their positioning does suggest continued wallet-share risk for incumbent application vendors not well positioned to participate in GenAI spend. **Net, while the survey point to pockets of application vendor participation in the AI investment cycle, the broader results still point to mixed vendor-level spend intentions and uneven capture of GenAI wallet share.**
- **Microsoft Remains the Clearest Winner, Albeit with a Modest Downtick from**

1Q26. CIO Survey data continues to underpin Microsoft's leadership position in AI, though several AI-specific datapoints moderated from elevated 1Q26 levels: Microsoft remains the clear #1 vendor expected to gain incremental share of GenAI spending in both 2026 (27% of CIOs, down from 32% in 1Q26) and over the next three years (30%, down from 32% in 1Q26) ([Exhibit 1](#), [Exhibit 2](#)). Related, amidst a broad suite of agentic vendors, 36% of CIOs expect Microsoft to be leveraged for agentic automation initiatives (down from 42% in 1Q26), but still well ahead of the next closest vendor at 8% ([Exhibit 10](#)). New survey work around custom AI application development similarly reinforces Microsoft's positioning, with Microsoft screening as the preferred vendor today (47%, roughly stable versus 48% in 1Q26) and over the next three years (34%, up from 32% in 1Q26), [Exhibit 11](#). Importantly, this modest downtick across select AI share indicators pairs against still-accelerating Microsoft spending intentions ([Exhibit 46](#)). Looking across a broad suite of software vendors, CIOs expect the highest forward-year growth for Microsoft from an absolute growth expectations perspective at +7.6%, up from +7.3% in our 4Q25 survey. Further, CIOs note the top AI / LLM initiatives remains broader internal employee productivity (30% of responses) ([Exhibit 34](#)), highlighting the opportunity for products like Microsoft 365 Copilot as well as potential upsell opportunities for E5 / E7 SKUs. Specifically, 88% of CIOs note expectations to utilize Microsoft 365 Copilot over the next 12 months, up from 80% in 4Q25 ([Exhibit 61](#)). Lastly, the 2Q26 Survey also highlights continued premium M365 monetization potential, with E7 newly broken out and CIOs expecting combined E5 / E7 mix to reach 71% next year ([Exhibit 58](#), [Exhibit 58](#), [Exhibit 60](#)). **Even as LLM Providers gain direct CIO relevance, Microsoft remains well-positioned to consolidate software spend while effectively monetizing GenAI across M365, Copilot, Azure, GitHub, Fabric, and broader enterprise distribution over a multi-year timeframe.** See [Microsoft: 2Q26 CIO Survey Takeaways — GenAI Leadership Position Remains Clear](#) for Microsoft-specific takeaways from our 2Q26 Survey.

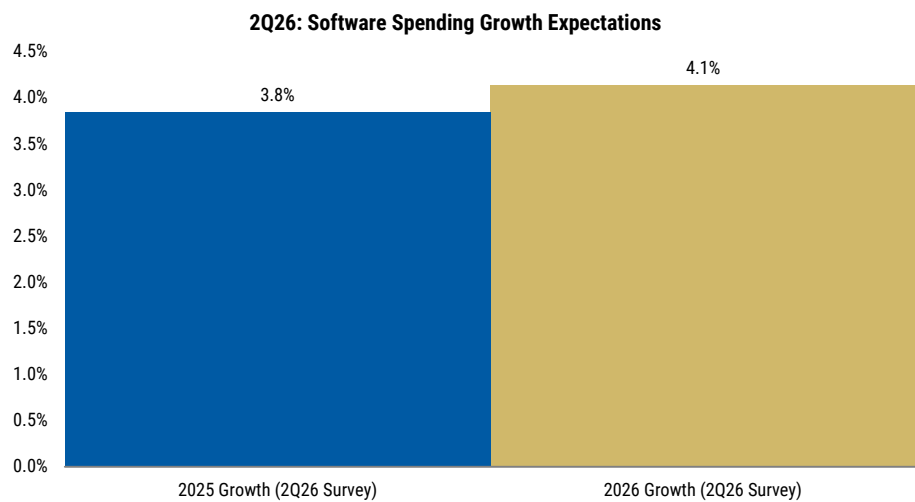
- **Security Software Spending Expectations Accelerate Meaningfully.** CIOs note expectations for spending on Security to accelerate meaningfully in 2026, with expected growth of +12.4% vs +8.9% in 2025 ([Exhibit 49](#)), and up +306 bps from +9.4% in our 4Q25 survey ([Exhibit 49](#)). The magnitude of the step-up is notable and likely driven by three key factors: **1) replacement of technical debt**, as legacy / off-maintenance infrastructure represents an immediate vulnerability and supports firewall refresh activity, with higher memory costs also increasing the price of newer firewall appliances; **2) automated SOC / SIEM investment**, as security analysts face increasing alert volumes and a rising mix of AI-enabled attacks, driving demand for automation and more data flowing through SIEM platforms; and **3) AI security**, particularly enhanced identity and data security as enterprises begin to deploy GenAI-enabled applications more broadly. The survey also continues to point to Security as one of the cleanest areas of durability in the survey (ranking as the #2 CIO priority at 11.3% of responses, up from 10.7% in 1Q26) ([Exhibit 20](#)) and the most defensible IT project with a +15% net defensibility score (up from +12% in 1Q26) ([Exhibit 23](#)). **Net, the combination of accelerating spend expectations, high CIO prioritization, and leading defensibility continues to support a positive outlook for Security Software**

within the broader software cohort, particularly as CIOs appear willing to protect security budgets even as other areas of software remain more mixed.

CIOs Expectations For Software Spending Remained Largely Unchanged Sequentially in Our 2Q Survey at +4.1%

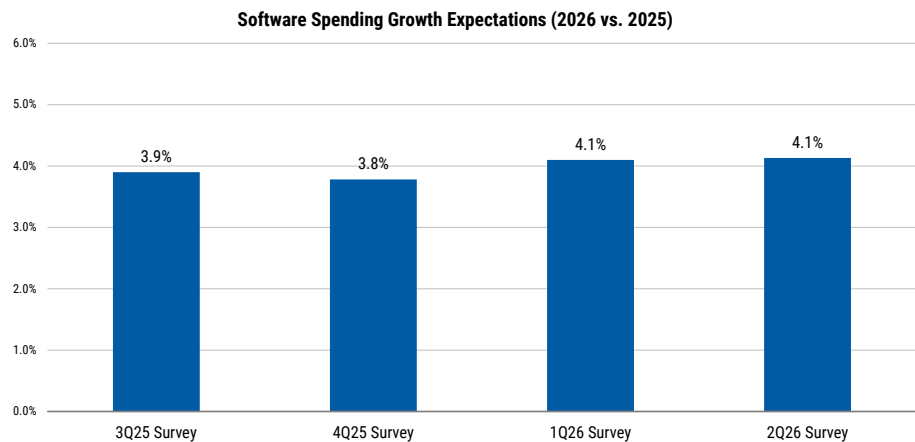
By what percentages did your External IT Spending change for each of the following technology areas in 2025 vs. 2024? What is your estimated spending for 2026 vs. 2025?

Exhibit 44: CIOs Expect ~29 bps of Acceleration in 2026 Software Spending Growth Relative to 2025 Growth In Our 2Q26 Survey...



Source: AlphaWise, Morgan Stanley Research, n=100 (US and EU data)

Exhibit 45: ... And On a Sequential Basis, 2026 Software Spending Expectations Also Ticked Up +3 Bps



Source: AlphaWise, Morgan Stanley Research, n=100 (US and EU data)

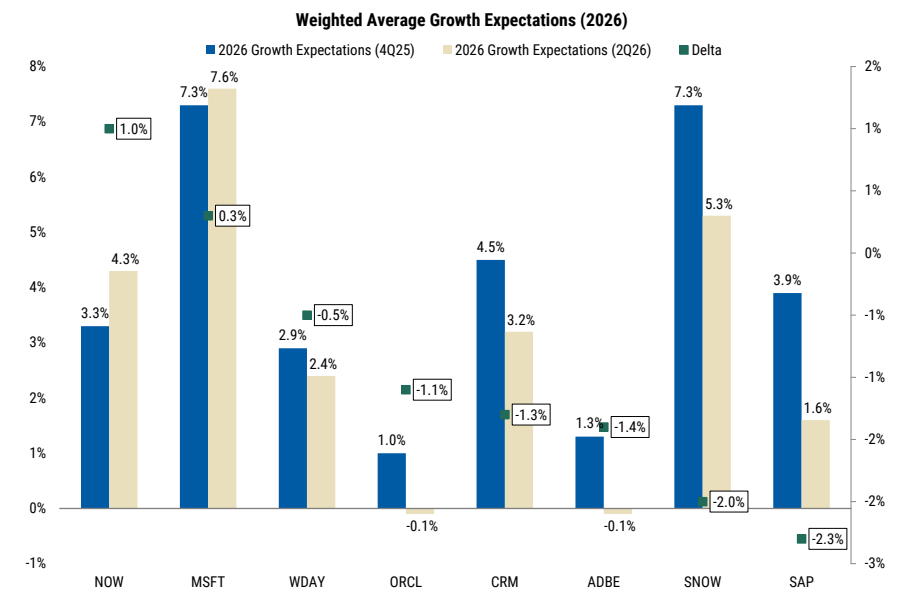
- CIOs continue to expect Software spend to outpace growth across other IT industries at +4.1% in 2026, though sequential improvement was muted. CIOs

expect Software spending growth to accelerate to +4.1% in 2026 from +3.8% in 2025, implying +29 bps of YoY acceleration. Sequentially, however, 2026 Software spending expectations were effectively unchanged, ticking up only +3 bps versus our 1Q26 survey. **Net, Software remains the best industry-level read, but the latest survey does not point to a material QoQ inflection in Software budgets.**

CIO Vendor Spend Expectations in 2026

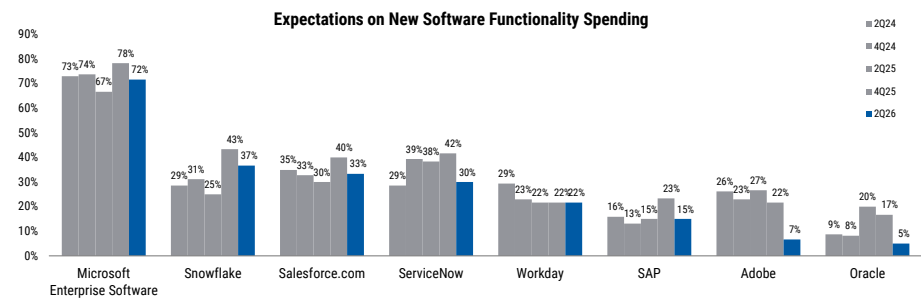
How do you expect your spending for new software functionality or additional users/seats to change in 2026 versus 2025 for the following vendors?

Exhibit 46: CIOs Expect Forward Year Growth to Decelerate Across the Majority of Vendors in Our Survey; MSFT & NOW Sole Vendors Expected to Accelerate in 2026



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data).

Exhibit 47: Net Expectations (% Increase - % Decrease) on New Software Functionality Spending Over Time



Source: AlphaWise, Morgan Stanley Research. n= 58 (US and EU data).

- CIO vendor spend expectations point to deceleration across the majority of

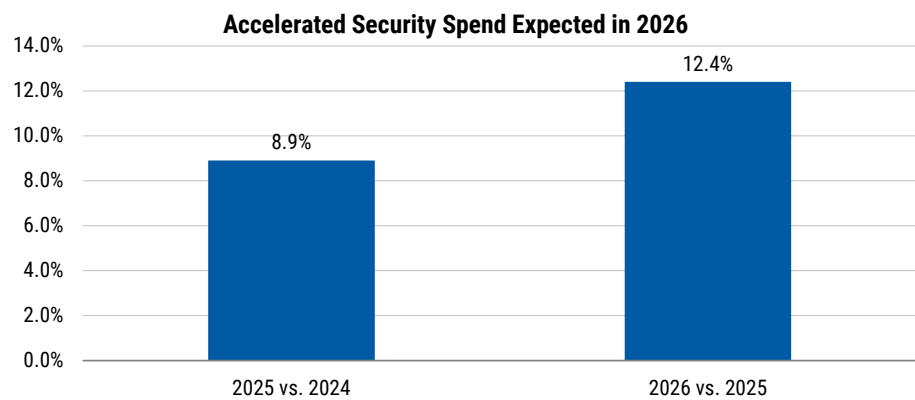
tracked software vendors, with Microsoft and ServiceNow the only names expected to accelerate, [Exhibit 47](#). Microsoft screens with the highest weighted average growth expectation in 2026 at +7.6%, up from +7.3% in 4Q25, while ServiceNow improved to +4.3% from +3.3%. In contrast, expected growth decelerated across Workday (+2.4%, down from +2.9%), Oracle (-0.1%, down from +1.0%), Salesforce (+3.2%, down from +4.5%), Adobe (-0.1%, down from +1.3%), Snowflake (+5.3%, down from +7.3%), and SAP (+1.6%, down from +3.9%), [Exhibit 46](#). Net, the data supports a selective software view rather than a broad application software inflection.

- **Microsoft continues to screen as the clearest software winner, though net expectations moderated from the prior read.** From a net expectations perspective, Microsoft remains well ahead of the group at 72%, down from 78% in 4Q25 but still meaningfully above the next closest vendors. The combination of the highest absolute growth expectation, positive sequential growth revision, and leading net expectation score remains emblematic of Microsoft's AI / cloud / productivity leadership position.
- **ServiceNow screens as the cleanest non-Microsoft application software read, while Salesforce remains more mixed.** ServiceNow was the only application software vendor besides Microsoft to see weighted average growth expectations accelerate, improving to +4.3% from +3.3% in 4Q25, though its net expectation score declined to 30% from 42%. Salesforce remains positive on a net expectations basis at 33%, but both its net score and weighted average growth expectations moved lower versus 4Q25, with expected growth declining to +3.2% from +4.5%. Net, ServiceNow screens relatively better, while Salesforce remains AI-relevant but lacks a clean spend acceleration signal.
- **Snowflake remains constructive in absolute terms, but the survey signal normalized; Adobe and Oracle screen weakest.** Snowflake still carries the second-highest weighted average growth expectation at +5.3% and a positive net expectation score of 37%, but both moderated from 4Q25 levels of +7.3% and 43%, respectively. Adobe and Oracle screen as the weakest vendors in the survey, with both moving to slightly negative weighted average growth expectations at -0.1% and posting the lowest net expectation scores at 7% and 5%, respectively. This is a notable reversal from prior survey work where Oracle had shown improvement.

Security Software Spending Accelerates in 2026; Remains a 'Best of Breed'-Skewed Segment in Software

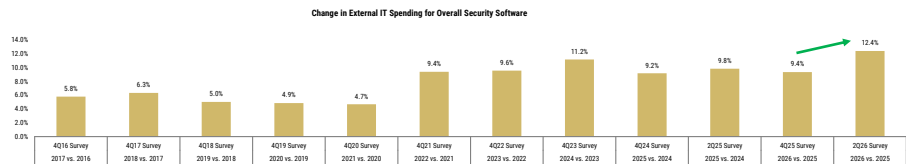
By what percentages will your External IT spending change for your overall Security Software in 2025 vs. 2024? What is the expected change in 2026 vs. 2025?

Exhibit 48: CIOs Expect Security Spend to Grow +12.4% in 2026, up from +8.9% in 2025



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data).

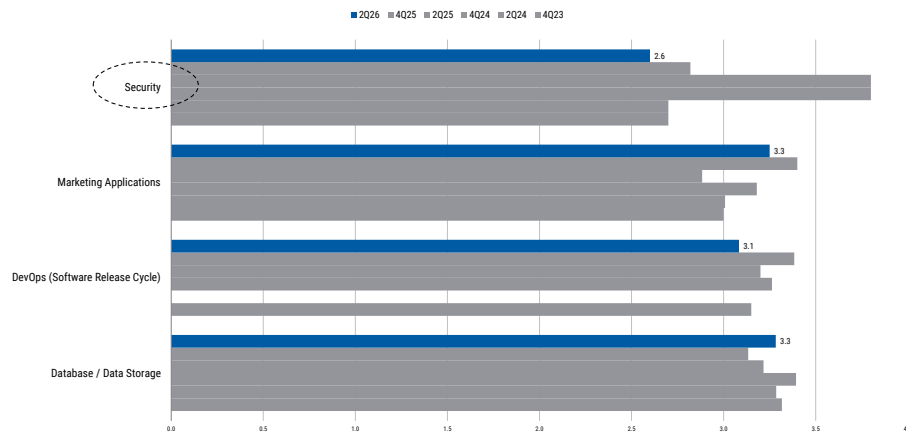
Exhibit 49: Expectations for Spend on Security in 2026 Ticked Up from Our Previous Survey (by +306 bps)



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data).

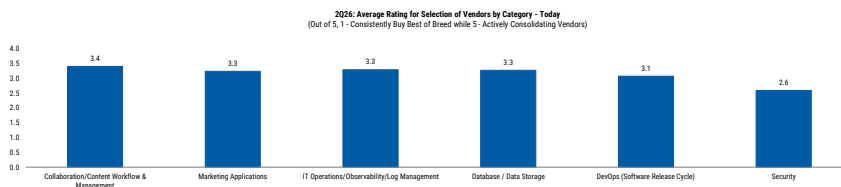
Are you attempting to consolidate the number of vendors you utilize for the following software categories today? Please rate using a scale of 1-5 where '1' means you consistently buy the best of breed vendor for each solution while '5' means you actively consolidate solutions into one vendor.

Exhibit 50: While CIOs Remain Largely Neutral Across Software Categories Between Best of Breed vs. Consolidation, CIOs Note a Slight Preference for Best-of-Breed Within Security



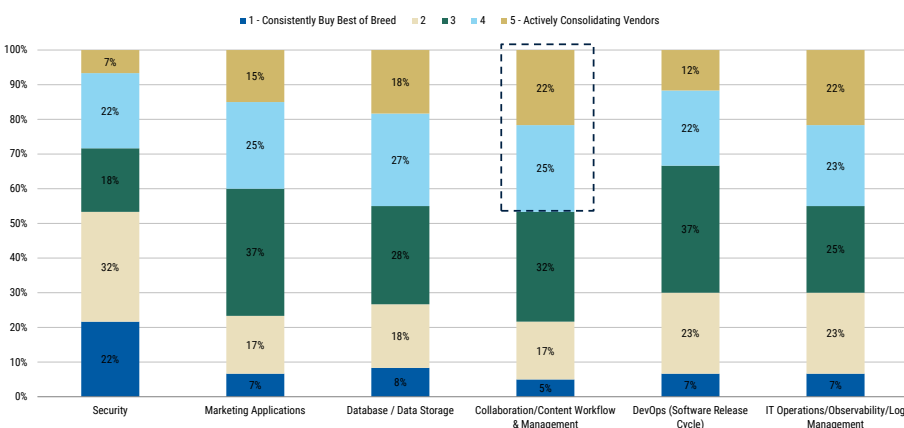
Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

Exhibit 51: Collaboration/ Content & Workflow Management Screens as Most Likely to Be Consolidated, With Marketing Applications, IT Operations / Observability / Log Management, and Database / Data Storage Following Closely Behind



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

Exhibit 52: Collaboration/ Content & Workflow Management Screens as the Vendor Category Most Ripe for Consolidation Today



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

- CIOs indicate expectations for Security spend to accelerate meaningfully in 2026, ticking up ~350 bps YoY to +12.4% growth, Exhibit 48.** CIOs expect Security Software spend to grow +12.4% in 2026, up from +8.9% in 2025. From a sequential perspective, 2026 Security spending expectations also improved materially, increasing +306 bps to +12.4% from +9.4% in our 4Q25 survey, Exhibit 49. Security spend continues to benefit from a more acute set of near-term demand drivers, including: **1) replacement of technical debt**, as legacy / off-maintenance infrastructure represents an immediate vulnerability, driving firewall refresh activity and higher appliance spend given elevated component / memory costs; **2) automated SOC / SIEM investment**, as security teams face rising alert volumes, more AI-enabled attacks, and increasing data volumes flowing through SIEM platforms; and **3) emerging AI security requirements**, particularly around enhanced identity and data security as enterprises deploy GenAI-enabled applications more broadly. Near term, technical debt replacement appears to be the largest driver of the step-up in spend, while automated SOC, SIEM, identity, and data security should remain key areas of incremental investment as CIOs look to manage a larger and more complex threat surface.
- Security remains the most defensible area of IT spend and continues to skew most toward best-of-breed.** Security Software ranks as the #2 CIO priority at 11.3% of responses, up from 10.7% in 1Q26, and remains the most defensible IT project with a +15% net defensibility score, up from +12% in 1Q26. CIOs also remain

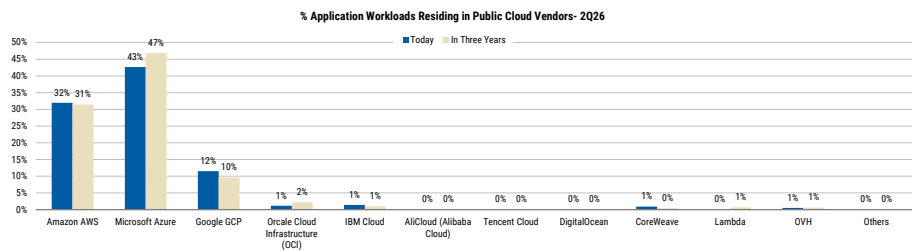
largely neutral across software sub-segments with respect to propensity to consolidate versus buying best-of-breed solutions, though Security continues to skew most toward best-of-breed, with the lowest consolidation score among tracked categories at 2.6.

- **Outside of Security, CIOs show the greatest propensity to consolidate in Collaboration / Content Workflow Management, followed by Marketing, IT Operations / Observability, and Database / Data Storage, [Exhibit 52](#).** Collaboration / Content Workflow Management screens as the category most likely to be consolidated at 3.4, followed by Marketing Applications, IT Operations / Observability / Log Management, and Database / Data Storage, each at 3.3, with DevOps at 3.1. The propensity for consolidation in IT Operations / Observability should benefit platform consolidators in the space such as ServiceNow, Dynatrace, and Datadog, while Security's best-of-breed skew remains supportive for leading cybersecurity vendors.

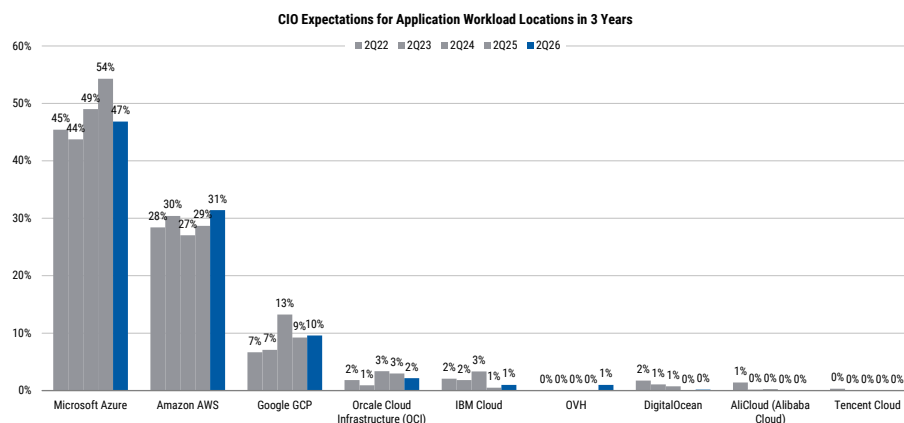
Microsoft Azure Remains the Preferred Public Cloud Provider Today & Is Expected to Remain So Over the Next 3 Years

Which are your top 3 public cloud providers and what percentage of your application workloads reside in each of them today? What percentage do you expect your application workloads to reside in each of them in three years?

Exhibit 53: Azure and AWS Remain the Dominant Public Cloud Providers Today...



Source: AlphaWise, Morgan Stanley Research. N= 60 (US and EU Data)

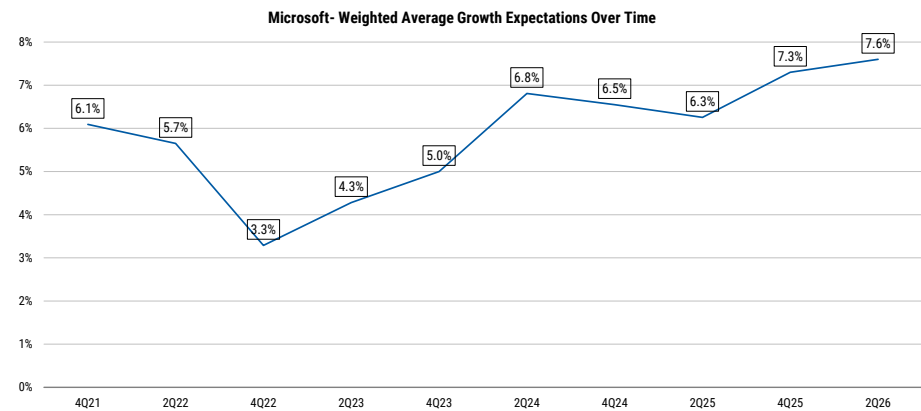
Exhibit 54: ... With AWS Expected to See Largest Share Gains Over Next Three Years

Source: AlphaWise, Morgan Stanley Research. N= 60 (US and EU Data)

- **Azure and AWS** host the largest percentage of workloads residing in the public cloud today at 43%/32%, respectively, [Exhibit 53](#).
- On an absolute basis, data suggests **CIOs anticipate more material share gains for AWS (+270 bps YoY) over the next three years relative to Azure (-740 bps YoY), GCP (+30 bps YoY), and OCI (-82 bps), [Exhibit 54](#).**

Microsoft Growth Expectations Accelerate, Fueled by Azure, AI and M365/O365 Upsells

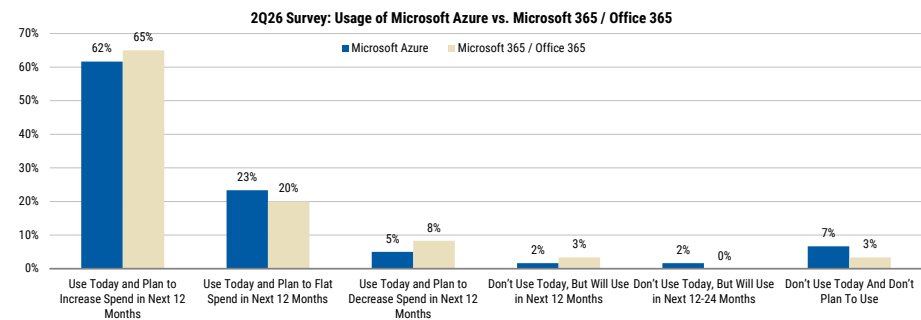
Exhibit 55: Weighted Average Growth Expectations Have Accelerated Over the Past Two Surveys and Continues to See the Highest Absolute Growth Expectations Across Vendors in Our Survey



Source: AlphaWise, Morgan Stanley Research. N= 60 (US and EU Data)

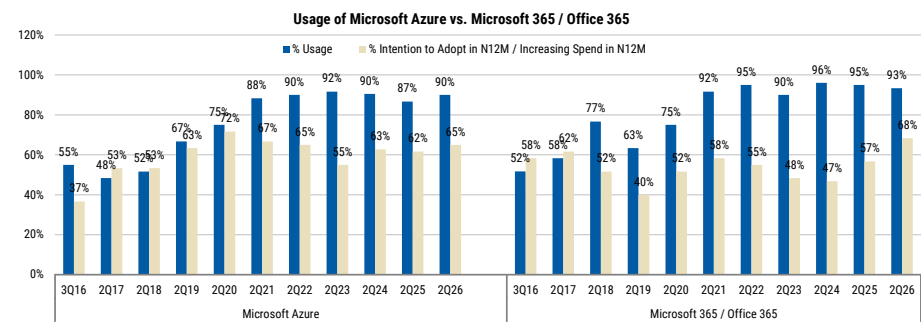
Are you currently using or planning to use Microsoft Azure or Microsoft 365 / Office 365 public cloud solutions?

Exhibit 56: A Majority of CIOs Indicate Leveraging Microsoft Azure and Office 365 Today and Plan to Increase Spend in The Next 12 Months



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

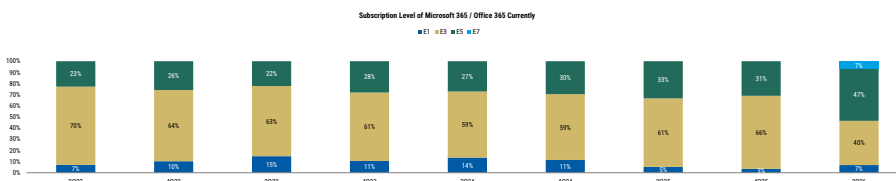
Exhibit 57: CIOs Indicate Usage and Spending Intentions on Microsoft Azure and Microsoft 365 / Office 365 Continue to Remain Durable



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

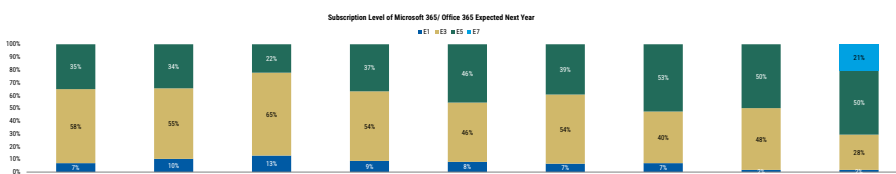
If you are currently using Microsoft 365 / Office 365, what subscription level (E1, E3, E5 or E7) are the majority of your employees using today? Do you have any plans to upgrade in the next year?

Exhibit 58: The Shift to Higher Subscription Levels Continues with 47% / 7% of CIOs Using E5 / E7 Licenses Currently...



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

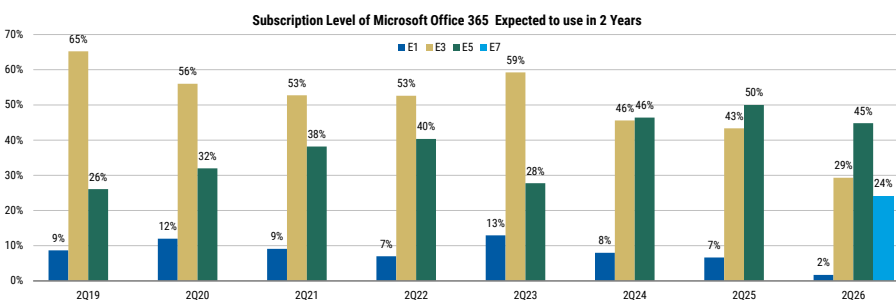
Exhibit 59: ...With Expectations for E5 / E7 License Subscriptions Reaching 50% / 21% in the Next Year, Further Supporting Better Copilot Adoption Over N12M



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

Which Microsoft 365 / Office 365 subscription level (E1, E3, E5, or E7) do you expect to use in 2 years?

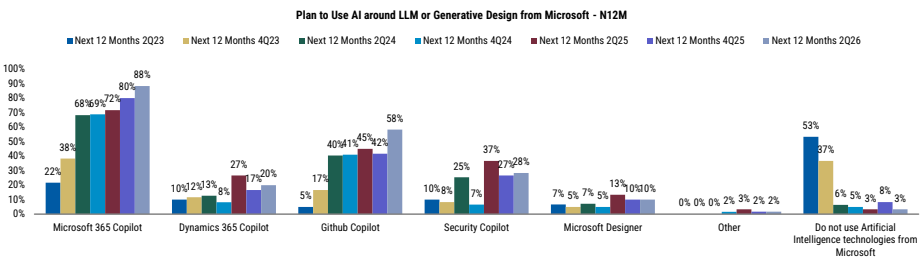
Exhibit 60: The Shift to Higher Subscription Levels Continues with 45% of CIOs Planning to Use E5 in the Next 2 Years, Down Slightly From 50% in 2Q26, Though Offset by 24% of CIOs Planning to Use E7



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

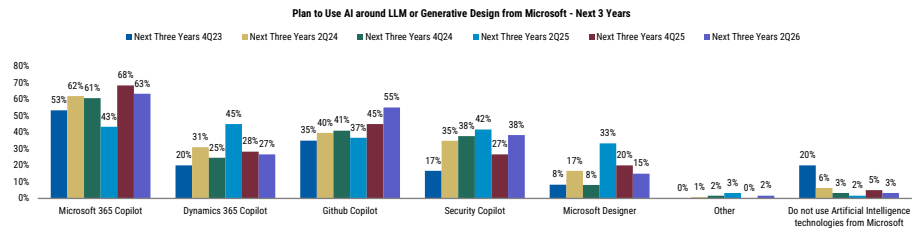
Which of the following products incorporating Generative Artificial Intelligence technology around Large Language Models (e.g. GPT 5) or Generative Design (e.g. Dall-e) do you plan to use from Microsoft in your organization in the next 12 months?

Exhibit 61: 88% of CIOs Expect to Use Microsoft 365 Copilot Over the Next 12 Months, up from 72% and 80% in Our Last Two CIO Surveys...



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

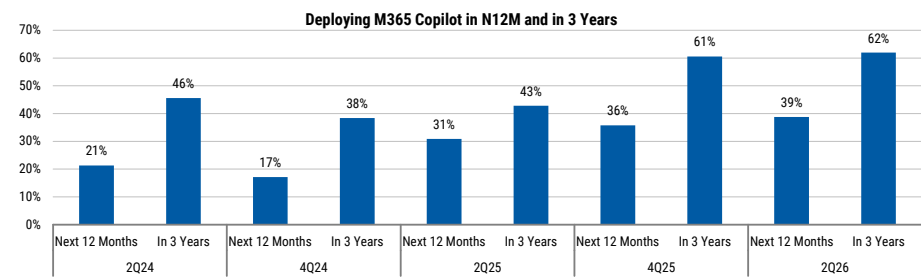
Exhibit 62: ...While M365 Copilot Also Continues to be the Most Sought-After Generative AI Product From Microsoft Over the Next 3 Years



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

If you are planning to use Microsoft 365 Copilot within your organization, what % of your Office user base do you expect to deploy M365 Copilot to over the next 12 months and in 3 years?

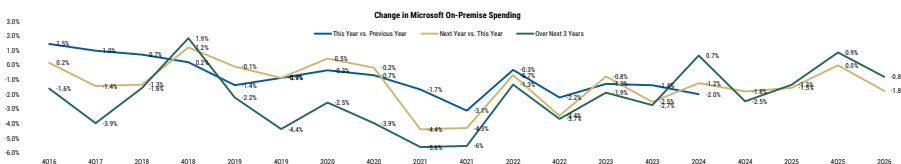
Exhibit 63: Microsoft 365 Penetration Expectations Increased From our 4Q25 Survey on Both a Near-Term and Long-Term View



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

How do you expect your spending on Microsoft On-Premise Server Related Products and Tools (Windows Server, Microsoft SQL Server, Visual Studio, System Center, GitHub and related server products – EXCLUDING Azure and cloud-based software) to change over the following time periods?

Exhibit 64: CIOs Indicate Negative Growth Expectations on On-Premise Related Products and Tools Over the Next 3 Years



Source: AlphaWise, Morgan Stanley Research. n= 60 (US and EU data)

- Looking across the suite of vendor growth expectations assessed in our Survey, **CIOs continue to indicate expectations for spend with Microsoft to remain durable at +7.6% in 2026, the highest level across vendors tracked in our Survey, Exhibit 55**. Spending expectations for Microsoft improved from +7.3% in 4Q25, marking the second consecutive read of accelerating growth expectations.
- Durability of Azure Growth Intentions.** Of the CIOs who currently use or plan to use Azure, 62% expect to increase spend over the next 12 months, relative to 57% in 2Q25, [Exhibit 56](#). 23% of CIOs plan to keep spend unchanged and 5% plan to decrease spend on Azure over the next 12 months. Separately, Azure remains the preferred public cloud provider, with CIOs indicating 43% of public cloud workloads reside on Azure today, increasing to 47% over the next three years, compared to AWS at 32% today and 31% over the next three years.
- Uptick in M365 / O365 Spending Intentions.** 2Q26 data points to a notable uptick in CIO intentions to increase spend on Microsoft 365 / Office 365 over the next 12 months, with 65% of CIOs indicating intent to increase spend, relative to 55% in 2Q25 ([Exhibit 57](#)). 28% of CIOs plan to keep spend unchanged or decrease spend on M365 / O365 over the next 12 months, a downtick from the 40% of CIOs indicating flat / lower spend in 2Q25.
- Mix-Shift Toward Higher M365 Subscription Levels Apparent, with E7 Newly Broken Out.** While CIOs note a meaningful portion of employees currently using M365 / O365 remains on E3, 2Q26 data shows a notable skew toward premium subscription tiers, with 47% of employees currently on E5 and 7% on E7, versus 31% on E5 in 4Q25 when E7 was not broken out ([Exhibit 58](#), [Exhibit 59](#)). Looking ahead, 50% of CIOs expect to use E5 next year, in line with 50% in 4Q25, while 21% expect to use E7 next year. Taken together, expected E5 / E7 mix reaches 71% next year, highlighting an additional premium monetization lever for Microsoft.
- CIO intentions to leverage Microsoft's Generative AI products on a go-forward basis remain robust, though medium-term usage is more mixed.** Microsoft 365 Copilot remains the most popular solution within Microsoft's GenAI portfolio, with 88% of CIOs expecting to use the product over the next 12 months, up from 80% in 4Q25, [Exhibit 61](#). GitHub Copilot also improved to 58% from 42% in 4Q25. Newer offerings also screen meaningfully in 2Q26, including Copilot Studio (52%), Azure AI Services (42%), Azure AI Foundry (25%), and Microsoft Fabric AI (25%).
- Looking ahead, usage of Microsoft's Generative AI portfolio is more bifurcated on a medium-term view, though M365 Copilot penetration expectations continue to improve. Microsoft 365 Copilot usage is expected to moderate from 88% over the next 12 months to 63% over the next three years, [Exhibit 62](#). By comparison, CIOs expected Microsoft 365 Copilot usage of 68%. Partially offsetting, from a penetration perspective, CIOs expect to deploy M365 Copilot across 39% of their

Office user base over the next 12 months (among the n=52 planning to use M365 Copilot), up from 36% in 4Q25, increasing to 62% over the next three years (n=38), up from 36% / 61%, respectively, in 4Q25 ([Exhibit 63](#)).

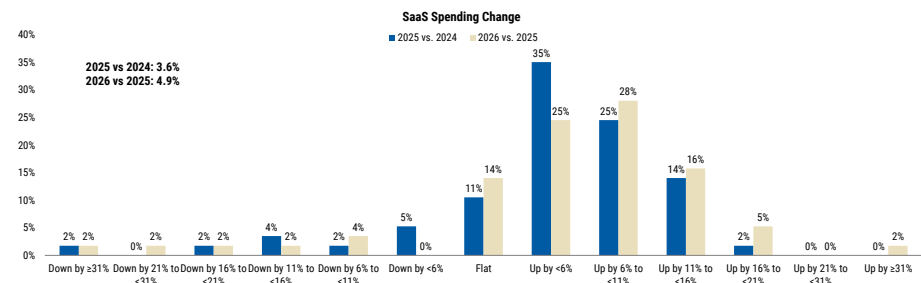
- Net, Microsoft remains the clearest public AI / Software winner in our 2Q26 CIO Survey. Microsoft screens with the highest vendor growth expectations, remains the preferred public cloud provider, shows improving M365 / O365 spending intentions, benefits from premium M365 SKU mix-shift with E7 newly broken out, and maintains leadership across M365 Copilot adoption and penetration, [Exhibit 59](#) . While medium-term usage of certain Microsoft AI products is more mixed, the broader survey continues to support Microsoft's ability to consolidate software spend while monetizing GenAI across Azure, M365, Copilot, GitHub, Fabric, and broader enterprise distribution, [Exhibit 60](#) .
- See [Microsoft: 2Q26 CIO Survey Takeaways — GenAI Leadership Position Remains Clear](#) for Microsoft-specific takeaways from our 2Q26 Survey.

Enterprise Software - Applications Takeaways

SaaS Spending Growth Expected to Accelerate in 2026 vs. 2025; BI Remains Key SaaS Investment Initiative

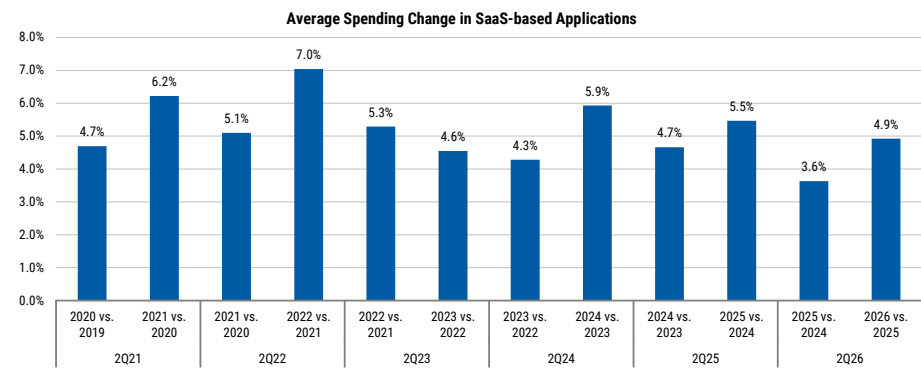
How much did spending on Software as a Service (SaaS) based applications change in CY25 vs. CY24? How much do you expect it to change in CY26 vs. CY25?

Exhibit 65: CIOs Expect SaaS Spending Growth To Accelerate In 2026, With Average Growth Expectations of +4.9% YoY



Source: AlphaWise, Morgan Stanley Research. n=125 (US and EU data).

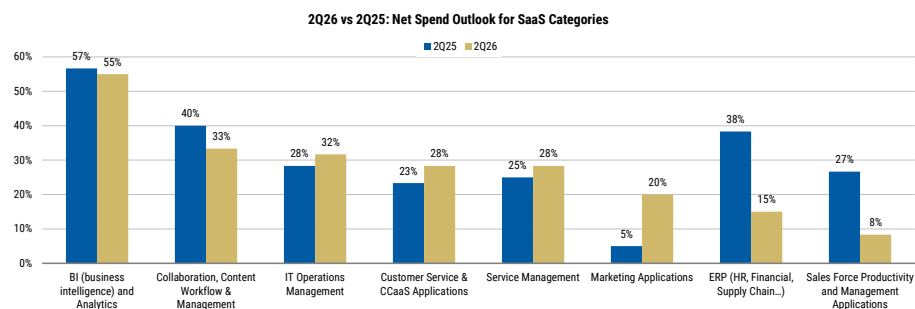
Exhibit 66: ... Though +4.9% Growth YoY Remains Below Previous Growth Expectations Observed in 2Q25



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data).

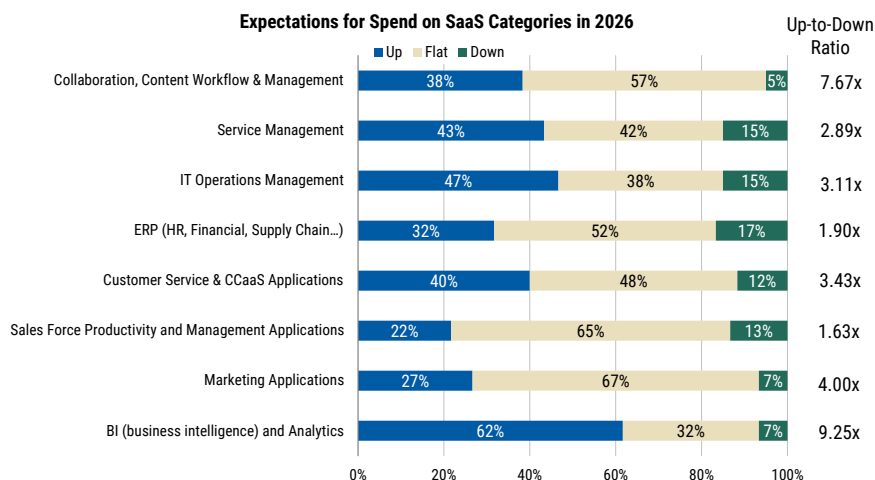
How do you expect spend on each of the below SaaS categories to trend in CY2026 relative to spend in CY2025? Specify Increase/Unchanged/Decrease.

Exhibit 67: From a Net Spend Perspective (% Expecting to Increase Spend-% Expecting to Decrease Spend), CIOs Note Highest Intentions to Spend on BI/Analytics, Collaboration & Content Workflow Management, and IT Operations Management



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data).

Exhibit 68: A Large Proportion of CIOs (62%) Expect to Increase Spend on BI/Analytics in 2026; 17% of CIO Expect to Decrease Spend on ERP



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data).

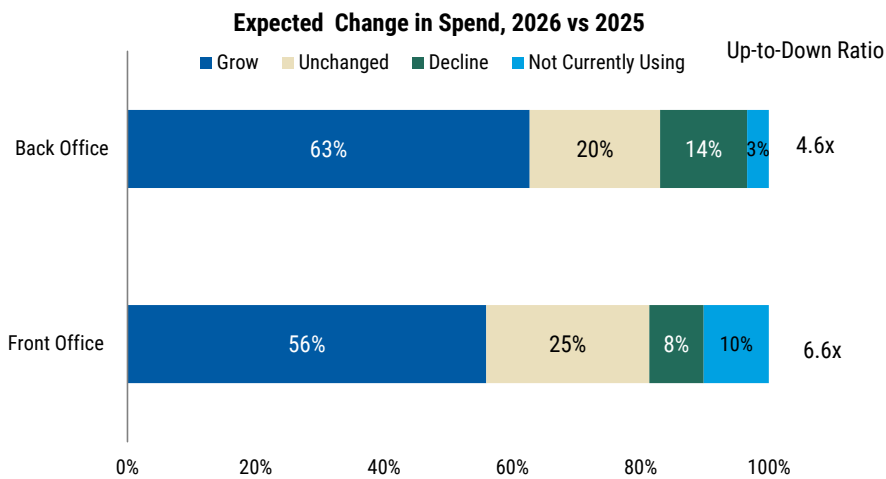
- CIOs note expectations for spending on SaaS applications to accelerate more meaningfully in 2026 than that of overall Software, with expectations for +4.9% growth in 2026 vs. +3.6% growth in 2025, [Exhibit 66](#). While indicating acceleration, SaaS growth expectations remain below the +5.5% growth expectation observed in 2Q25, as well as the +6-7% growth highs seen in previous years. Net, SaaS spending intentions remain constructive, though not yet back to prior-cycle highs.
- Looking across the suite of SaaS initiatives, CIOs note expectations to increase spend most materially on Business Intelligence / Analytics in 2026, followed by Collaboration & Content / Workflow Management and IT Operations Management. BI / Analytics remains the top SaaS category with a 55% net spend score in 2Q26, modestly below 57% in 2Q25, followed by Collaboration & Content / Workflow Management at 33% vs. 40% in 2Q25, and IT Operations Management at 32% vs. 28% in 2Q25 ([Exhibit 67](#)). Customer Service & CCaaS and Service Management both screen at 28%, while Marketing Applications improved to 20% from 5% in 2Q25. ERP moderated materially to 15% from 38% in 2Q25, and Sales Force Productivity / Management Applications screens lowest at 8% vs. 27% in 2Q25,

Exhibit 65.

Front Office vs Back Office Spending Trends

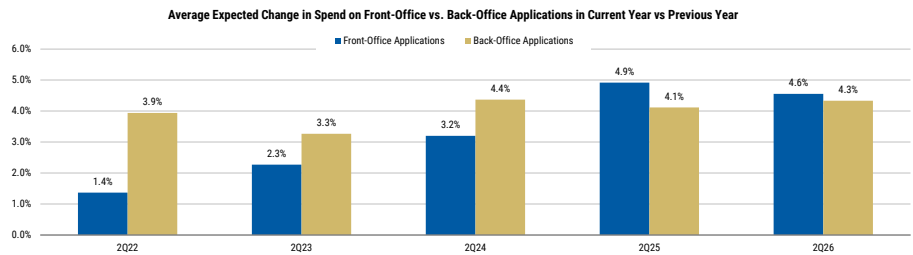
How do you expect your organization's spending on Front Office Applications to change in 2026 vs. 2025? How do you expect your organization's spending on Back Office Applications to change in 2026 vs. 2025?

Exhibit 69: Up-to-Down Ratio for Front Office Spend Reads More Favorable (6.6x) Relative to Back Office Spend (4.6x)



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

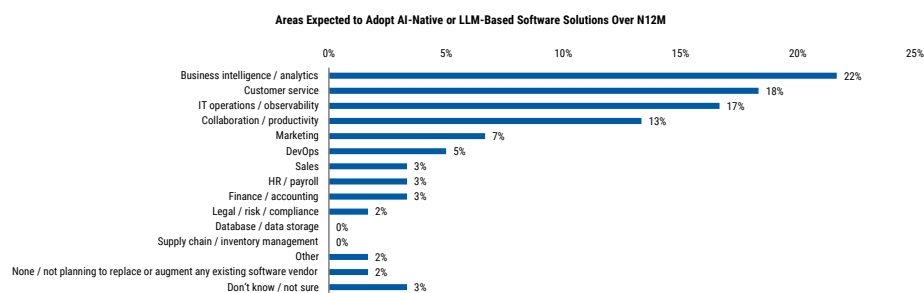
Exhibit 70: Absolute Average Spend Expectations Higher for Front Office Apps (+4.6%) Relative to Back Office Apps (4.3%)



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

What area are you most likely to replace or augment your existing software vendor with an AI-native solution or LLM-based solution over the next 12 months?

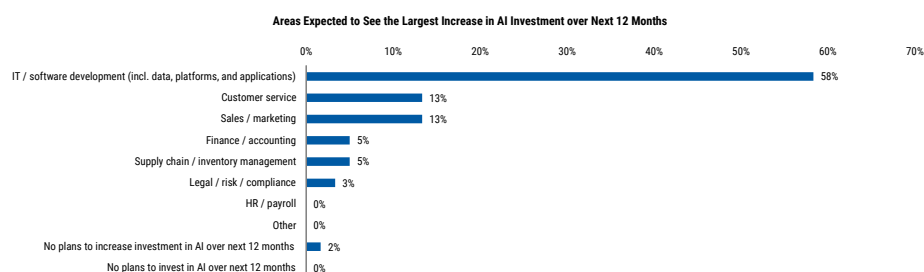
Exhibit 71: CIOs Expect to Replace or Augment Existing Software Vendors with AI-Native or LLM-Based Solutions Across BI/Analytics, Customer Service, and IT Operations / Observability



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

Which area do you expect will see the largest increase in AI investment (includes budget, tools, headcount, initiatives, etc.) over the next 12 months?

Exhibit 72: CIOs Indicate Seeing the Largest Increase in AI Investment in IT / Software Development Over the Next 12 Months



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

- **Front Office spending intentions continue to screen more favorably than Back Office, though the gap narrowed as Back Office improved.** The Front Office up-to-down ratio stands at 6.6x in 2Q26 versus 7.5x in 2Q25, while Back Office improved to 4.6x in 2Q26 from 3.3x in 2Q25, [Exhibit 69](#). **Absolute spending growth expectations also remain modestly higher for Front Office at +4.6% versus +4.3% for Back Office**, though the spread narrowed relative to +4.9% / +4.1% in 2Q25, [Exhibit 70](#).
- Customer-facing AI use cases support continued Front Office relevance, though not enough to underwrite a broad application software inflection. **Customer Service screens as the #2 area where CIOs expect to adopt AI-native / LLM-based software solutions over the next 12 months at 18%**, [Exhibit 71](#). This supports continued relevance for Front Office vendors, though vendor-specific spending intentions remain mixed, with Salesforce growth expectations decelerating to +3.2% in 2Q26 from +4.5% in 4Q25.
- **New 2Q26 survey work suggests CIOs expect AI-native / LLM-based software adoption to concentrate first in BI / Analytics, Customer Service, IT Operations / Observability, and Collaboration / Productivity**, [Exhibit 71](#). When asked where they are most likely to replace or augment existing software vendors with AI-native / LLM-based solutions over the next 12 months, CIOs pointed to BI / Analytics at 22%, Customer Service at 18%, IT Operations / Observability at 17%,

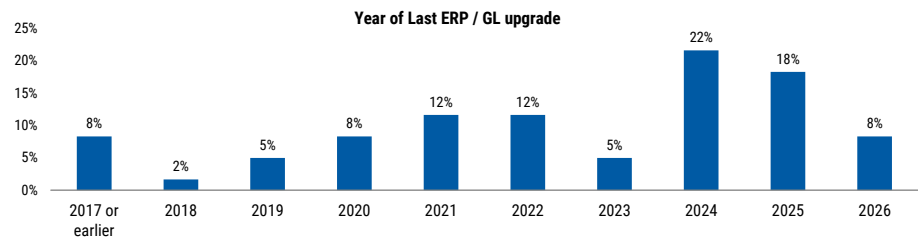
and Collaboration / Productivity at 13%, followed by Marketing at 7% and DevOps at 5%, Exhibit 69. **While this data may suggest a negative read for incumbent Software vendors, we believe these CIO indications point to the opportunity for legacy Software vendors to lean into their own AI-based solutions where customers are looking for AI-driven augmentation.**

- **CIOs expect the largest increase in AI investment over the next 12 months to center on IT / Software Development, with customer-facing functions a distant second. In a new 2Q26 question, 58% of CIOs expect IT / Software Development — including data, platforms, and applications — to see the largest increase in AI investment over the next 12 months,** followed by Customer Service and Sales / Marketing at 13% each, Exhibit 70. Finance / Accounting and Supply Chain / Inventory Management each screen at 5%, while Legal / Risk / Compliance screens at 3% and HR / Payroll at 0%, [Exhibit 72](#). **Net, while Customer Service remains an important AI-native adoption category, the broader AI investment cycle appears more centered on internal software development, data, and platform buildout.**

While ERP Applications Remain a Priority, The Outlook for Net Spend Declined in 2026

When was the last time you upgraded your ERP and/or GL platform?

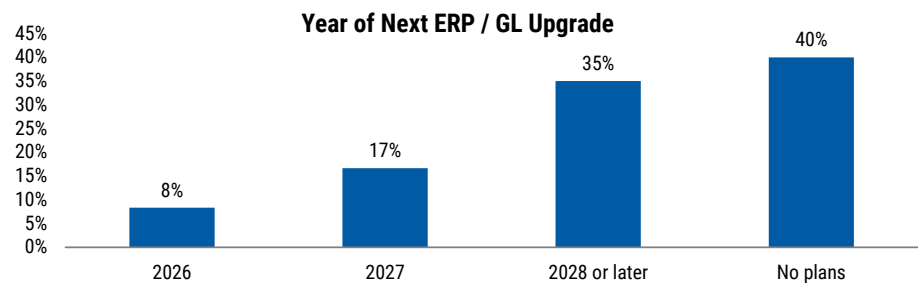
Exhibit 73: 48% of CIOs Have Upgraded ERP / GL Systems Since 2024



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

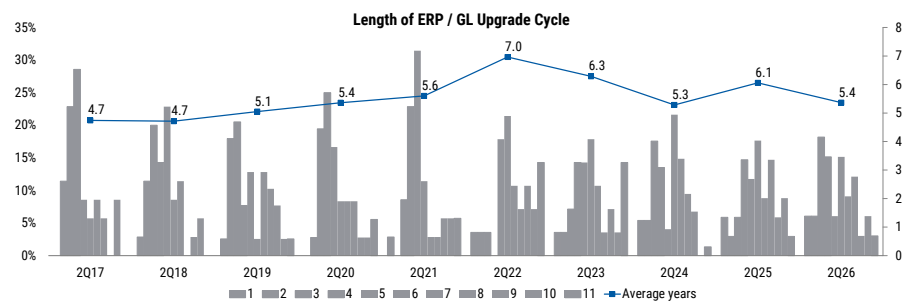
Do you have any plans to upgrade your ERP and/or GL platform and if so when will the refresh begin?

Exhibit 74: 60% of CIOs Anticipate Upgrading ERP / GL Systems Within the Next Two Years, With 40% of CIOs Indicating No Plans At All



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

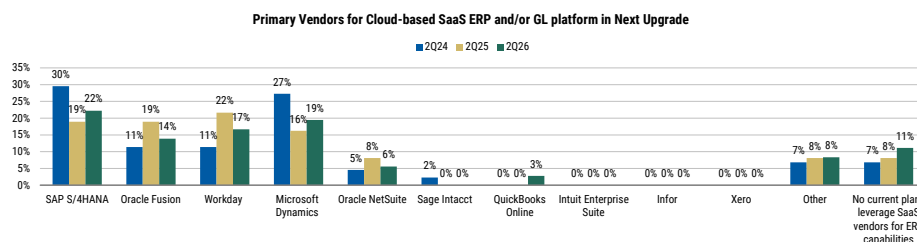
Exhibit 75: Length of ERP / GL Upgrade Cycle Shows Some Contraction in 2026 After Accelerating Last Year



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

If you plan to leverage a cloud-based SaaS ERP and/or GL platform in your next upgrade, which of the following vendors do you expect to be primary?

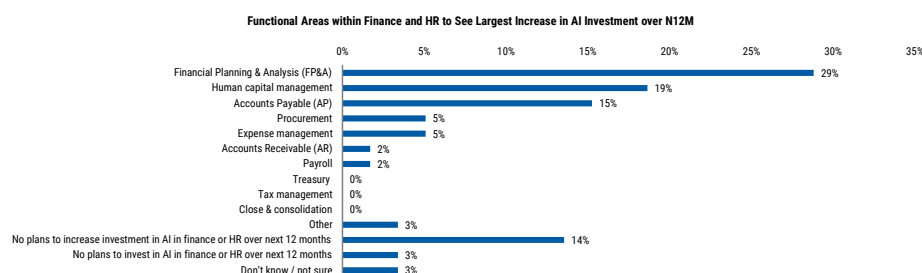
Exhibit 76: SAP S/4HANA (22%), Microsoft Dynamics (19%), Workday (17%) Screen as the Cloud-Based SaaS Vendors Expected to Be Leveraged in Next ERP / GL Upgrades



Source: AlphaWise, Morgan Stanley Research. n= 44 (2Q24) / 37 (2Q25) / 36 (2Q26) (US and EU data)

Which functional area within finance or HR do you expect will see the largest increase in AI investment (includes budget, tools, headcount, initiatives, etc) over the next 12 months?

Exhibit 77: CIOs Point to Financial Planning & Analysis, Human Capital Management, and Accounts Payable as the Top Areas to See the Largest Increase in AI Investment NTM



Source: AlphaWise, Morgan Stanley Research. n=60 (US and EU data)

- Aligned with ERP Applications remaining a top 5 Macro priority, responses in our Software-specific domain survey show ERP remains relevant, though the net spend outlook declined meaningfully, [Exhibit 67](#). ERP Applications ranked as the #5 CIO priority in 2Q26 at 5.0% of responses, though down from 5.7% in 1Q26 ([Exhibit 23](#)). **Within SaaS category spending, ERP now screens at a 15% net spend outlook for 2026, down from 38% in 2Q25, suggesting ERP remains important but does not screen as one of the cleaner incremental SaaS spending categories this quarter, [Exhibit 67](#).**
- 48% of CIOs have upgraded their ERP / GL systems since 2024, while 60% have some plan to upgrade going forward, though only 25% expect the refresh to begin in 2026 or 2027 ([Exhibit 73](#), [Exhibit 74](#)). Specifically, 22% of CIOs last upgraded ERP / GL systems in 2024, 18% in 2025, and 8% in 2026, [Exhibit 73](#). **Looking ahead, 8% of CIOs expect their next ERP / GL upgrade to begin in 2026, 17% in 2027, and 35% in 2028 or later, while 40% indicate no plans, [Exhibit 72](#). Net, the ERP upgrade cycle remains active, but the timing is more elongated, [Exhibit 74](#).**
- ERP / GL upgrade cycles contracted in 2Q26 after elongating last year, [Exhibit 75](#).** Following a challenging period from 2020-2022 where CIOs preferred to sweat existing ERP assets and prioritize more strategic projects, the expected ERP / GL upgrade cycle compressed to 5.4 years in 2Q26 from 6.1 years in 2Q25, though remains modestly above the 5.3-year cycle observed in 2Q24. This suggests some improvement in upgrade-cycle momentum, likely supported by cloud

modernization, AI-readiness, and end-of-life considerations for legacy on-premise systems.

- **For CIOs making an ERP / GL upgrade, SAP S/4HANA, Microsoft Dynamics, and Workday screen as the top cloud-based SaaS vendors expected to be leveraged, [Exhibit 76](#).** SAP S/4HANA rose to the top preferred vendor spot at 22% in 2Q26, followed by Microsoft Dynamics at 19%, Workday at 17%, and Oracle Fusion at 14%, [Exhibit 74](#). This marks a shift from 2Q25, when Workday led at 22%, followed by SAP S/4HANA and Oracle Fusion at 19% each, while Microsoft Dynamics screened at 16%.
- **New 2Q26 survey work suggests AI investment across Finance / HR is most likely to concentrate in FP&A, HCM, and Accounts Payable, [Exhibit 77](#).** When asked which functional area within Finance or HR will see the largest increase in AI investment over the next 12 months, CIOs pointed to Financial Planning & Analysis at 29%, Human Capital Management at 19%, and Accounts Payable at 15%, followed by Procurement and Expense Management at 5% each, [Exhibit 75](#). **Net, ERP / back-office AI appears more likely to show up as module-level attach across finance and HR workflows rather than wholesale AI-native replacement of ERP systems.**

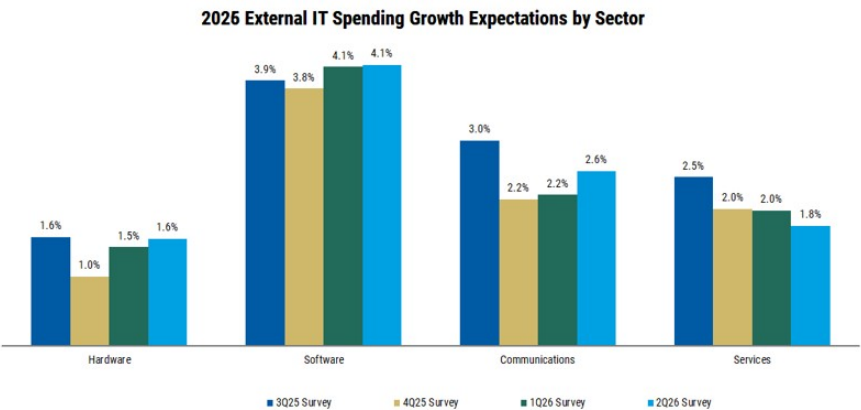
IT Services – Key Takeaways

- IT Services budget growth expectations continue to weaken despite improving overall IT budget growth.** The 2Q26 CIO Survey points to +1.8% y/y IT Services growth in 2026, down slightly from +2.0% last quarter and below 2025's +2.1%, while overall IT budget growth expectations rose to +3.8%. This suggests that AI may be starting to support broader budget acceleration, but Services has not yet benefited and remains pressured as rapid AI model advancement crowds out discretionary development spend.
- Broad-based willingness to discount.** We see willingness to discount across the space, with all 12 vendors having positive net discounting scores. We note that WIT, INFY, CAP and ACN show the greatest willingness to discount relative to industry peers. Relative to our 4Q25 survey, WIT saw the largest increase in willingness to discount (up +44%), followed by EPAM (up +40%). While all vendors show positive discounting scores, IBM has the lowest positive net discounting score (3%) relative to peers, followed by Gartner (5%) and DXC (7%).
- Macro concerns less likely to drive project delays, contrary to company commentary.** Our survey data shows 23% of respondents delaying IT Services-related projects due to geopolitical and/or macroeconomic concerns, down significantly from 42% polled in 4Q25. This improvement stands in notable contrast to the tone struck by most IT Services companies, where macro-driven caution, elongated sales cycles, and discretionary spending headwinds remain persistent themes.
- ACN is the key beneficiary from vendor consolidation, with 52% of respondents consolidating vendor relationships (vs. 54% in 4Q25).** On a net basis, ACN and Deloitte screened as the greatest share gainers in vendor consolidation, while Infosys, IBM and Other screened as the largest share donors. ACN's strength is likely driven by the company's breadth of offerings across both consulting and outsourcing. Of the 11 respondents that highlighted ACN as the greatest share gainer, IBM, Wipro and Deloitte were the key share donors. Conversely, IBM and ACN screened as the largest share donors. Of the 5 respondents highlighting IBM as the greatest share donor, ACN screened as the largest share gainer. Of the 4 respondents highlighting ACN as the greatest share donor, Deloitte and IBM were share gainers.
- Potential to overspend on IT Services rises.** CIO confidence around IT Services trended slightly upward, with the percentage of companies expecting to overspend increasing to 33% (vs. 28% in our 4Q25 survey), while 5% of companies expect to underspend on IT Services, matching 4Q25 levels. As it relates to specific vendors, ACN is expected to see an increase in spend, with 15 respondents looking to increase spend, offset by 4 respondents looking to decrease spend over the next 12 months. Conversely, Wipro is expected to see a marginal reduction in spend, with 1 respondent looking to increase spend, offset by 5 respondents looking to decrease spend over the next 12 months. Similarly, for EPAM, 1 respondent is looking to increase spend, offset by 3 respondents looking to decrease spend.
- Consulting and Systems Integration leads spending categories, while BPO spend expectations decline.** On a net basis, Consulting and Systems Integration

(33%) and Offshore/outsource resources (23%) are expected to see the greatest spending increases over the next twelve months. Consulting and Systems Integration also saw the greatest percentage of respondents that indicated an expectation that spending could increase by >1% (48% of respondents), while BPO support saw the greatest percentage of respondents indicating an expectation that spending could decrease >1% (23% of respondents), marginally above Infrastructure Outsourcing and Application Development (22% of respondents).

- **Artificial Intelligence, Software Upgrades and Security are the top three IT Services-related initiatives in 2026.** Survey results suggest CIOs are prioritizing Artificial Intelligence as the top spending initiative in 2026, with 77% of polled respondents intending to engage an IT Services provider (up from 68% in 4Q25). Additionally, 59% of respondents are planning to increase traditional IT outsourcing spend as a result of Gen AI, while 19% of respondents are reducing spend. Software Upgrades ranked as the second-most prioritized spending initiative, with 62% of respondents looking to engage a service provider (vs. 47% in 4Q25).

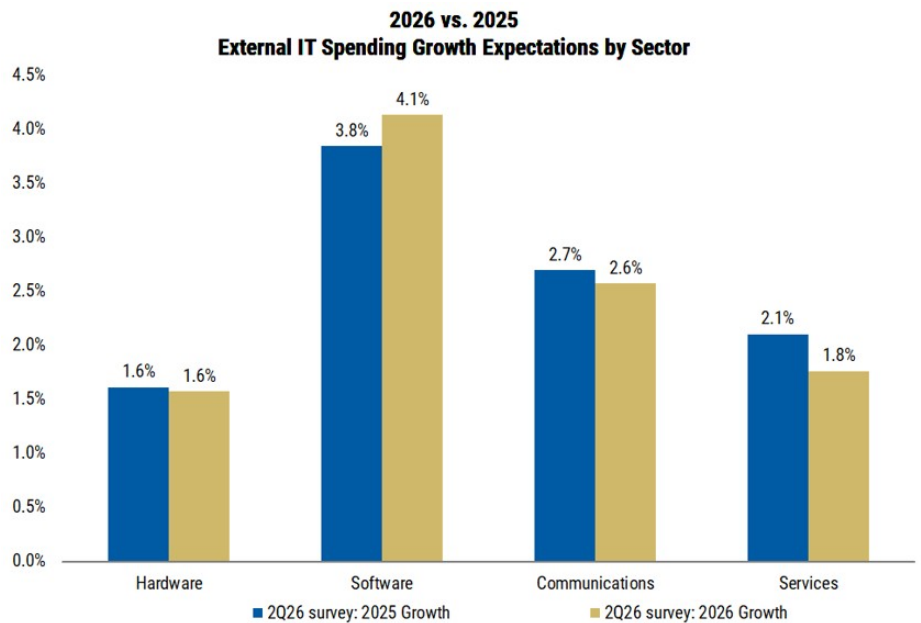
Exhibit 78: Survey results show sequential deceleration in IT Services spending expectations, with CIOs now expecting IT Services spend to grow +1.8% (vs. +2.0% when surveyed in 1Q26)



Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

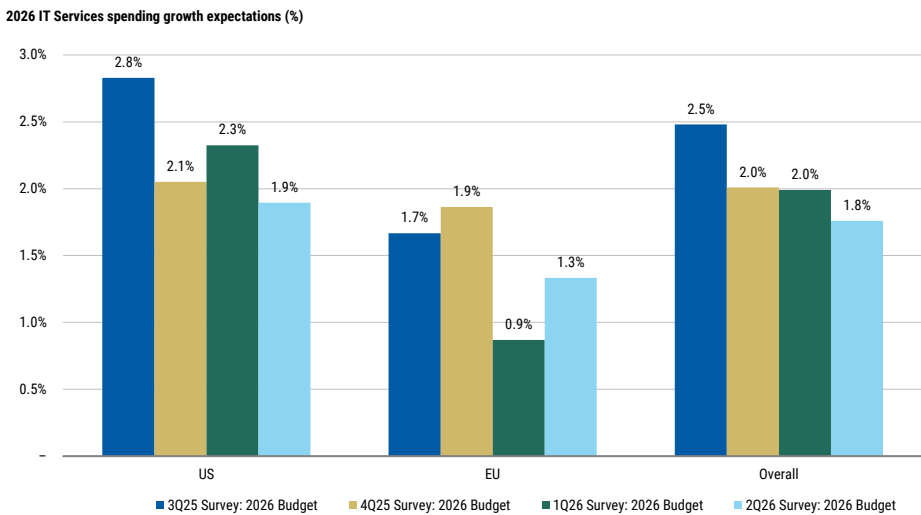
By what percentages did your company's external IT spending change for each of the following technology areas in 2025 vs. 2024? What is your estimated spending for 2026 vs. 2025?

Exhibit 79: IT Services shows a deceleration in spending intentions for 2026 vs. 2025



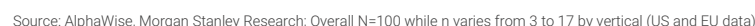
Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

Exhibit 80: Within IT Services, EU spending expectations are modestly improving QoQ to +1.3% while US respondents expect spending to decelerate to +1.9%.



Source: AlphaWise, Morgan Stanley Research; n=100 (US and EU data)

2026 IT Services spending growth expectations by vertical (%)



IT Services Spending Growth Expectations Over Time

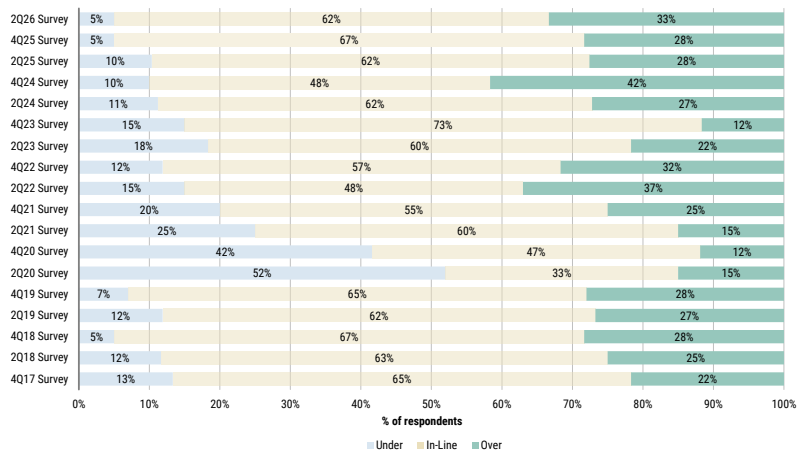


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services budget?

Exhibit 83: The percentage of companies expecting to overspend on IT Services increased to 33% (vs. 28% in 4Q25), which is slightly ahead of pre-pandemic levels, while 5% of companies expect to underspend.

IT Services: Overspending vs. underspending expectations



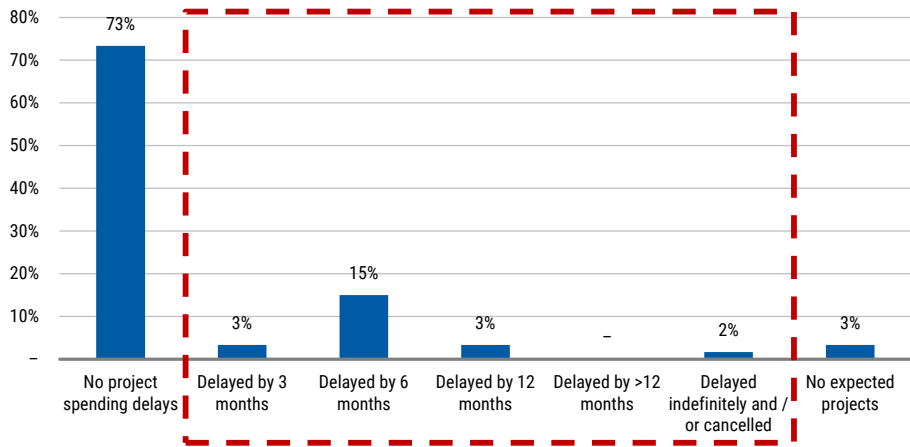
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Macroeconomic Concerns Less Likely to Drive Project Delays

Are your company's expected professional IT Services-related projects (e.g., digital transformation, cloud migration) delayed due to macroeconomic and / or geopolitical concerns?

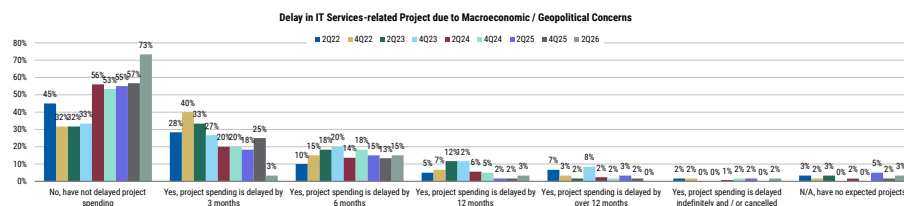
Exhibit 84: 23% of respondents are delaying IT Services-related projects due to geopolitical and / or macroeconomic concerns, meaningfully below 42% of respondents polled in 4Q25.

IT Services-related project delays due to macroeconomic concerns (% of respondents)



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 85: 73% of respondents have not delayed project spending due to geopolitical and / or macroeconomic concerns, up from 57% in 4Q25.



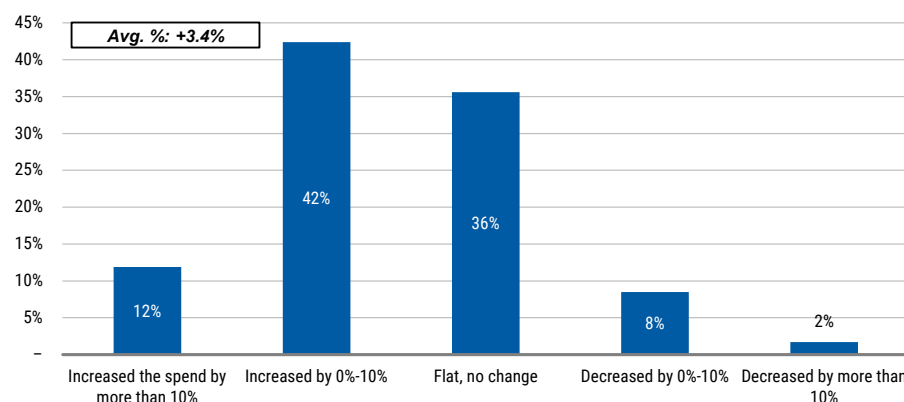
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Supply Challenges Continue To Abate Amidst Macro Uncertainty

Is your company changing their mix of spending on resources in-house vs. outsourced?

Exhibit 86: 54% of CIOs are planning to increase utilization of outsourced services (vs. 10% that are looking to shift work in-house), vs. 47% expected to increase and 13% expected to decrease in 4Q25.

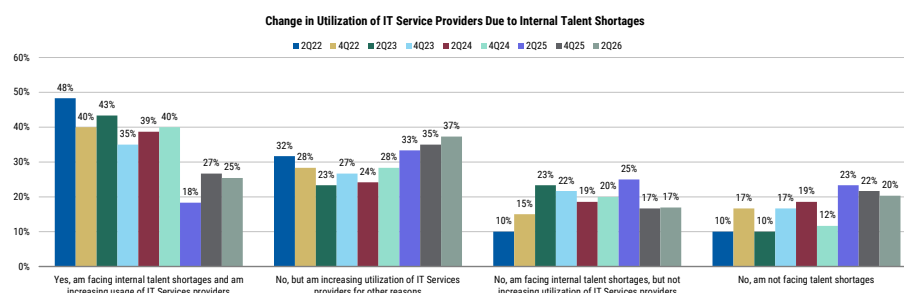
Changes in utilization of outsourced services



Source: AlphaWise, Morgan Stanley Research; n=59 (US and EU data)

Is your company increasing utilization of IT Services providers due to internal talent shortages?

Exhibit 87: 25% of respondents noted they are increasing usage of IT Services providers in response to internal talent shortages, which is slightly lower than the ~27% of respondents cited in our 4Q25 survey. 37% of respondents are increasing utilization of IT Services providers despite not facing internal talent shortages.

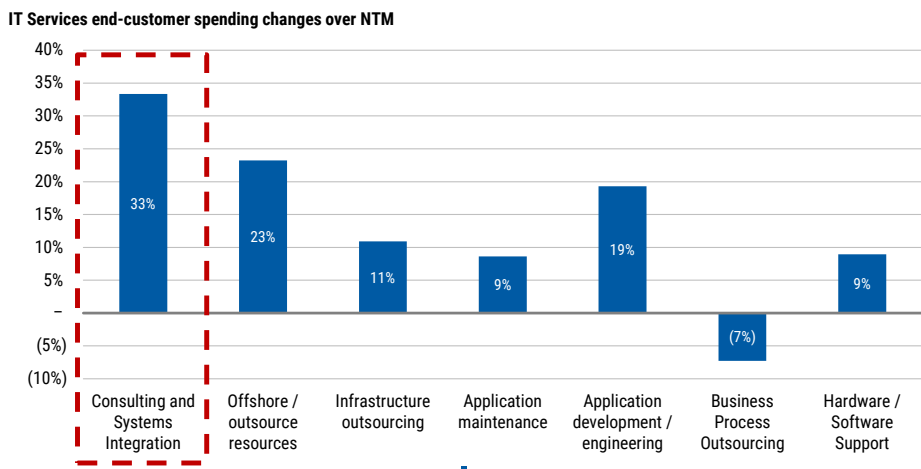


Source: AlphaWise, Morgan Stanley Research; n=59 (US and EU data)

Consulting and Systems Integration Leads Spending Categories

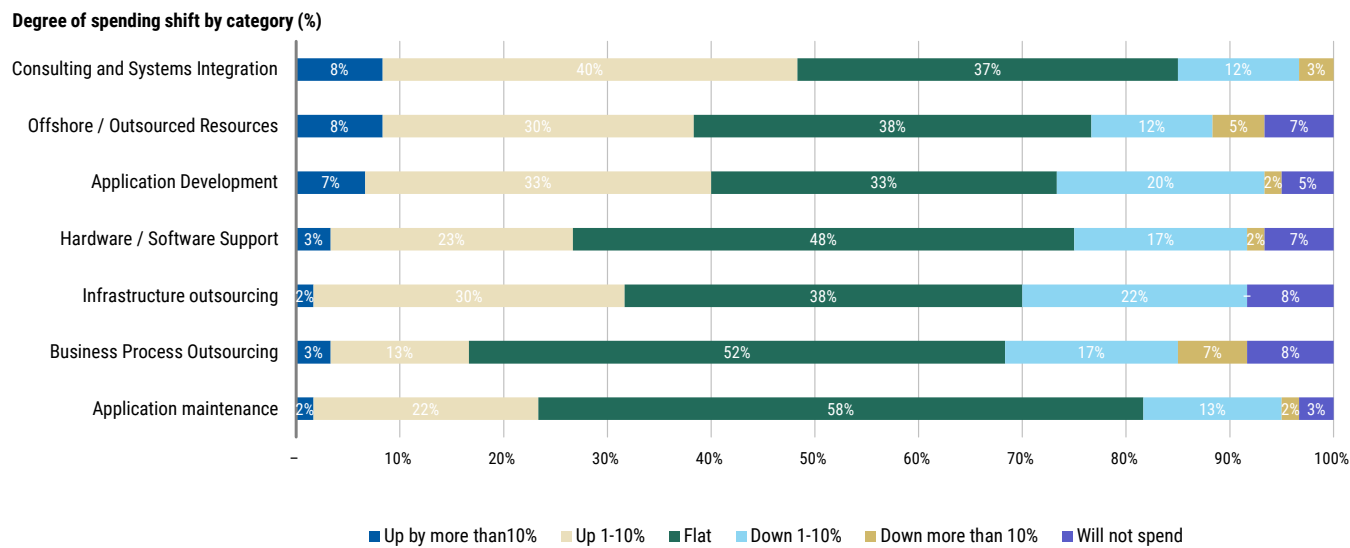
How do you expect your company's professional IT services spending in the following segments to change in the next 12 months?

Exhibit 88: On a net basis, subtracting the percentage of respondents indicating a decline from the percentage of respondents indicating an increase, Consulting and Systems Integration (33%) and Offshore/outsource resources (23%) are expected to see the greatest spending increases over the next twelve months.



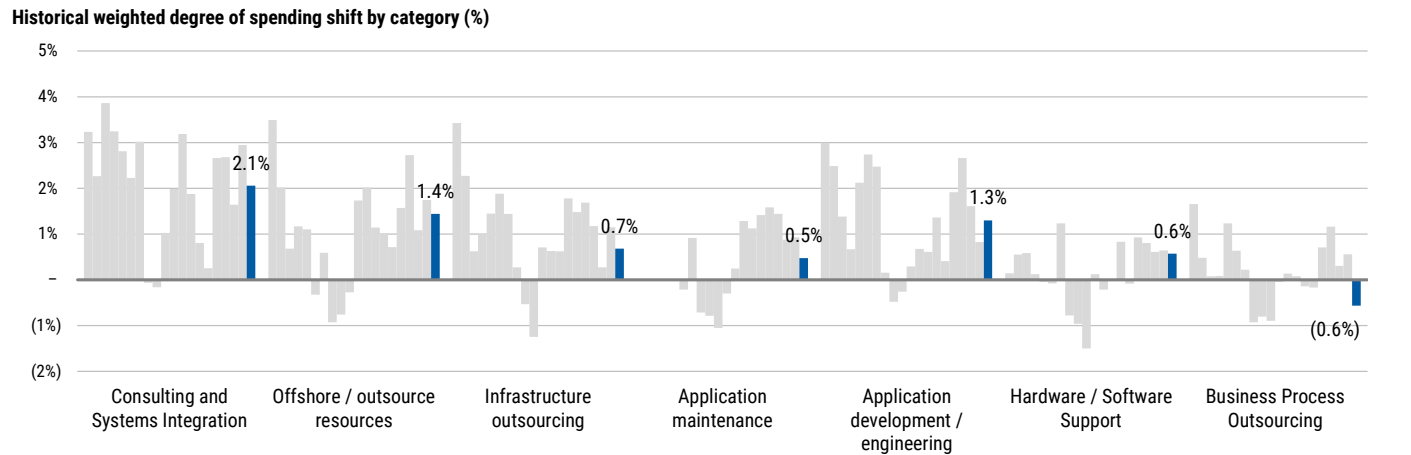
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 89: Consulting Systems Integration saw the greatest percentage of respondents that indicated an expectation that spending could increase by >1% (48% of respondents), while BPO support saw the greatest percentage of respondents indicating an expectation that spending could decrease >1% (23% of respondents), marginally above Infrastructure Outsourcing and Application Development (22% of respondents).



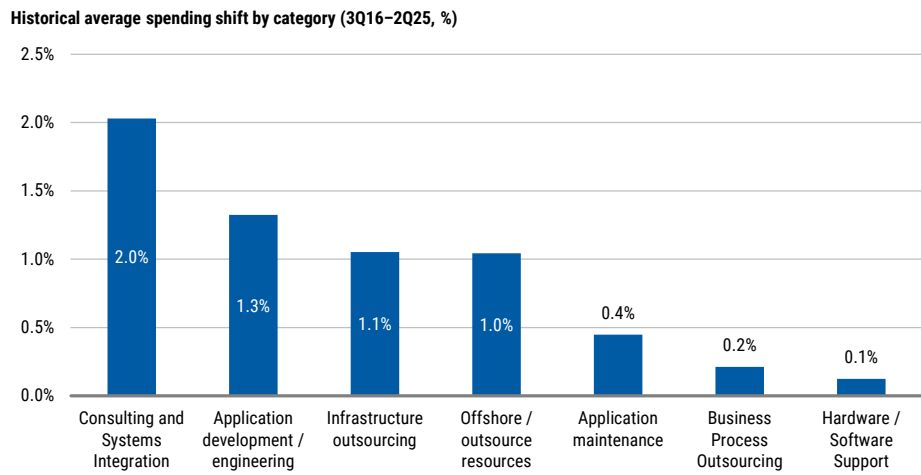
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 90: Weighted by the magnitude of expected spend change (% increase or decrease over the next year), respondents indicated that they expect increased spend across most IT Services initiatives, with the greatest positive spending shift in Consulting and Systems Integration (+2.1%) and Offshore / outsource resources (+1.4%).



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

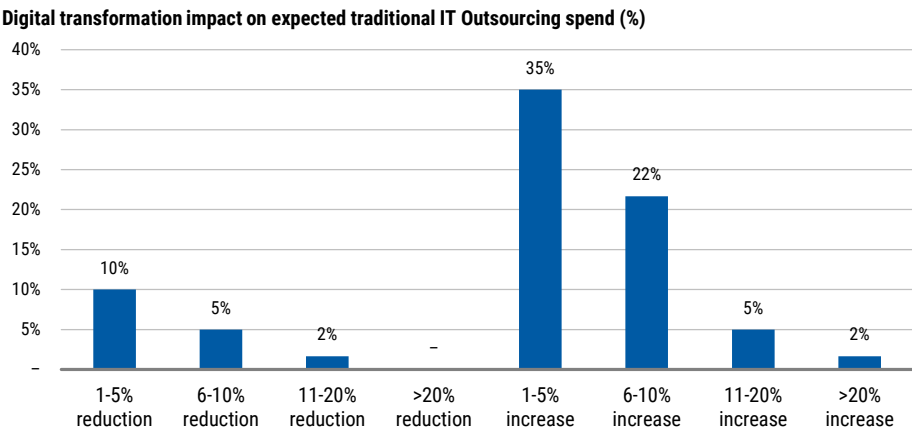
Exhibit 91: Historically, Consulting & Systems Integration spending has seen the greatest average weighted spending increase since 3Q16, increasing on average of +2.1%. This is followed by Application Development (+1.3%). We recognize both services as vehicles to enable digital transformation.



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

*How is digital transformation impacting your company's traditional IT outsourcing spend?
We are defining IT outsourcing as BPO, application maintenance, IT outsourcing & infrastructure maintenance.*

Exhibit 92: 63% of respondents expect digital transformation to drive increased IT outsourcing spend by at least 1%

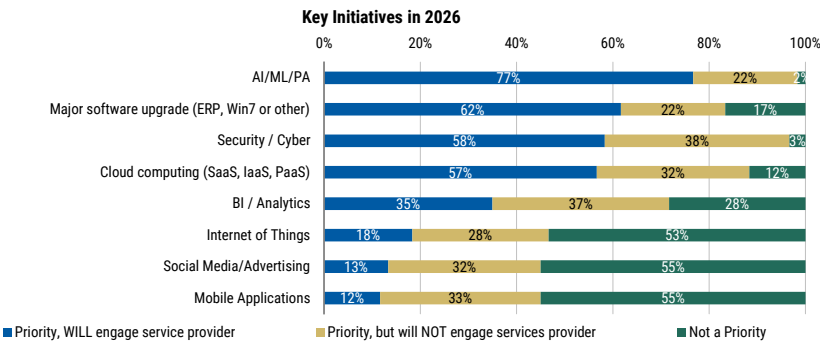


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

AI, Software Upgrades and Security Areas of Near-Term Demand

Are any of the following initiatives a priority for your company in 2026? If so, is your company engaging or planning to engage outside professional IT services providers to help with the planning or execution?

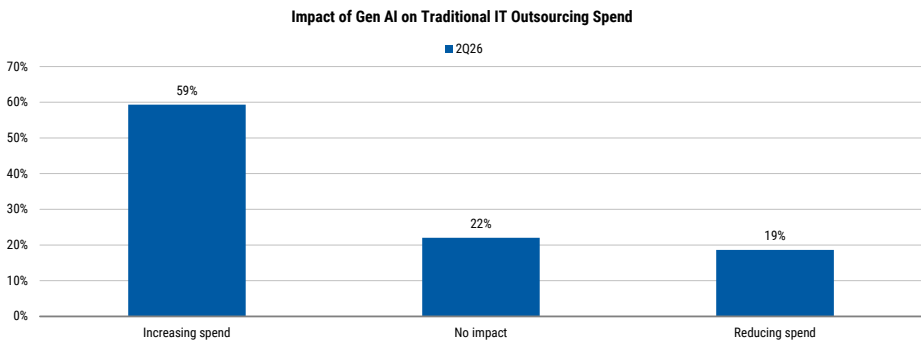
Exhibit 93: In terms of priorities for spend that respondents indicated they will act upon in the next 12 months, the categories with the highest percentage of respondents remain Artificial Intelligence, with 77% of respondents indicating an intention to engage a service provider (vs. 68% in 4Q25), and Software Upgrades at 62% (vs. 47% in 4Q25).



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

How is Gen AI impacting your company's traditional IT outsourcing spend (consider the impact specifically attributable to Gen AI, separate from broader digital transformation initiatives)?

Exhibit 94: 59% of respondents expect to increase traditional IT outsourcing spend as a result of Gen AI, while 19% are reducing spend

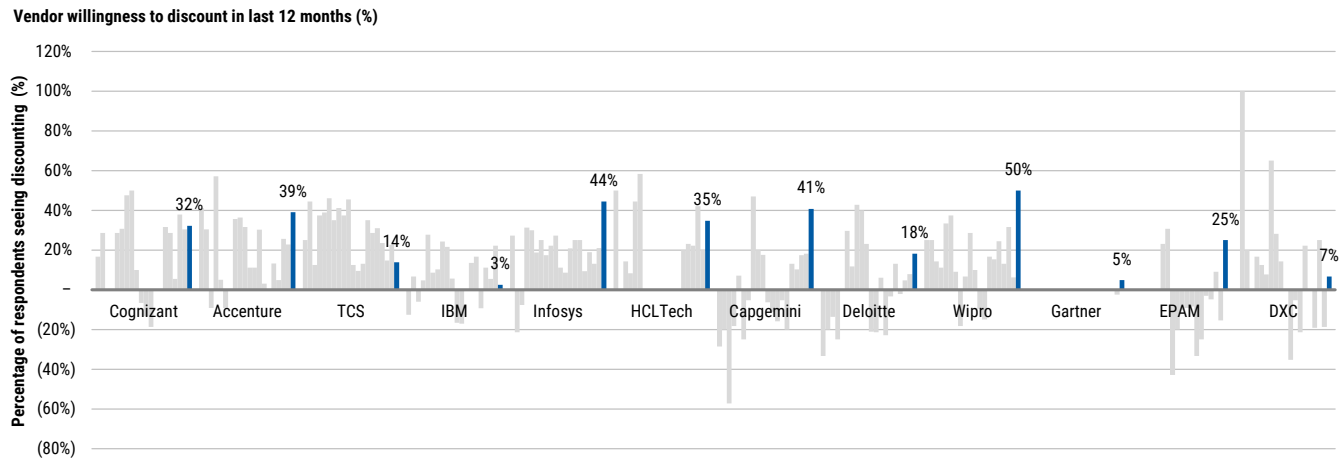


Source: AlphaWise, Morgan Stanley Research, n=59 (US and EU data)

Continued Discounting Across IT Services Vendors

Compared to last year, how would you describe the following vendors' willingness to discount pricing over the past 12 months?

Exhibit 95: We see incrementally more discounting across the space

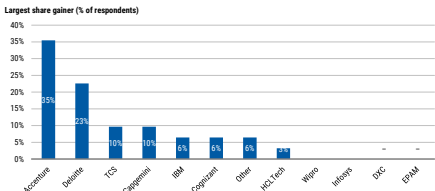


Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

52% of Respondents Consolidating Vendor Relationships

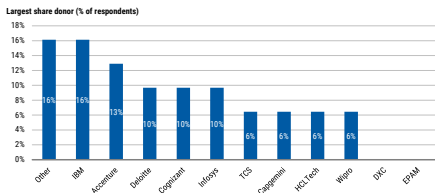
Has your organization undergone vendor consolidation with respect to professional IT Services providers over the last year? If so, which professional IT Services vendor was the largest share gainer and which was the largest share donor?

Exhibit 96: Of respondents undertaking vendor consolidation, ACN and Deloitte screened as the largest share gainers...



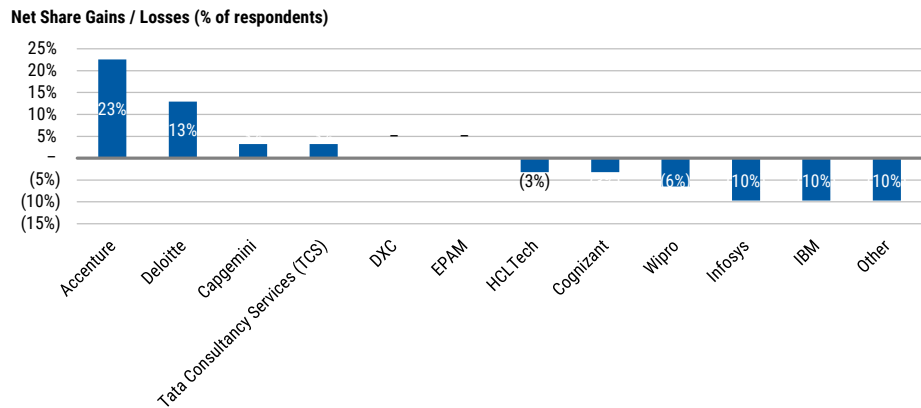
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 19 ...while Other, IBM, and ACN screened as the largest share donors



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Exhibit 97:
Net-net, ACN screened as the greatest beneficiary of vendor consolidation



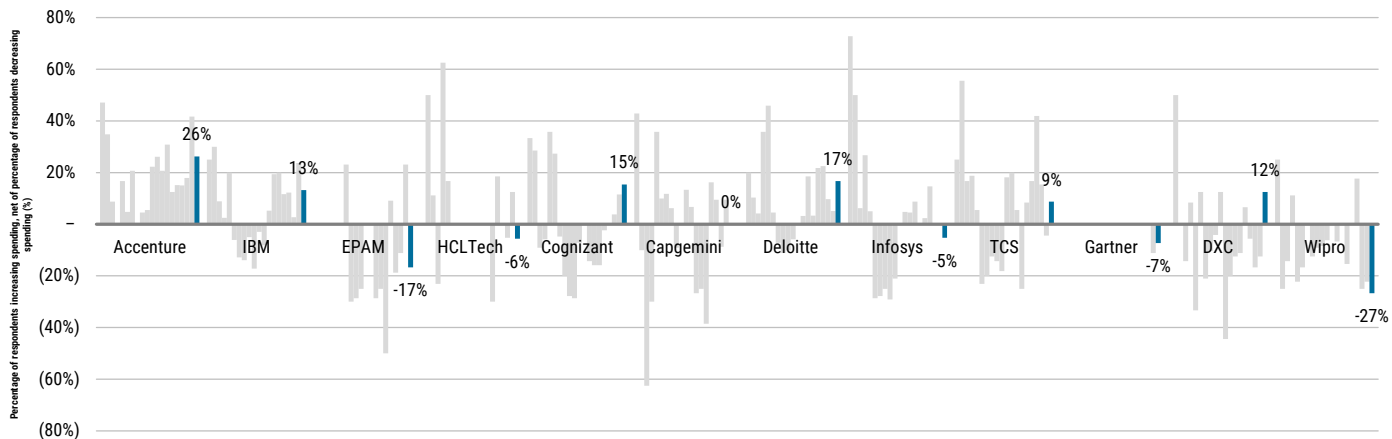
Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Balanced Spending Intentions Amongst Providers

Over the next 12 months, what are your company's IT services spending plans as it relates to specific vendors?

Exhibit 98: Spending intentions appear more balanced across providers

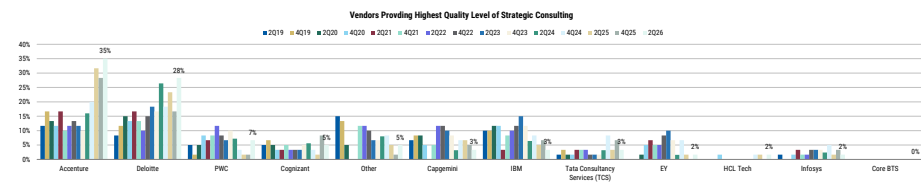
Spending plans on IT Services vendors in next 12 months (%)



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Which of the following vendors provides the highest quality level of strategic consulting?

Exhibit 99: ACN screens as the highest quality provider of strategic consulting



Source: AlphaWise, Morgan Stanley Research; n=60 (US and EU data)

Morgan Stanley CIO Survey Demographics

This report contains the results of our CIO Macro Survey. The survey was conducted by our legacy vendor through telephone and online interviews with 100 decision makers, representing 100 enterprise Information Technology organizations, from May 8th to June 8th, 2026. 76 respondents are from the US and 24 from Europe. Survey respondents hold responsibility for purchasing, integrating and maintaining technology. Their responses represent enterprise customer adoption and purchasing behaviors for Q2 2026.

- l **IT Services Domain:** We conducted online interviews with 60 respondents (45 US / 15 EU) through a new vendor we started engaging since the first half of 2024, representing enterprise Information Technology organizations. Survey respondents hold responsibility for purchasing, integrating and maintaining IT Services based strategies. Interviews were conducted from May 6th to May 27th, 2026.
- l **Software Domain:** We conducted online interviews with 60 respondents (45 US / 15 EU) through a new vendor we started engaging since the first half of 2024, representing enterprise Information Technology organizations. Survey respondents hold responsibility for purchasing, integrating and maintaining software strategies. Interviews were conducted from May 7th to May 24th, 2026.
- l **Networking VARs:** we conducted telephone and online interviews with 30 Networking Resellers (all from the US) through a new vendor we started engaging since the first half of 2024, representing individuals who have decision-making responsibility including customer interactions, operations, sales, and partner relationships and have visibility to company-wide enterprise networking technology strategies. Interviews were collected during May 13th to June 2nd, 2026.

Exhibit 100: By Revenue

Revenue		
Total Respondents = 100		
\$500 Million - \$1 Billion	16	16%
\$1-5 Billion	48	48%
\$5-10 Billion	13	13%
\$10-15 Billion	3	3%
\$15-20 Billion	7	7%
>\$20 Billion	13	13%

Source: AlphaWise, Morgan Stanley Research

Exhibit 101: By Industry Vertical

Vertical		
Total Respondents = 100		
Aerospace / Defense	0	0%
Business services	3	3%
Communications	7	7%
Consumer Goods	3	3%
Education	4	4%
Energy	5	5%
Financial	12	12%
Healthcare	8	8%
Legal	2	2%
Manufacturing	14	14%
Pharmaceuticals	5	5%
Retail	8	8%
Services	6	6%
Technology	17	17%
Transportation	3	3%
Wholesale / Distribution	3	3%

Source: AlphaWise, Morgan Stanley Research

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$44.63
Blackline Inc (BL.O)	O (09/29/2024)	\$29.45
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$71.33

Intuit (INTU.O)	O (02/26/2025)	\$279.70
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$156.58
Navan Inc (NAVN.O)	O (11/24/2025)	\$25.29
Samsara Inc (IOT.N)	E (03/23/2023)	\$36.43
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	\$64.11
Vertex Inc. (VERX.O)	O (01/17/2024)	\$12.74
Workday Inc (WDAY.O)	E (02/19/2025)	\$141.82
Elizabeth Porter, CFA		
Adobe Inc. (ADBE.O)	E (09/24/2025)	\$224.56
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$9.64
Autodesk (ADSK.O)	O (08/23/2024)	\$208.98
Figma Inc (FIG.N)	E (08/25/2025)	\$23.50
Five9 Inc (FIVN.O)	E (10/10/2022)	\$24.86
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$10.61
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$91.27
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$215.33
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$17.63
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	\$7.80
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.76
NICE Ltd. (NICE.O)	O (10/16/2023)	\$101.53
RingCentral Inc (RNG.N)	E (08/08/2023)	\$40.69
Salesforce, Inc. (CRM.N)	O (12/21/2023)	\$167.00
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$5.75
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$8.76
Twilio Inc (TWLO.N)	O (02/24/2025)	\$211.54
Wix.Com Ltd (WIX.O)	O (01/13/2025)	\$53.23
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$22.41
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$3.08
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	\$7.54
Box Inc (BOX.N)	E (05/21/2024)	\$30.47
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$6.00
Commerce.com Inc. (CMRC.O)	++	\$3.08
CoreWeave (CRWV.O)	E (04/22/2025)	\$77.12
Coursera, Inc. (COUR.N)	E (04/22/2026)	\$5.56
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$119.65
Docebo Inc. (DCBO.O)	E (05/12/2025)	\$17.53
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$51.16
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$10.27
Microsoft (MSFT.O)	O (01/13/2016)	\$395.63
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$80.71
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$199.51
Sabre Corp (SABR.O)	E (03/16/2021)	\$1.76
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$78.35
Shopify Inc (SHOP.O)	O (04/19/2024)	\$123.55
Toast, Inc. (TOST.N)	O (12/16/2021)	\$30.39
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$18.69
Zoom Communications (ZM.O)	E (10/11/2022)	\$92.60
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$132.39
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$206.77
Fortinet Inc. (FTNT.O)	U (09/02/2025)	\$164.51
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$26.45
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$13.25
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$150.86

Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$354.02
Qualys Inc (QLYS.O)	U (02/09/2021)	\$159.32
Rapid7 Inc (RPD.O)	E (08/11/2015)	\$12.25
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$15.13
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$19.58
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$40.19
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$47.33
Zscaler Inc (ZS.O)	E (04/22/2026)	\$148.19
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$120.01
Appian Corp (APPN.O)	E (04/30/2026)	\$25.33
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$91.77
C3.ai (AI.N)	U (01/04/2021)	\$9.14
Cloudflare Inc (NET.N)	O (12/02/2024)	\$273.04
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$264.46
Dynatrace Inc (DT.N)	E (02/13/2024)	\$45.17
Elastic NV (ESTC.N)	O (12/16/2024)	\$62.24
GitLab Inc (GTLB.O)	E (01/12/2026)	\$32.83
JFrog Ltd. (FROG.O)	O (12/21/2023)	\$91.28
MongoDB Inc (MDB.O)	O (04/12/2023)	\$333.04
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$132.49
PagerDuty, Inc. (PD.N)	E (01/24/2024)	\$10.75
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$133.76
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$104.73
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$271.87
UiPath Inc (PATH.N)	E (09/07/2022)	\$11.95

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Technology - Software & Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Adam Wood		
SAP SE (SAP.N)	O (02/20/2026)	\$155.91
SAP SE (SAPG.DE)	O (03/20/2020)	€136.98
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€49.90
Capgemini (CAPR.PA)	E (02/19/2026)	€92.92
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€18.45
Hexagon AB (HEXAb.ST)		SKr 80.20
IONOS Group SE (IOSn.DE)	E (05/12/2025)	€30.38
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€57.85
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 309.00
Sage (SGE.L)	O (12/08/2021)	853p
Marie-Ange Riggio		
Indra (IDR.MC)	O (07/14/2026)	€49.22
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.39
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 69.50
Tieto Oyj (TIETO.HE)	U (01/12/2026)	€17.78

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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	\$148.38
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	\$370.92
Amazon.com Inc (AMZN.O)	O (04/24/2015)	\$254.96
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	\$182.80
DoorDash Inc (DASH.O)	O (02/21/2024)	\$190.16
Expedia Inc. (EXPE.O)	E (01/09/2019)	\$267.11
Instacart (CART.O)	E (01/29/2024)	\$47.61
Lyft Inc (LYFT.O)	E (10/24/2019)	\$16.23
Meta Platforms Inc (META.O)	O (03/20/2023)	\$681.31
Pinterest Inc (PINS.N)	O (07/20/2025)	\$23.68
Reddit Inc (RDDT.N)	O (12/08/2024)	\$198.03
Snap Inc. (SNAP.N)	E (07/22/2024)	\$4.76
Uber Technologies Inc (UBER.N)	O (06/04/2019)	\$72.67
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	\$452.73
Compass, Inc. (COMP.N)	E (01/12/2026)	\$12.65
Criteo SA (CRTL.O)	E (01/26/2016)	\$22.60
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	\$11.82
Electronic Arts Inc (EA.O)	E (08/04/2021)	\$207.27
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	\$24.07
MNTN Inc (MNTN.N)	E (06/16/2025)	\$10.16
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	\$4.75
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	\$4.11
Roblox Corporation (RBLX.N)	O (11/04/2024)	\$57.07
Shutterstock Inc (SSTK.N)	E (07/28/2022)	\$7.88
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	\$243.80
Trade Desk Inc (TTD.O)	E (09/10/2025)	\$19.37
Unity Software Inc (U.N)	O (09/02/2024)	\$31.27
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	\$10.77
Yelp Inc (YELP.N)	U (01/10/2019)	\$26.81
Zillow Group Inc (Z.O)	E (04/18/2018)	\$33.85
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	\$3.10
Chewy Inc (CHWY.N)	O (10/31/2023)	\$21.21
Duolingo Inc (DUOL.O)	E (02/27/2026)	\$131.22
eBay Inc (EBAY.O)	O (04/18/2024)	\$112.76
Etsy Inc (ETSY.N)	E (07/20/2025)	\$85.74
FIGS, Inc. (FIGS.N)	E (02/29/2024)	\$9.94
Grindr Inc. (GRND.N)	O (07/01/2026)	\$15.78
Match Group Inc (MTCH.O)	E (04/18/2024)	\$40.11
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	\$6.33
Revolve Group Inc (RVLV.N)	E (10/20/2024)	\$24.84
WW International Inc (WW.O)	E (08/01/2025)	\$15.14

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: IT Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
James E Faucette		
Accenture Plc (ACN.N)	E (06/15/2026)	\$137.02
Cognizant Technology Solutions Corp (CTSH.O)	E (01/10/2022)	\$43.18

DXC Technology Company (DXC.N)	E (01/29/2021)	\$9.30
Endava PLC (DAVA.N)	E (01/24/2024)	\$2.76
EPAM Systems Inc (EPAM.N)	E (04/26/2024)	\$85.93
Kyndryl Holdings Inc (KD.N)	E (09/26/2025)	\$11.72
TaskUs, Inc. (TASK.O)	E (09/08/2025)	\$5.97

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$327.50
CDW Corporation (CDW.O)	O (06/23/2026)	\$130.86
Circuit Inc (CRCT.O)	U (08/12/2021)	\$4.73
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$412.68
Everpure, Inc. (P.N)	E (06/11/2024)	\$70.75
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$241.76
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.71
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$47.39
HP Inc. (HPQ.N)	U (11/16/2025)	\$23.75
IBM (IBM.N)	E (01/18/2023)	\$211.20
Ingram Micro (INGM.N)	E (06/11/2025)	\$28.59
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.82
Logitech International SA (LOGI.O)	U (01/20/2026)	\$99.91
NetApp Inc (NTAP.O)	U (01/20/2026)	\$162.10
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$35.49
Seagate Technology (STX.O)	O (03/26/2024)	\$828.30
SmartRent, Inc. (SMRT.N)	++	\$0.96
Sonos Inc. (SONO.O)	E (11/06/2025)	\$13.80
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$250.08
Teradata (TDC.N)	O (04/08/2025)	\$31.31
Western Digital (WDC.O)	O (04/16/2025)	\$513.84
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$54.59

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Telecom & Networking Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Meta A Marshall		
Arista Networks (ANET.N)	O (10/31/2023)	\$171.92
Axon Enterprise Inc (AXON.O)	O (12/03/2024)	\$541.12
Ciena Corporation (CIEN.N)	E (10/10/2025)	\$418.46
Cisco Systems Inc (CSCO.O)	O (04/08/2024)	\$111.77
Coherent Corp (COHR.N)	E (12/13/2023)	\$299.38
Corning Inc (GLW.N)	E (06/13/2024)	\$174.41
F5 Inc (FFIV.O)	E (04/12/2022)	\$421.47
Keysight Technologies Inc (KEYS.N)	O (07/13/2026)	\$322.71
Lumentum Holdings Inc (LITE.O)	E (05/12/2021)	\$752.00
Motorola Solutions Inc (MSI.N)	O (12/17/2025)	\$407.18
Zebra Technologies Corporation (ZBRA.O)	E (12/02/2024)	\$255.17

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INDUSTRY COVERAGE: India Technology

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/15/2026)
Gaurav Rateria		
Blackbuck Ltd (BLAK.NS)	E (02/06/2025)	Rs578.85
Delhivery Ltd (DELH.NS)	E (02/10/2025)	Rs498.35
Eternal Ltd. (ETEA.NS)	O (08/01/2022)	Rs294.80
Fractal Analytics Limited (FRAL.NS)	E (05/13/2026)	Rs887.35
HCL Technologies (HCLT.NS)	E (09/05/2024)	Rs1,168.00
Infosys Limited (INFY.NS)	E (03/11/2025)	Rs1,076.30
MakeMyTrip Limited (MMYT.O)	O (12/08/2022)	\$55.23
Meesho Limited (MEES.NS)	E (01/15/2026)	Rs189.24
Pine Labs Ltd (PINL.NS)	O (05/27/2026)	Rs157.25
Shadowfax Technologies Limited (SADO.NS)	O (03/04/2026)	Rs205.63
Swiggy Ltd (SWIG.NS)	E (10/31/2025)	Rs270.09
Tata Consultancy Services (TCS.NS)	E (06/29/2026)	Rs2,189.20
Tech Mahindra Limited (TEML.NS)	U (06/19/2025)	Rs1,498.70
Urban Co Limited (URBN.NS)	U (10/23/2025)	Rs133.94
Wipro Ltd. (WIPR.NS)	U (01/19/2026)	Rs174.65
Sulabh Govila, CFA		
Coforge Ltd (COFO.NS)	O (01/10/2024)	Rs1,533.20
Cyient Ltd (CYIE.NS)	U (07/26/2024)	Rs839.45
L&T Technology Services Ltd (LTEH.NS)	E (01/03/2025)	Rs3,508.30
LTM Limited (LTIM.NS)	E (04/24/2025)	Rs4,050.60
Mphasis Limited (MBFL.NS)	O (07/28/2025)	Rs2,339.20
Tata Elxsi Ltd (TTEX.NS)	U (09/08/2022)	Rs3,520.40

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